



POWER OF SIMPLICITY

ICL

Tally.ERP 9 at a Glance

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Introduction

A Path Breaking Technology

Tally.ERP 9 - It's Fast, Powerful, Scalable... And very Reliable!

Tally.ERP 9 is the world's fastest and most powerful concurrent Multi-lingual business Accounting and Inventory Management software. Tally.ERP 9, designed exclusively to meet the needs of small and medium businesses, is a fully integrated, affordable and highly reliable software. Built on the proprietary technology of Tally Solutions - **C:MuLATE** (Concurrent Multi-lingual Accelerated Technology Engine) - Tally.ERP 9 is a perfect fusion between the path-breaking Concurrent Multi-lingual Platform and an Object Oriented Database Engine. Technology on which someday all business accounting solutions will be built.

Tally.ERP 9 is easy to buy, quick to install, and easy to learn and use. Tally.ERP 9 is designed to automate and integrate all your business operations, such as sales, finance, purchasing, inventory, and manufacturing. With Tally.ERP 9, accurate, up-to-date business information is literally at your fingertips anywhere. The powerful new features and blazing speed and power of Tally.ERP 9 combine with enhanced MIS, Multi-lingual, Data Synchronization and Remote capabilities help you simplify all your business processes easily and cost-effectively.

Simply the Best

The Tally.ERP 9 encompasses the following salient features :

- **Simplicity** : Tally.ERP 9 is simple, easy to setup and use. It also allows easy Keyboard operations. It requires basic knowledge of Accounts and English to use it.
- **Speed** : Tally.ERP 9 provides the capability to generate instant and accurate reports, which assists the management to take timely and correct decisions for the overall productivity and growth of the company.

- ❑ **Power :** Tally.ERP 9 allows the user to maintain multiple companies and with unlimited levels of classification & grouping capabilities. It also allows drill down facility from report level to transaction level.
- ❑ **Flexibility :** Tally.ERP 9 provides flexibility to generate instant reports for any given period (month/year) or at any point of time besides providing the facility to toggle between Accounting & Inventory reports of the same company or between companies.
- ❑ **Scalability :** Tally.ERP 9 suits to any style of business needs and eliminates the necessity for a business to change its style of operation, in order to adapt to the application.
- ❑ **Concurrent multi-lingual capability :** Tally.ERP 9 offers you the exclusive capability of maintaining your accounts in any Indian language, viewing them in another language and printing them in yet another Indian language.
- ❑ **Real time processing :** Immediate posting & updation of books of accounts as soon as the transactions are entered, thereby facilitating instant statements & Reports. It also facilitates real-time multi-user environment.
- ❑ **Accounting without Codes :** Tally.ERP 9 allows accounting with the regular names (the way you spell them or use in normal parlance) without any account codes.
- ❑ **Technical support :** Timely support is available from our experts at the Tally Service Partners (TSPs)
- ❑ **Online Help :** The Tally.ERP 9 Online Help (Alt+H) provides instant assistance on basic and advanced features or any other relevant topics of Tally.ERP 9.
- ❑ **Tally.NET :** is an enabling framework which establishes a connection through which the remote user can access the Client's data without copying / transferring the data.
- ❑ **Remote Access :** Tally.ERP 9 provides remote capabilities to access the data from anywhere and anytime.
- ❑ **Control Centre :** works as an interface between the user and Tally.ERP 9 installed at different sites and enables the user to centrally configure and administer Site/User belonging to an account.

- **Support Centre** : allows a user can directly post his support queries on the functional and technical aspects of the Product.

- **Auditor's Edition** : Tally.ERP 9 offers a special Auditors' Edition of Tally.ERP 9, which provides auditing and compliance capabilities exclusively for Chartered Accountants.

Lesson 1: Complete Book-keeping

Tally.ERP 9 maintains all books of accounts starting from record of vouchers to ledgers etc. You can use different types of vouchers like payment, receipt, sales, purchases, receipt notes, delivery notes and adjustment entry vouchers like journals, debit & credit notes. Tally.ERP 9 inherits the principle of double entry system of book keeping and thus reduces possibilities of errors during voucher entry.

1.1 Simple & Easy Voucher Entry

Tally.ERP 9 provides flexibility to use predefined voucher types, comprising of accounting and inventory voucher types to record various business transactions. It also allows you to use Keyboard shortcut Keys as well as mouse operations during voucher entry.

1.1.1 User-defined Voucher Types

Tally.ERP 9 provides predefined vouchers and also allows you to create different types of vouchers and record, classify & segregate vouchers as per your requirements. For e.g. you can further classify payment vouchers, by creating voucher types with the names **Bank Payment** and **Cash Payment**.

To create a new Voucher Type,

Go to **Gateway of Tally > Accounts Info. > Voucher Type > Create**

- ❑ Enter the Voucher name
- ❑ Specify the **Type of voucher**
- ❑ Specify the **Method of numbering**
- ❑ Activate or deactivate the other functions as required

Voucher Type Creation		Universal Enterprises		Ctrl + M
Name : Bank Payment				
(alias) :				
General Type of Voucher : Payment Abbr. : Pynt Method of Voucher Numbering ? Automatic Use Advance Configuration ? No Use EFFECTIVE Dates for Vouchers ? No Make 'Optional' as default ? No Use Common Narration ? Yes Narrations for each entry ? No		Printing Print after saving Voucher ? No		Name of Class
Accept ? Yes or No				

Figure 1.1 Voucher Type Creation

1.1.2 Flexible Voucher Numbering

Tally.ERP 9 also allows you to set the voucher numbering as per your needs, which is either automatic or manual or none. Further, you can also assign a Prefix / Suffix or both along with the Voucher number and define the periodicity of restarting Voucher numbers during entry i.e., either from the beginning of every day, month, week, year or never.

From the above **Voucher Type Creation / Alteration** screen,

- Specify the **Method of Voucher Numbering**

Types of Numbering
Automatic
Manual
None

Figure 1.2 Types of Numbering

- Specify the **Advance Configurations** for Voucher Numbering, as required

Voucher Type Alteration (Secondary)				Universal Enterprises				Ctrl + M
Name : Ba	Starting Number ? 1							
(alias) :	Width of Numerical Part : 3							
	Prefill with ZERO ? Yes							
	Restart Numbering			Prefix Details		Suffix Details		
Type of Voucher	Applicable From	Starting Number	Particulars	Applicable From	Particulars	Applicable From	Particulars	
Abbr.	1-Apr-2008		1 Yearly	1-Apr-2008				
Method of Voucher								
Use Advance Co								
Use EFFECTIVE D								
Make 'Optional' as								
Use Common Narr								
Narrations for each								
* (c) Connected to								

Figure 1.3 Advance Configurations for Voucher Numbering

1.1.3 Flexible classification of Account Heads / Chart of Accounts

In Tally.ERP 9, there are 28 predefined groups which are widely used in Chart of Accounts of many trading organizations. Out of these, 15 groups are **Primary Groups** and the remaining 13 are **Sub-Groups**. Among the 15 predefined groups, 9 Groups are **Balance Sheet** items and the remaining 6 groups are **Profit & Loss A/c** items. However, you may also alter the nomenclature of these predefined 28 Groups.

Tally.ERP 9 allows you to define Account heads and groups as per your requirements, thereby facilitating multiple structural grouping. The flexibility & ease of creating user-defined Account Heads and groups (Chart of Accounts) as per nature of business or business practice makes Tally.ERP 9 to suit businesses across industries, verticals and geographies without changing the way they do their business.

For Eg., You can have debtor's based on geographies viz., North Debtors, South Debtors, East Debtors & West Debtors and further subgroups based on states i.e., Karnataka Debtors, Maharashtra Debtors, Tamil Nadu Debtors. The states can also be classified into cities and so on.

1.2 Books & Registers

Tally.ERP 9 provides you capability to generate various books and registers for any specific period viz., month, date, and year and as on date. In Tally.ERP 9, once voucher entry is made, the transactions are automatically & immediately in the Day Book and other Books of Accounts without any additional effort. Tally.ERP 9 allows you to maintain and generate all primary books of accounts and registers like

- ❑ Cash Book
- ❑ Bank Book
- ❑ Purchase Register
- ❑ Sales Register
- ❑ Journal Register
- ❑ Debit Note Register
- ❑ Credit Note Register
- ❑ General Ledger

1.2.1 Cash Book

To generate **Cash Book**,

Go to **Gateway of Tally > Display > Account Books > Cash / Bank Book(s)**

- ❑ Select the required **Cash** Ledger Account
- ❑ Press **Enter** on the required month to view Cash transactions for a month

Ledger Vouchers		Universal Enterprises		Ctrl + M	
Ledger: Cash		1-Feb-2009 to 28-Feb-2009			
Date	Particulars	Vch Type	Vch No.	Debit	Credit
2-2-2009	Step-in Computers	Receipt	102	15,000.00	
5-2-2009	Travelling & Conveyance	Payment	312		2,103.00
6-2-2009	Staff Welfare Expenses	Payment	314		620.00
15-2-2009	Repairs & Maintenance - Guest Accomd.	Payment	320		300.00
21-2-2009	Janata Timbers	Receipt	105	30,000.00	
23-2-2009	Repairs & Maintenance - Guest Accomd.	Payment	326		3,110.00
26-2-2009	Subscriptions	Payment	329		420.00
27-2-2009	Canara Bank	Contra	28	1,00,000.00	
28-2-2009	Postage & Telegraph	Payment	330		350.00

Figure 1.4 Cash Book

1.2.2 Bank Book

To generate **Bank Book**,

Go to **Gateway of Tally > Display > Account Books > Cash / Bank Book(s)**

- ❑ Select the required **Bank Account**
- ❑ Press **Enter** on the required month to view Bank transactions for a month

Ledger Vouchers		Universal Enterprises		Ctrl + M	
Ledger: HDFC Bank				1-Jul-2008 to 31-Jul-2008	
Date	Particulars	Vch Type	Vch No.	Debit	Credit
2-7-2008	Challenger Systems	Payment	83		1,00,000.00
6-7-2008	HDFC Silver Credit Card	Payment	86		10,770.00
8-7-2008	Jet Roadways (P) Ltd.,	Payment	89		5,000.00
12-7-2008	Jain Realtors	Payment	91		2,00,000.00
15-7-2008	Worldwide Computers	Receipt	30	1,00,000.00	
17-7-2008	Computer Point	Payment	95		90,460.00
17-7-2008	Soft Stop	Receipt	32	50,000.00	
18-7-2008	Investments	Payment	97		5,00,000.00
23-7-2008	Arvind Kumar	Receipt	33	3,920.00	
25-7-2008	(as per details)	Payment	101		19,603.66
	Cholamandalam Auto Finance Coy., 17,621.27 Dr				
	Interest on Car Loan A/c 1,982.39 Dr				
27-7-2008	Canara Bank	Contra	8		3,00,000.00
27-7-2008	Fast Couriers	Payment	102		1,179.78
28-7-2008	Infinite Infosolutions	Payment	103		1,10,000.00
28-7-2008	Modern Advertisers	Receipt	35	7,865.20	
29-7-2008	Canara Bank	Contra	9		1,80,000.00
30-7-2008	TVS Electronics (I) Ltd.,	Payment	106		2,00,000.00
30-7-2008	Step-in Computers	Receipt	36	25,000.00	
30-7-2008	Telephone Link Ltd.,	Payment	107		1,460.68
31-7-2008	NextGen Systems	Payment	108		25,500.00
31-7-2008	Sai Infotech (P) Ltd.,	Payment	109		50,000.00
31-7-2008	Assembling Charges	Payment	111		1,520.00
31-7-2008	Bank Charges	Payment	112		310.00
31-7-2008	Silverplus Computers	Receipt	37	10,00,000.00	
31-7-2008	(as per details)	Payment	114		1,377.00
	ESI Payable 1,006.00 Dr				
				9 more ...	
Opening Balance :				26,11,264.33	
Current Total :				11,86,785.20	19,17,040.22
Closing Balance :				18,81,009.31	

Figure 1.5 Bank Book

1.2.3 Purchase Register

To generate **Purchase Register**,

Go to **Gateway of Tally > Display > Account Books > Purchase Register**

- Press **Enter** on the required month to view Purchase Transactions for a month

Voucher Register		Universal Enterprises		Ctrl + M	
List of All Purchase Vouchers				1-Apr-2008 to 30-Apr-2008	
Date	Particulars	Vch Type	Vch No.	Debit Amount	Credit Amount
2-4-2008	NextGen Systems	Purchase	1		98,800.00
2-4-2008	Simco Machinery Co.,	Purchase	2	10,40,000.00	
2-4-2008	Cash	Purchase	3	832.00	
3-4-2008	Cash	Purchase	4	12,480.00	
3-4-2008	HP India Ltd.,	Purchase	5	1,03,500.00	
5-4-2008	NextGen Systems	Purchase	6	72,800.00	
6-4-2008	Chandra Timbers	Purchase	7	12,10,781.00	
7-4-2008	Vinayaga Trading Corporation	Purchase	8	2,05,785.00	
10-4-2008	New Era Computers	Purchase	9	10,920.00	
12-4-2008	NextGen Systems	Purchase	10	4,680.00	
16-4-2008	Fast Couriers	Purchase	11	1,683.60	
17-4-2008	New Buzz Traders	Purchase	12	9,360.00	
17-4-2008	Magnum Breweries	Purchase	13	2,40,000.00	
20-4-2008	TVS Electronics (I) Ltd.,	Purchase	14	7,87,500.00	
21-4-2008	Top Computers	Purchase	15	3,80,474.00	
24-4-2008	N.C.Jain	Purchase	16	468.00	
24-4-2008	Navin Traders	Purchase	17	2,153.00	
25-4-2008	Telephone Link Ltd.,	Purchase	18	1,346.88	
26-4-2008	New Era Computers	Purchase	19	4,680.00	
Total:					41,88,243.48

Figure 1.6 Purchase Register

1.2.4 Sales Register

To generate **Sales Register**,

Go to **Gateway of Tally > Display > Account Books > Sales Register**

- Press **Enter** on the required month to view Sales Transactions for a month

Voucher Register		Universal Enterprises		Ctrl + M	
List of All Sales Vouchers			1-Nov-2008 to 30-Nov-2008		
Date	Particulars	Vch Type	Vch No.	Debit Amount	Credit Amount
5-11-2008	Manjunath Systems	Sales	72	28,080.00	
6-11-2008	Nirmaan Timbers	Sales	73	11,58,298.88	
10-11-2008	Worldwide Computers	Sales	74	3,45,700.00	
12-11-2008	AVT Computers	Sales	75	4,888.00	
16-11-2008	Bright Traders	Sales	76	3,47,640.00	
22-11-2008	AVT Computers	Sales	77	1,03,500.00	
25-11-2008	Hindustan Timbers	Sales	78	5,66,865.00	
26-11-2008	Global Traders	Sales	79	1,56,000.00	
26-11-2008	Silverplus Computers	Sales	80	5,22,500.00	
27-11-2008	Futura Systems	Sales	81	67,500.00	
30-11-2008	Modern Advertisers	Sales	82	7,303.40	
Total:				33,08,275.28	

Figure 1.7 Sales Register

1.2.5 Journal Register

To generate **Journal Register**,

Go to **Gateway of Tally > Display > Account Books > Journal Register > Journal Register**

- Press **Enter** on the required month to view Journal Entries for a month.

Voucher Register		Universal Enterprises		Ctrl + M 	
List of All Journal Vouchers				1-Feb-2009 to 28-Feb-2009	
Date	Particulars	Vch Type	Vch No.	Debit Amount	Credit Amount
12-2-2009	Vehicle Repairs & Maintenance	Journal	71	6,545.00	1,283.75
15-2-2009	Commission Paid	Journal	72	15,000.00	
18-2-2009	Fuzitsy Systems	Journal	73		
18-2-2009	Training & Orientation Expenses	Journal	74	9,300.00	
25-2-2009	Miscellaneous Expenses	Journal	75	2,580.00	
28-2-2009	Petrol Expenses	Journal	76	2,670.00	
28-2-2009	Carriage Inwards	Journal	77	1,250.00	
28-2-2009	Transportation & Packaging	Journal	78	5,000.00	
28-2-2009	Output VAT @ 12.5%	Journal	79	2,44,227.25	
28-2-2009	PF Admin Expense	Journal	80	331.90	
28-2-2009	VAT Adjustment A/c	Journal	81	72,071.25	

Figure 1.8 Journal Register

1.2.6 Debit Note Register

To generate **Debit Note Register**,

Go to **Gateway of Tally > Display > Account Books > Journal Register > Debit Note Register**

- Press **Enter** on the required month to view Debit Notes for a month.

Voucher Register		Universal Enterprises		Ctrl + M	
List of All Debit Note Vouchers				1-Jan-2009 to 31-Jan-2009	
Date	Particulars	Vch Type	Vch No.	Debit Amount	Credit Amount
12-1-2009	New Buzz Traders	Debit Note	3	260.00	
14-1-2009	Top Computers	Debit Note	4	364.00	

Figure 1.9 Debit Note Register

1.2.7 Credit Note Register

To generate **Credit Note Register**,

Go to **Gateway of Tally > Display > Account Books > Journal Register > Credit Note Register**

- Press **Enter** on the required month to view Credit Notes for a month or press **F2** and specify the period

Voucher Register		Universal Enterprises		Ctrl + M	
List of All Credit Note Vouchers				1-Apr-2008 to 31-Mar-2009	
Date	Particulars	Vch Type	Vch No.	Debit Amount	Credit Amount
30-4-2008	Global Traders	Credit Note	1		624.00
3-5-2008	Computer Junction	Credit Note	2		24,960.00
1-8-2008	Computer Junction	Credit Note	3		520.00

Figure 1.10 Credit Note Register

1.2.8 Day Book

To generate **Day Book**,

Go to **Gateway of Tally > Display > Day Book**

Specify the required period to view transactions entered for that particular day, week and year or for any specified period.

Day Book		Universal Enterprises		Ctrl + M	
Day Book				1-Apr-2008 to 31-Mar-2009	
Date	Particulars	Vch Type	Vch No.	Debit Amount Inwards Qty	Credit Amount Outwards Qty
2-4-2008	HDFC Bank	Contra	1		20,000.00
2-4-2008	Computer Junction	Receipt	1		50,440.00
2-4-2008	Mohan's Share Capital A/c	Receipt	2		15,00,000.00
2-4-2008	Computer Junction	Sales	1	51,420.00	
2-4-2008	InfoSoft Solutions	Sales	2	32,937.60	
2-4-2008	NextGen Systems	Purchase	1		98,800.00
2-4-2008	Simco Machinery Co.,	Purchase	2		10,40,000.00
2-4-2008	Cash	Purchase	3		832.00
3-4-2008	Computer Junction	Receipt	3		49,920.00
3-4-2008	Cash	Purchase	4		12,480.00
3-4-2008	HP India Ltd.,	Purchase	5		1,03,500.00
5-4-2008	HDFC Bank	Contra	2		50,000.00
5-4-2008	InfoSoft Solutions	Receipt	4		32,937.60
5-4-2008	Computer Junction	Sales	3	14,560.00	
5-4-2008	NextGen Systems	Purchase	6		72,800.00
5-4-2008	Vinayaga Trading Corporation	Purchase Order	1		1,97,870.00
6-4-2008	Travelling & Conveyance	Payment	1	1,500.00	
6-4-2008	Chandra Timbers	Purchase	7		12,10,781.00
7-4-2008	Vinayaga Trading Corporation	Purchase	8		2,05,785.00
7-4-2008	Wireless Mouse	Receipt Note	1	10 Nos	
8-4-2008	Janata Timbers	Sales	4	4,90,437.00	
9-4-2008	NextGen Systems	Payment	2	28,000.00	
9-4-2008	Arvind Kumar	Receipt	5		15,000.00
9-4-2008	Arvind Kumar	Sales	5	26,000.00	
9-4-2008	Assembled PIV	Delivery Note	5		10 Nos
9-4-2008	Assembled PIV	Mfg Journal	1	10 Nos	
10-4-2008	New Era Computers	Payment	3	2,920.00	
10-4-2008	Universal Systems	Sales	6	2,31,300.00	
10-4-2008	New Era Computers	Purchase	9		10,920.00
12-4-2008	Arvind Kumar	Receipt	6		10,000.00
				971 more ... ↓	

Figure 1.11 Day Book

1.2.9 General Ledger

As discussed earlier, you can define the Chart of Accounts i.e. - maintain groups, ledger masters etc., as required by your business and maintain detailed ledger system, for both Personal and Nominal Accounts.

1.3 Statements of Accounts

Tally.ERP 9 provides you capability to generate, print, mail or upload various Financial Statements and reports viz., Balance Sheet, Profit & Loss A/c, Trial Balance, Cash Flow, Fund Flow, Receivables, Payables & Stock Statements and so on.

1.3.1 Receivables and Payables Management

Accounts Receivables are the amounts that you are to receive from the sundry debtors while Accounts Payables are the amounts you have to pay to sundry creditors. Tally.ERP 9 provides complete bill wise information of amounts receivable as well as payable, either on party wise, group wise or Billwise. This feature tracks bills, payments/receipts including advances on one-to-one basis.

To view **Outstandings**:

- ❑ Set **Maintain Bill-wise Details** to **Yes** in **F11: Accounting Features**
- ❑ Create a **Party** (Ledger A/c) under **Sundry Debtors / Sundry Creditors** group
- ❑ Set **Maintain balances bill by bill** to **Yes** for the parties during ledger creation
- ❑ Go to **Gateway of Tally > Accounting Vouchers > Sales (F8) or Purchase (F9)** accordingly and enter the transaction by specifying a **Bill reference No.** along with due dates for the amount to be received or paid in the **Bill Allocations** for screen (you can also break up the amount into multiple reference numbers with different due dates)

To view **Receivables / Payables Reports**

Go to **Gateway of Tally > Display > Statement of Accounts > Outstandings > Receivables** (to view due to the company).

The report displays bill-by-bill outstanding for all the parties with the pending amount along with the due date.

Bills Outstanding		Universal Enterprises		Ctrl + M	
Bills Receivable			1-Apr-2008 to 31-Mar-2009		
Date	Ref. No.	Partys' Name	Pending Amount	Due on	Overdue by days
5-Apr-2008	2	Computer Junction	14,560.00	4-Jun-2008	300
24-Apr-2008	071	Global Traders	1,50,356.00	1-May-2008	334
25-Apr-2008	8	Amar Computer Peripherals	15,000.00	25-Apr-2008	340
30-Apr-2008	9	Supreme Computers Peripherals	12,656.25	15-May-2008	320
1-May-2008	8	Horizon Systems	42,736.00	31-May-2008	304
5-May-2008	1254	Advview Consultants	12,000.00	5-May-2008	330
5-May-2008	10	Arvind Kumar	14,852.00	4-Jun-2008	300
5-May-2008	9	Computer Junction	52,000.00	4-Jun-2008	300
25-May-2008	20	Hindustan Timbers	5,97,724.88	25-May-2008	310
5-Jun-2008	23	Janata Timbers	5,76,061.00	5-Jun-2008	299
28-Jun-2008	32	S.V.S Computers	89,437.50	28-Jun-2008	276
2-Jul-2008	24	Computer Junction	79,040.00	1-Aug-2008	242
7-Jul-2008	22	Prism Softlinks	16,875.00	6-Aug-2008	237
19-Jul-2008	23	Venkateshwara Softwares	59,725.00	19-Jul-2008	255
26-Jul-2008	25	Step-in Computers	32,500.00	26-Jul-2008	248
27-Aug-2008	27	Sterling Business Solutions	14,062.50	27-Aug-2008	216
3-Sep-2008	29	Futura Systems	90.00	3-Sep-2008	209
5-Sep-2008	NEC/INV/0043	New Era Computers	707.00	5-Oct-2008	177
15-Sep-2008	30	Amar Computer Peripherals	4,680.00	15-Sep-2008	197
21-Sep-2008	31	Office Automation Systems	79,750.00	21-Sep-2008	191
8-Oct-2008	33	Gaitonde Traders	53,125.00	8-Oct-2008	174
18-Oct-2008	1397	Advview Consultants	3,000.00	18-Oct-2008	164
25-Oct-2008	35	Prism Softlinks	9,659.50	25-Oct-2008	157
25-Oct-2008	51	Universal Systems	2,600.00	9-Dec-2008	112
6-Nov-2008	70	Nirmaan Timbers	11,58,298.88	6-Nov-2008	145
22-Nov-2008	52	AVT Computers	58,388.00	22-Nov-2008	129
25-Nov-2008	74	Hindustan Timbers	5,66,865.00	25-Nov-2008	126
27-Nov-2008	38	Futura Systems	67,500.00	27-Nov-2008	124
			19 more ...		
			93,18,106.02		

Figure 1.12 Bills Outstanding Report - Bills Receivables



To view amounts payable by your company, select **Payables** in the **Outstandings** menu. You can also toggle between **Payables** or **Receivables** reports, by clicking **F4**.

To view **individual Party wise outstanding**,

- Select **Ledger** in the **Outstandings** menu,

Ledger Outstandings		Universal Enterprises		Ctrl + M	
Ledger : Zen Enterprises		1-Apr-2008 to 31-Mar-2009			
Date	Ref. No.	Opening Amount	Pending Amount	Due on	Overdue by days
12-Jun-2008	ZE/3571b	5,200.00 Cr	4,144.00 Cr	27-Jul-2008	247
21-Jun-2008	ZE/542	3,640.00 Cr	3,640.00 Cr	5-Aug-2008	238
21-Jan-2009	13	3,744.00 Dr	3,744.00 Dr	7-Mar-2009	24
		5,096.00 Cr	4,040.00 Cr		

Figure 1.13 Ledger Outstandings Report

You will get a report displaying bill-by-bill details of all outstandings for the concerned party along with the total outstanding amount. You can also view details of cleared bills, by using the options in the button bars.

To View **Group Outstanding Reports**:

- Select **Group** in the **Outstandings** menu and then select the specific **group** or **sub group**.

Group Outstandings		Universal Enterprises		Ctrl + M	
		South Debtors			
		Universal Enterprises			
		1-Apr-2008 to 31-Mar-2009			
		Pending Bills			
		Debit	Credit		
All India Computer Institute		25,320.00			
Amar Computer Peripherals		19,680.00			
Arvind Kumar		40,852.00	41,360.00		
AVT Computers		58,388.00			
Computer Junction		1,45,600.00	51,940.00		
Fortune Computer Services		34,240.00			
Futura Systems		67,590.00			
Gaitonde Traders		53,125.00			
Global Traders		3,17,918.00			
Horizon Systems		42,736.00			
Office Automation Systems		79,750.00			
Prism Softlinks		26,534.50			
Silverplus Computers		12,86,800.00			
Step-in Computers		32,500.00			
Sterling Business Solutions		14,062.50			
Supreme Computers Peripherals		12,656.25			
S.V.S Computers		89,437.50	93,015.00		
Venkateshwara Softwares		59,725.00			
		24,06,914.75	1,86,315.00		

Figure 1.14 Group Outstandings Report

You can also view **Ageing Analysis** of Oustandings, by defining various ranges of periods and view outstanding across the specified time slabs. **For eg.**, you can specify 0 to 30 days, 30 to 45 days and 45 to 75 days and so on.

To View **Ageing Analysis Report**

Go to **Gateway of Tally > Display > Outstandings > Receivables or Payables**

- Select **F6 (Age wise)**

Ageing Analysis		89,437
Method of Ageing :		Ageing Methods
		Ageing by Bill Date
		Ageing by Due Date

Figure 1.15 Ageing Methods

- Specify **Ageing Methods** and the **Periods**

Bills Outstanding		Universal Enterprises		Ctrl + M	
Bills Receivable		1-Apr-2008 to 31-Mar-2009			
Date	Ref. No.	Party's Name	Pending Amount	(< 60 days)	60 to 90 days 90 to 120 days > 120 days)
5-Apr-2008	2	Computer Junction	14,560.00		14,560.00
24-Apr-2008	071	Global Traders	1,50,356.00		1,50,356.00
25-Apr-2008	8	Amar Computer Peripherals	15,000.00		15,000.00
30-Apr-2008	9	Supreme Computers Peripherals	12,656.25		12,656.25
1-May-2008	8	Horizon Systems	42,736.00		42,736.00
5-May-2008	1254	Advview Consultants	12,000.00		12,000.00
5-May-2008	10	Arvind Kumar	14,852.00		14,852.00
5-May-2008	9	Computer Junction	52,000.00		52,000.00
25-May-2008	20	Hindustan Timbers	5,97,724.88		5,97,724.88
5-Jun-2008	23	Janata Timbers	5,76,061.00		5,76,061.00
28-Jun-2008	32	S.V.S Computers	89,437.50		89,437.50
2-Jul-2008	24	Computer Junction	79,040.00		79,040.00
7-Jul-2008	22	Prism Softlinks	16,875.00		16,875.00
19-Jul-2008	23	Venkateshwara Softwares	59,725.00		59,725.00
26-Jul-2008	25	Step-in Computers	32,500.00		32,500.00
27-Aug-2008	27	Sterling Business Solutions	14,062.50		14,062.50
3-Sep-2008	29	Futura Systems	90.00		90.00
5-Sep-2008	NEC/INV/0043	New Era Computers	707.00		707.00
15-Sep-2008	30	Amar Computer Peripherals	4,680.00		4,680.00
21-Sep-2008	31	Office Automation Systems	79,750.00		79,750.00
8-Oct-2008	33	Gaitonde Traders	53,125.00		53,125.00
18-Oct-2008	1397	Advview Consultants	3,000.00		3,000.00
25-Oct-2008	35	Prism Softlinks	9,659.50		9,659.50
25-Oct-2008	51	Universal Systems	2,600.00		2,600.00
6-Nov-2008	70	Nirmaan Timbers	11,58,298.88		11,58,298.88
22-Nov-2008	52	AVT Computers	58,388.00		58,388.00
25-Nov-2008	74	Hindustan Timbers	5,66,865.00		5,66,865.00
27-Nov-2008	38	Futura Systems	67,500.00		67,500.00
				19 more ...	
			93,18,106.02	39,84,118.13	6,41,870.38 9,07,868.00 37,84,249.51

Figure 1.16 Ageing Analysis Report

You may also view the **Ageing Analysis** report by **due date** or by **bill date**.

1.3.2 Group Summaries

The group summary statement shows the closing balances of the accounts of a selected group for a specified period up to the current date. The default view is that of sub-groups within a group.

To view **Group Summary**,

Go to **Gateway of Tally > Display > Account Books > Group Summary**

- ❑ Select a **Group** (Sundry Debtors / Sundry Creditors or any other group or you may select **Primary** to display summary for all the groups)
- ❑ Press **Alt+F1** for detailed view

Group Summary		Universal Enterprises		Ctrl + M
Particulars		Sundry Debtors		
		Universal Enterprises		
		1-Apr-2008 to 31-Mar-2009		
		Closing Balance		
		Debit	Credit	
East Debtors		2,33,900.00		
Universal Systems		2,33,900.00		
North Debtors		30,800.00		
Computer World		30,800.00		
South Debtors		22,24,685.25	4,085.50	
All India Computer Institute		25,320.00		
Amar Computer Peripherals		19,680.00		
Arvind Kumar			508.00	
AVT Computers		58,388.00		
Computer Junction		93,660.00		
Fortune Computer Services		34,240.00		
Futura Systems		67,590.00		
Gaitonde Traders		53,125.00		
Global Traders		3,17,918.00		
Horizon Systems		42,736.00		
Office Automation Systems		79,750.00		
Prism Softlinks		26,534.50		
Silverplus Computers		12,86,800.00		
Step-in Computers		32,500.00		
Sterling Business Solutions		14,062.50		
Supreme Computers Peripherals		12,656.25		
S.V.S Computers			3,577.50	
Venkateshwara Softwares		59,725.00		
Sundry Debtors - Overseas		14,949.80		
Fuzitsy Systems		14,949.80		
				5 more ...
Grand Total		61,45,422.18	4,085.50	

Figure 1.17 Group Summary

1.3.3 Columnar Reports

Tally.ERP 9 provides columnar reports for transactions of Sales, Purchase and Journal as well as specific Ledgers and Cash / Bank Books.

To view **Columnar Reports**,

Go to **Gateway of Tally > Display > Account Books**

- ❑ Select a register (**Sales/Purchase/Journal**).
- ❑ Drill down to the **List of Vouchers**
- ❑ Press **F5** to view columnar reports as shown in the figure below (This is an option to choose the ledger accounts or configure the columns to contain the required information)

Voucher Register			Universal Enterprises						Ctrl + M	
List of All Sales Vouchers							1-Apr-2008 to 31-Mar-2009			
Date	Particulars	Voucher Type	Vch No.	Quantity	Rate	Gross Total	Interstate Sales @ 4%	Transportation & Packaging	CST Tax @ 4%	Sales AMC for Computers
										14 more ... →
2-Apr-2008	Computer Junction	Sales	1	2 Nos	24,000.00/Nos	51,420.00	48,000.00	1,500.00	1,920.00	30,000.00
2-Apr-2008	InfoSoft Solutions	Sales	2			32,937.60				
5-Apr-2008	Computer Junction	Sales	3	1,610 Nos	8.70/Nos	14,560.00				
8-Apr-2008	Janata Timbers	Sales	4	50 MT	8,500.00/MT	4,90,437.00				
9-Apr-2008	Arvind Kumar	Sales	5	1 Nos	25,000.00/Nos	26,000.00				
10-Apr-2008	Universal Systems	Sales	6	10 Nos	22,000.00/Nos	2,31,300.00	2,20,000.00	2,500.00	8,800.00	
13-Apr-2008	Hindustan Timbers	Sales	7	30 MT	9,000.00/MT	3,11,572.13				
24-Apr-2008	Global Traders	Sales	8	35.0 Box	200.00/Box	7,280.00				
25-Apr-2008	Global Traders	Sales	9	5 Nos	2,000.00/Nos	10,400.00				
25-Apr-2008	Amar Computer Peripherals	Sales	10	10 Nos	12,000.00/Nos	1,33,125.00				
25-Apr-2008	Silverplus Computers	Sales	11	20 Nos	22,000.00/Nos	4,61,100.00				
30-Apr-2008	Supreme Computers Peripherals	Sales	12	15 Nos	11,000.00/Nos	1,85,625.00				
30-Apr-2008	Modern Advertisers	Sales	13			5,612.00				
1-May-2008	Horizon Systems	Sales	14	298 Nos	363.76/Nos	1,12,736.00				
3-May-2008	Office Automation Systems	Sales	15	15 Nos	7,400.00/Nos	1,24,875.00				
5-May-2008	Computer Junction	Sales	16	6 Nos	25,000.00/Nos	1,59,500.00	1,50,000.00	3,500.00	6,000.00	
5-May-2008	Arvind Kumar	Sales	17	113 Nos	695.13/Nos	81,692.00				
10-May-2008	Computer World	Sales	18	15 Nos	24,000.00/Nos	3,76,900.00		2,500.00	14,400.00	
15-May-2008	Nirmaan Timbers	Sales	19	60 MT	8,600.00/MT	5,98,510.13				
25-May-2008	Worldwide Computers	Sales	20	25 Nos	25,000.00/Nos	6,52,500.00	6,25,000.00	2,500.00	25,000.00	
25-May-2008	Hindustan Timbers	Sales	21	60 MT	8,600.00/MT	5,97,724.88				
30-May-2008	Modern Advertisers	Sales	22			7,640.48				
5-Jun-2008	AVT Computers	Sales	23	6 Nos	12,000.00/Nos	81,000.00				
5-Jun-2008	Janata Timbers	Sales	24	900 MT	600.00/MT	5,76,061.00				
	Grand Total					3,45,16,595.42	60,54,625.00	65,000.00	2,56,585.00	93 more ... ↓

Figure 1.18 Columnar Sales Register

Different type of reports can be generated for each of the primary statement/ report generated in Tally.ERP 9. It is to be noted that Tally.ERP 9 provides the columnar comparison of data for different periods and budgets only for the Group Summary.

1.4 Credit Limits

Tally.ERP 9 provides you with the feature to set threshold limits for the trading transactions with your Sundry Debtors. On setting the Credit Limits, transactions beyond the specified limit are restricted. This feature is very significant in reducing potential bad debts.

To activate **Credit limits**,

- Set **Maintain Budgets & Controls** to **Yes** in **F11: Accounting Features**

To set **Credit limits**,

Go to **Gateway of Tally > Accounts Info. > Ledgers > Credit Limits**,

- Select the required **Group**.
- Specify the **Credit limit** for each ledger account and the applicable credit period

Multi Ledger Limit Alteration		Universal Enterprises		Ctrl + M
Under Group : Sundry Debtors		1-Apr-2008 to 31-Mar-2009		
S.No.	Name of Ledger	Credit Limit	Credit Period	
↑ ... 4 more				
5.	Batliwala & Co.	7,00,000.00 Dr	30	Days
6.	Best Systems Pvt Ltd	7,50,000.00 Dr	45	Days
7.	Bright Traders	4,00,000.00 Dr		
8.	Computer Junction	5,00,000.00 Dr	60	Days
9.	Computer World	32,00,000.00 Dr	45	Days
10.	Fortune Computer Services	12,00,000.00 Dr	30	Days
11.	Futura Systems	5,00,000.00 Dr	45	Days
12.	Fuzitsy Systems	10,00,000.00 Dr		
13.	Gaitonde Traders	3,00,000.00 Dr	60	Days
14.	Global Traders	5,00,000.00 Dr	30	Days
15.	Hindustan Timbers	45,00,000.00 Dr	45	Days
16.	Horizon Systems	7,50,000.00 Dr	30	Days
17.	InfoSoft Solutions	8,00,000.00 Dr	60	Days
18.	Janata Timbers	12,00,000.00 Dr	30	Days
19.	K.P.Bhutia	5,00,000.00 Dr	30	Days
20.	Manjunath Systems	8,00,000.00 Dr	45	Days
21.	M.M.Lal	5,00,000.00 Dr	30	Days
22.	Modern Advertisers	12,00,000.00 Dr	45	Days
23.	Nirmaan Timbers	3,00,000.00 Dr	30	Days
24.	Office Automation Systems	10,00,000.00 Dr	45	Days
25.	Prism Softlinks	9,00,000.00 Dr	60	Days
26.	Silverplus Computers	54,00,000.00 Cr	45	Days
27.	Soft Stop	15,00,000.00 Dr	30	Days
28.	Step-in Computers	30,00,000.00 Dr	45	Days
29.	Sterling Business Solutions	9,00,000.00 Dr	30	Days
30.	Supreme Computers Peripherals	2,50,000.00 Dr	15	Days
31.	S.V.S Computers	3,00,000.00 Dr	30	Days
32.	Universal Computers	4,50,000.00 Dr	60	Days
33.	Universal Systems			
34.	Venkateshwara Softwares			
35.	Worldwide Computers			

Accept ?
Yes or No

Figure 1.19 Credit Limits for Ledger Accounts



You can also define the **Credit Limits** for individual ledger accounts at the time of **creation /Alteration**, in the **Ledger Master** screen.

1.5 Bank Reconciliation

Tally.ERP 9 provides you the facility to reconcile the transactions of your Bank Book with the Bank Statement and instantly displays the Balance at Bank and as per the Bank Book, this facility significantly helps in planning your payouts. The reconciliation of bank transaction using the reconcile feature is very simple and easy to use, by simply entering the date of debit / credit of a particular transaction in the Bank.

To view **Bank Reconciliation Statement**:

Go to **Gateway of Tally > Display > Account Books > Cash/Bank Book**

- ❑ Select the required **Bank Account** and press **Enter** on the required month (or **F2** and specify the required period from which you want to reconcile your bank accounts)
- ❑ Press **F5: Reconcile**
- ❑ Enter the **date of clearing** (date on which the transaction is being debited / credited) from the Bank Statement.

Bank Reconciliation		Universal Enterprises		Ctrl + M	
Ledger: HDFC Bank		(Reconciliation - All Vouchers)		1-Jun-2008 to 30-Jun-2008	
Date	Particulars	Vch Type	Bank Date	Debit	Credit
↑ ... 22 more					
2-4-2008	Cash	Contra	2-4-2009		20,000.00
2-4-2008	Capital	Receipt	2-4-2009	55,00,000.00	
5-4-2008	Cash	Contra	2-4-2009		50,000.00
2-4-2008	Computer Junction	Receipt	5-4-2009	50,440.00	
9-4-2008	NextGen Systems	Payment	15-4-2009		28,000.00
13-4-2008	NextGen Systems	Payment	17-4-2009		4,680.00
18-4-2008	New Buzz Traders	Payment	22-4-2009		4,500.00
26-4-2008	Hyundai Motors (I) Pvt. Ltd.,	Payment	30-4-2009		2,00,000.00
30-4-2008	Travelling & Conveyance	Payment	3-5-2009		21,650.00
30-4-2008	Assembling Charges	Payment	3-5-2009		1,520.00
3-5-2008	Canara Bank	Contra	3-5-2009		2,00,000.00
8-5-2008	Jet Roadways (P) Ltd.,	Payment	12-5-2009		8,000.00
17-5-2008	Canara Bank	Contra	17-5-2009		3,00,000.00
15-5-2008	Office Automation Systems	Receipt	20-5-2009	1,00,000.00	
25-5-2008	Cholamandalam Auto Finance Coy.,	Payment	30-5-2009		19,603.66
30-5-2008	Cash	Contra	30-5-2009		1,00,000.00
29-5-2008	D R D O, Bangalore	Receipt	3-6-2009	1,00,000.00	
31-5-2008	Assembling Charges	Payment	4-6-2009		1,520.00
31-5-2008	D R D O, Bangalore	Receipt	4-6-2009	2,31,300.00	
6-6-2008	Jain Realtors	Payment	12-6-2009		4,00,000.00
8-6-2008	Jet Roadways (P) Ltd.,	Payment	15-6-2009		8,500.00
18-6-2008	Top Computers	Payment	22-6-2009		3,65,840.00
22-6-2008	TVS Electronics (I) Ltd.,	Payment	26-6-2009		2,00,000.00
29-6-2008	Cash	Contra	29-6-2009		1,00,000.00
25-6-2008	Cholamandalam Auto Finance Coy.,	Payment	30-6-2009		19,603.66
30-6-2008	Assembling Charges	Payment	3-7-2009		1,520.00
30-6-2008	D R D O, Bangalore	Receipt	4-7-2009	5,00,000.00	
30-6-2008	D R D O, Bangalore	Receipt	4-7-2009	2,00,000.00	
Balance as per Company Books :				26,11,264.33	
Amounts not reflected in Bank :				66,94,992.48	37,83,728.15
Balance as per Bank :					3,00,000.00

Figure 1.20 Bank Reconciliation Report

After reconciliation, you may also toggle to other reports, by pressing the relevant buttons from the Button Bar.



You may also specify the **effective date of reconciliation** in the **Bank Ledger Master** to predefine the date of reconciliation for transaction starting from where you want to reconcile.

1.6 Flexible Reporting

Tally.ERP 9 can be used to generate financial reports, accounting reports, inventory reports, statutory reports and management control reports.

1.6.1 Bird's eye View/ Drill Down Display:

Tally.ERP 9's unique features provide you with the required information at a glance. For example- Ratio Analysis and Statistics provide you with wealth of information for decision making in a single screen.

Ratio Analysis		Universal Enterprises		Ctrl + M
Principal Groups	Universal Enterprises 1-Apr-2008 to 31-Mar-2009	Principal Ratios	Universal Enterprises 1-Apr-2008 to 31-Mar-2009	
Working Capital	82,39,721.82 Dr	Current Ratio	2.51 : 1	
(Current Assets-Current Liabilities)		(Current Assets : Current Liabilities)		
Cash-in-hand	10,19,901.25 Dr	Quick Ratio	2.26 : 1	
Bank Accounts	29,35,492.67 Dr	(Current Assets-Stock-in-hand : Current Liabilities)		
Bank OD A/c		Debt/Equity Ratio	0.04 : 1	
Sundry Debtors	65,16,336.68 Dr	(Loans (Liability) : Capital Account + Nett Profit)		
(due till today)	73,00,627.27 Dr	Gross Profit %	27.55 %	
Sundry Creditors	50,76,720.00 Cr	Nett Profit %	19.76 %	
(due till today)	48,62,156.00 Cr	Operating Cost %	80.24 %	
Sales Accounts	3,15,70,847.50 Cr	(as percentage of Sales Accounts)		
Purchase Accounts	2,41,98,697.50 Dr	Recv. Turnover in days	68.20 days	
Stock-in-hand	13,58,831.73 Dr	(payment performance of Debtors)		
Nett Profit	62,38,991.92 Cr	Return on Investment %	53.15 %	
Wkg. Capital Turnover	3.83	(Nett Profit / Capital Account + Nett Profit)		
(Sales Accounts / Working Capital)		Return on Wkg. Capital %	75.72 %	
Inventory Turnover	23.23	(Nett Profit / Working Capital) %		
(Sales Accounts / Closing Stock)				

Figure 1.21 Ratio Analysis

The **Statistics** showing list of masters and vouchers will appear as shown :

Statistics Universal Enterprises Ctrl + M			
Types of Vouchers		Types of Accounts	
Universal Enterprises 1-Apr-2008 to 31-Mar-2009		Universal Enterprises 1-Apr-2008 to 31-Mar-2009	
Attendance	23	Groups	59
Bank Payment	0	Ledgers	250
Commercial Invoice	0	Cost Categories	4
Contra	30	Cost Centres	5
Credit Note	3	Stock Groups	9
Debit Note	4	Stock Categories	11
Delivery Note	25	Stock Items	33
Excise - Purchase	0	Godowns	6
Excise - Sales	0	Voucher Types	25
Journal	91	Units	12
Memorandum	2	Currencies	2
Mfg Journal	23	Budgets & Scenarios	7
Payment	378	Attendance/Production Types	3
Payroll	37	Employee Groups	3
Physical Stock	0	Employees	6
Purchase	96		
Purchase Order	24		
Receipt	117		
Receipt Note	23		
Rejections In	1		
Rejections Out	2		
Reversing Journal	1		
Sales	117		
Sales Order	1		
Stock Journal	3		
Total	1,001		

Figure 1.22 Statistics

1.6.2 Drill Down Display

Tally.ERP 9 allows you to drill down from any report to its various lower levels till the voucher level. For e.g. you can view a Balance Sheet report and select a required group from it and drill down to the voucher level. Any changes made by you in the voucher (i.e. if allowed by current security levels), are reflected real time at all levels.

1.6.3 Date based Reporting

In Tally.ERP 9, you can generate reports by selecting a particular date or a date range. You can also compare reports of two selected periods, months or financial years. Reports in Tally.ERP 9 are generated based on the transaction date and not on the date of actual entry thereby ensuring accurate representation of information. Tally.ERP 9's unique and simple approach to reconcile bank statements is based on date of transaction and realisation.

1.6.4 Voucher and Cheque Printing

Tally.ERP 9 provides you with a facility to print all types of vouchers. You can print a voucher on save or you can print it later. It is also possible to print formal receipts and cheques. The real benefit for a user is that you issue cheques to parties only after accounting the payment transactions

To activate **Cheque printing**,

Go to **Gateway of Tally > F11: Features > F1: Accounting Features**

- ❑ Set **Enable Cheque Printing** to **Yes**
- ❑ Enable **Set/Alter Cheque Printing Configuration** to **Yes**
- ❑ Enter the **Company Name on the Cheque** (if cheque is not preprinted with Company Name)
- ❑ Enter the **Bank Name** (as created in the Ledgers)

Company Cheque Details	
Company Name on Cheque :	Universal Enterprises
Names of Banks :	HDFC Bank

Bank Accounts
❑ End of List
Canara Bank
Citi Bank Credit Card
HDFC Bank

Figure 1.23 Company Cheque Details Screen

- ❑ Enter the **Cheque Dimensions**

Cheque Printing Configuration (All Dimensions in mm only)		
Width of Cheque	:	204
Height of Cheque	:	92
Distance of Date Line from Top Edge	:	9
Starting Location of Date from Left Edge	:	160
Distance of Party's Name Line from Top Edge	:	20
Starting Location of Name from Left Edge	:	14
Width of Name area	:	170
Distance of 2nd Amt-in-words Line from Top Edge	:	40.50
Height (gap) of Amt-in-words Line	:	6
Starting Location of Amt-in-words from Left Edge	:	33
Width of Amt-in-words area	:	100
Distance of Amt-in-figures Line from Top Edge	:	36
Starting Location of Amt-in-figures from Left Edge	:	153
Width of Amt-in-figures area	:	39
Distance of Company Signature Bottom Line from Top Edge	:	65
Starting Location of Signature from Left Edge	:	140
* Width of Signature area	:	50
* Height of Signature area	:	19
(* mandatory to save configuration)		
Salutation of 1st Signatory (if 2 signatories)	:	Secretary
Salutation of 2nd or Single Signatory	:	Managing Director

Figure 1.24 Cheque Printing Configuration Screen

Tally.ERP 9 allows you the flexibility to specify the payee's name other than the ledger account under which the payment is accounted. Once the voucher is saved, Tally.ERP 9 prompts you to print the cheque.

Lesson 2: Why is Tally the best for basic Financial Management?

Tally.ERP 9 provides you the capability to generate various financial statements and Management Information system reports, thereby facilitating better management, effective control and well-informed decisions. Following are the some of salient features, which makes Tally.ERP 9 best for basic financial management.

- ❑ Fund Flows
- ❑ Receivables Turnover (Payment performance of debtors)
- ❑ Branch Accounting
- ❑ Flexible Period Accounting
- ❑ Budgeting and Control
- ❑ Cost centers / Profit centers with multiple Cost Categories
- ❑ Ratio Analysis
- ❑ Scenario Management

2.1 Fund Flows

A **Fund Flow statement** reflects the movement in sources and application of funds which impacts the business's working capital and cash position. It includes operational funds, increase and decrease in inventories, creditors/debtors. This statement reveals the sources of the Funds and their applications. Tally.ERP 9 tracks automatically all transactions entered and readily provides a Funds Flow Statement.

To view **Fund Flow Statement**,

Go to **Gateway of Tally > Display > Cash / Funds Flow > Funds Flow**

- ❑ Select any **month**
- ❑ Press **Enter**

Figure 2.1 Funds Flow Summary

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Group Payment Performance		Universal Enterprises		Ctrl + M
Particulars		Sundry Debtors Universal Enterprises 1-Apr-2008 to 31-Mar-2009		
		Using Receivables Formula	Using Actual Bill Clearance Dates	
East Debtors		64.47 days	68.67 days	
K.P.Bhutia				
M.M.Lal			2.00 days	
Universal Systems		64.91 days	102.00 days	
North Debtors		6.06 days	104.00 days	
Computer World		6.06 days	104.00 days	
South Debtors		87.89 days	88.53 days	
All India Computer Institute		153.21 days		
Amar Computer Peripherals		44.27 days		
Arvind Kumar		0.08 days	132.00 days	
AVT Computers		102.92 days	64.67 days	
Best Systems Pvt Ltd				
Computer Junction		96.45 days		
Fortune Computer Services		57.00 days	103.50 days	
Futura Systems		277.75 days		
Gaitonde Traders		118.87 days	147.00 days	
Global Traders		340.05 days		
Horizon Systems		138.36 days		
Manjunath Systems			23.00 days	
Office Automation Systems		116.55 days	201.00 days	
Prism Softlinks		45.78 days		
Silverplus Computers		127.39 days	89.43 days	
Soft Stop			129.00 days	
Step-in Computers		58.58 days		
Sterling Business Solutions		144.84 days		
			15 more ...	
Performance for the Group		68.20 days	50.35 days	

Figure 2.2 Payment Performance of Debtors

2.3 Branch Accounting

Tally.ERP 9 provides you a seamless way of handling branch accounts. Transactions between branches or offices are accounted by debiting the receiving branches accounts and crediting the branches providing the service/products. These accounting entries result in a nil effect on the HO's account books when the branch accounts are consolidated. If there is a difference in the account, it is reconciled through a process of branch reconciliation.

For example, create two branch ledgers, **Branch A** and **Branch B**. You may account the transfer of funds from **Branch A** to **Branch B** in the books of accounts, by debiting **Branch B** which in turn, credits **Branch A** in its books. There is no net effect on the combined books, when the accounts of the two branches are consolidated.



*Branch Account Ledgers are required to be created under the **Branch / Divisions Group**.*

2.4 Flexible Period Accounting

Tally.ERP 9 is one of the most flexible accounting packages available and this can be illustrated by the fact that it can handle multiple periods in a single company. Once a company is created you can specify any range of dates and obtain reports for that period. These date range can also be across multiple financial years. i.e. you can get a report for monthly, quarterly, half-yearly or annually or for 18 months or 24 months and so on.

Example:

Go to **Gateway of Tally > Profit & Loss A/c**.

- Select **F2: Period** and specify the **date range** to view the report.

Profit & Loss A/c		Universal Enterprises		Ctrl + M
Particulars		Universal Enterprises 1-Apr-2008 to 30-Jun-2008	Universal Enterprises 1-Apr-2008 to 30-Sep-2008	
<u>Trading Account :</u>				
Sales Accounts		64,81,775.00	1,22,33,600.00	
Cost of Sales :		51,97,613.09	1,03,45,434.09	
Opening Stock				
Add: Purchase Accounts		83,47,275.00	1,27,51,387.50	
Less: Closing Stock		31,57,971.91	24,22,573.41	
		51,89,303.09	1,03,28,814.09	
Direct Expenses		8,310.00	16,620.00	
Gross Profit :		12,84,161.91	24,88,165.91	
<u>Income Statement :</u>				
Indirect Incomes				
		12,84,161.91	24,88,165.91	
Indirect Expenses		3,91,873.43	8,22,096.49	
Nett Profit :		8,92,288.48	16,66,069.42	

Figure 2.3 Flexible Period Accounting Report

2.5 Budgeting and Control

Businesses need to control their expenses based on income levels and monitor variances. Budgets in Tally.ERP 9 helps you compare the actual financial performance versus budgeted figures and obtain variance reports. You can define multiple budgets (e.g. Optimistic Budget, Realistic Budget) or even create budgets for different periods. The budget values can be defined for each Group as well as for all Ledgers.

To configure for **budgets**,

Go to **Gateway of Tally > F11: Features > F1: Accounting Features**

- ❑ Set parameter **Maintain Budgets and Controls** to **Yes**

To create **budgets**,

Go to **Gateway of Tally > Accounts Info. > Budgets > Create**

- ❑ Specify a **name** for the budget
- ❑ Specify a **date range** for the budget

- Set **Yes** to **Groups / Ledgers** and assign budget to selected groups/ledgers

To view **budget reports**,

- Select any report (Balance Sheet, Profit and Loss A/c, Trial Balance)
- Select **Alt + C (New Column)**
- Specify details for **period**, **Currency** and **Method of Stock Valuation**. (Default or as per requirement)
- Select the created **budget** name for **Types of Value to show**
- Set **Show Variance** to **No**

Profit & Loss A/c	Universal Enterprises		Ctrl + M
Particulars	Universal Enterprises Actuals 1-Apr-2008 to 31-Mar-2009	Universal Enterprises Expenditure Budget 1-Apr-2008 to 31-Mar-2009	
↑ ... 28 more			
Profit on Sale of Assets			
Profit on Sale of Fixed Assets			
	86,97,741.73	24,000.00	
Indirect Expenses	24,58,749.81	2,50,000.00	
Depreciation on Fixed Assets	6,02,622.20		
Interest & Finance Charges	55,519.37		
Operating Expenses	3,33,568.75	1,24,000.00	
Salaries & Remuneration Paid	12,79,165.00	7,00,000.00	
Selling & Distribution Expenses	19,400.00	5,000.00	
Employer ESI Contributions	8,668.00		
Employer PF Contributions	44,596.49		
Bonus	50,000.00		
Business Promotion Expenses	25,500.00	10,000.00	
Depreciation			
Discount			
Insurance Premium			
Interest Due			
Interest & Finance Charges			
Interest on Partner's Capital A/c			
Legal Fees	16,500.00		
Miscellaneous Expenses	13,210.00	8,000.00	
PF Employers			
Repairs & Maintenance		3,000.00	
Research & Development Expenses	10,000.00		
Rounding Off			
Nett Profit :	62,38,991.92	(-)2,74,000.00	

Variance Analysis

Once you have created Budgets, you can view the Variance Analysis Report which provides information on the difference between the actual versus the budgeted figures. This report helps management to figure out variances and work to remedy the situation with the ability to drill down to the voucher level the user is able to understand which particular transaction or group of transaction brought about the variation.

To view a **variance analysis report**, you may set the option **Show Variance** to **Yes**, as explained above or follow the steps given below :

Go to **Gateway of Tally > Display > Trial Balance/Account Books (Group Summary)**

- Select the **Budget Variance (Alt + B)** - Type of budget

Trial Balance Universal Enterprises Ctrl + M						
Particulars	Universal Enterprises 1-Apr-2008 to 31-Mar-2009		Universal Enterprises 1-Apr-2008 to 31-Mar-2009		Universal Enterprises 1-Apr-2008 to 31-Mar-2009	
	Expenditure Budget		Actuals		Expenditure Budget Variance	
	Closing Balance		Closing Balance		Closing Balance	
	Debit	Credit	Debit	Credit	Debit	Credit
Capital Account				55,00,000.00		
Loans (Liability)				4,63,216.03		
Current Liabilities			1,35,769.86	55,75,610.37		
Fixed Assets			40,65,111.88	6,02,622.20		
Investments			5,00,000.00			
Current Assets			1,24,09,735.66	89,005.06		
Sales Accounts		10,000.00		3,15,70,847.50		3,15,60,847.50 31500.47%
Purchase Accounts			2,41,94,697.50			
Direct Expenses	34,000.00		33,240.00	97.76%	760.00	2.235%
Indirect Expenses	2,50,000.00		24,62,249.81	984.90%	(+22,12,249.81	(+894.000%
Profit & Loss A/c		2,74,000.00		3,500.00	(-)2,74,000.00	(-)100%
Grand Total	2,84,000.00	2,84,000.00	4,38,04,804.71	15,424.23%	4,38,04,801.16	15,424.23%

Figure 2.4 Budget Variance Report

To view the **variance report** in detailed mode, press **Alt+F1** from the above report.

2.6 Cost centers / Profit centers with multiple Cost Categories

In Tally.ERP 9 you can allocate transactions (especially those which are revenue in nature) to particular Cost Centres, which will help you in extracting reports for that Cost Centre (Profit Centre). Cost Centers could generally be a Unit / Division / Department / Function / Activity etc in the organization or even Sales Executives, to which transactions (generally transactions which are revenue in nature) are allocated.

You can also compare one cost centre with the other. Hence cost centers will provide the management with information regarding their performance. With cost categories enabled, parallel allocation of the same expense is possible between different cost centres.

To view **Cost Centre Break-Up**,

Go to **Gateway of Tally > Display > Statements of Accounts > Cost Centres > Cost Centre Break-Up**

Breakup of Cost Centre		Universal Enterprises		Ctrl + M
Particulars	Cost Centre: Administration Universal Enterprises 1-Apr-2008 to 31-Mar-2009			
	Transactions		Closing	
	Debit	Credit	Balance	
Current Liabilities	2,47,357.63	2,58,633.73	11,276.10 Cr	
EDLI Admin Charges @ 0.01%	10.21	11.31	1.10 Cr	
EDLI Contribution @ 0.5%	38.00	42.00	4.00 Cr	
Employee's ESI Contribution @ 1.75%	1,124.00	1,124.00		
Employee's PF Contribution @ 12%	12,245.00	13,565.00	1,320.00 Cr	
ESI Payable	3,049.00	3,049.00		
PF Admin Charges @ 1.10%	1,122.42	1,243.42	121.00 Cr	
PF Payable	12,245.00	12,245.00		
Professional Tax	2,570.00	2,540.00	30.00 Dr	
Salary Payable	2,14,954.00	2,24,814.00	9,860.00 Cr	
Indirect Expenses	2,57,337.00		2,57,337.00 Dr	
Salaries & Remuneration Paid	2,32,043.00		2,32,043.00 Dr	
Employer ESI Contributions	3,049.00		3,049.00 Dr	
Employer PF Contributions	12,245.00		12,245.00 Dr	
Grand Total	5,04,694.63	2,58,633.73	2,46,060.90 Dr	

Figure 2.5 Cost Centre Break-up Report

2.6.1 Cost Category

In many cases, you would like to allocate a transaction to more than one cost centres. Especially, if you want to track revenue either based on location and person or brand and type of product, Tally.ERP 9 provides you a facility called Cost Categories. This facility enables you to allocate costs to parallel sets of cost centres i.e., the same amount can be allocated to more than one cost centre.

For example., Create two categories, one by the name of **Administration** and another by the name **Accounts** under **Primary Cost Category**. Create Employees or persons under the respective cost categories and enter a payment transaction for a ledger account for which cost centres are applicable.

- Select the relevant **Cost Category** and **Cost Centre** during Voucher Entry

To view **Cost Category summary**,

Go to **Gateway of Tally > Display > Statements of Accounts > Cost Centres > Category Summary**

Cost Category Summary		Universal Enterprises		Ctrl + M
Particulars		Universal Enterprises 1-Apr-2008 to 31-Mar-2009		
		Transactions		Closing
		Debit	Credit	Balance
Branch Office		331.90		331.90 Dr
Salaries		331.90		331.90 Dr
Primary Cost Category		26,49,951.49	13,52,429.49	12,97,522.00 Dr
Accounts		2,27,804.75	1,20,126.25	1,07,678.50 Dr
Accounts				
Rahul		2,27,804.75	1,20,126.25	1,07,678.50 Dr
Administration		5,04,694.63	2,58,633.73	2,46,060.90 Dr
Administration				
Suresh		1,61,275.13	83,629.08	77,646.05 Dr
Vijay Kumar		3,43,419.50	1,75,004.65	1,68,414.85 Dr
Sales		19,17,452.11	9,73,669.51	9,43,782.60 Dr
Sales				
Ajay		3,88,396.05	2,01,002.80	1,87,393.25 Dr
Mahesh		14,67,441.15	7,41,768.80	7,25,672.35 Dr
Rajesh		61,614.91	30,897.91	30,717.00 Dr

Figure 2.6 Cost Category Summary Report

2.7 Ratio Analysis

Ratio Analysis is an indicator on the operating performance of your business and provides information on critical ratios in a single report. You can analyze the ratios and the business performance using this information, viz., operating cost percentage, return on working capital and so on, to aid critical decisions making. Not only does the internal management find the information useful, but also external agencies like banks, financial institutions etc.

To View **Ratio Analysis Report**,

Go to **Gateway of Tally > Ratio Analysis**

Ratio Analysis		Universal Enterprises		Ctrl + M
Principal Groups	Universal Enterprises 1-Apr-2008 to 31-Mar-2009	Principal Ratios	Universal Enterprises 1-Apr-2008 to 31-Mar-2009	
Working Capital	82,39,721.82 Dr	Current Ratio	2.51 : 1	
(Current Assets-Current Liabilities)		(Current Assets : Current Liabilities)		
Cash-in-hand	10,19,901.25 Dr	Quick Ratio	2.26 : 1	
Bank Accounts	29,35,492.67 Dr	(Current Assets-Stock-in-hand : Current Liabilities)		
Bank OD A/c		Debt/Equity Ratio	0.04 : 1	
Sundry Debtors	65,16,336.68 Dr	(Loans (Liability) : Capital Account + Nett Profit)		
(due till today)	73,00,627.27 Dr	Gross Profit %	27.55 %	
Sundry Creditors	50,76,720.00 Cr	Nett Profit %	19.76 %	
(due till today)	48,62,156.00 Cr	Operating Cost %	80.24 %	
Sales Accounts	3,15,70,847.50 Cr	(as percentage of Sales Accounts)		
Purchase Accounts	2,41,98,697.50 Dr	Recv. Turnover in days	68.20 days	
Stock-in-hand	13,58,831.73 Dr	(payment performance of Debtors)		
Nett Profit	62,38,991.92 Cr	Return on Investment %	53.15 %	
Wkg. Capital Turnover	3.83	(Nett Profit / Capital Account + Nett Profit)		
(Sales Accounts / Working Capital)		Return on Wkg. Capital %	75.72 %	
Inventory Turnover	23.23	(Nett Profit / Working Capital) %		
(Sales Accounts / Closing Stock)				

Figure 2.7 Ratio Analysis Report

2.8 Scenario Management

Scenario Management is the management tool provided in Tally.ERP 9 with the help of which you can create multiple scenarios for the purpose of forecasting or to view provisional reports. This can be done by selectively including certain types of vouchers, which will in no way affect the regular books. The vouchers that are used in scenario management are

1. Optional Vouchers
2. Memorandum Vouchers
3. Reversing Journals

To configure for **Scenarios**,

Go to **Gateway of Tally > F11: Features > F1: Accounting Features**

- Set **Use Reversing Journals** and **Optional Vouchers** to **Yes**

To create a **Scenario**:

Go to **Gateway of Tally > Accounts Info. > Scenarios > Create**

- ❑ Specify the **name** of the scenario
- ❑ Set parameter **Include Actuals** to **Yes/No** (as required)
- ❑ Set parameters relating to **Exclude forex gains/loss** and **Exclude inventory tracking** to **Yes/No** (as required)
- ❑ Specify the **voucher types** to be **included/excluded** (Use **Exclude** option only for those Voucher Types that have been included previously).

To view **Scenarios**,

- ❑ Select any report (Balance Sheet, Profit and Loss A/c, Cost Centre and so on)
- ❑ Select **Alt + C (New Column)**
- ❑ Select the **scenario**
- ❑ Set parameter **Show Variance** to **Yes/No**

Profit & Loss A/c		Universal Enterprises		Ctrl + M
Particulars		Universal Enterprises Actuals 1-Apr-2008 to 31-Mar -2009	Universal Enterprises Scenario 2 1-Apr-2008 to 31-Mar -2009	
Trading Account :				
Sales Accounts		3,15,70,847.50	3,75,000.00	
CST Sales		60,30,125.00		
Local Sales		2,46,85,830.00		
Advertisement Charges				
Cash Sales				
Sales @ 20%		2,88,000.00		
Sales - Advertising Services		56,550.00		
Sales AMC for Computers		65,000.00		
Sales - Exports		70,342.50		
Sales Bills to Make		3,75,000.00	3,75,000.00	
Cost of Sales :		2,28,73,105.77	2,70,469.65	
Opening Stock				
Add: Purchase Accounts		2,41,98,697.50		
Less: Closing Stock		13,58,831.73	(;)2,70,469.65	
		2,28,39,865.77	2,70,469.65	
Direct Expenses		33,240.00		
Assembling Charges		18,240.00		
Carriage Inwards		15,000.00		
Gross Profit :		86,97,741.73	1,04,530.35	
Income Statement :				
Indirect Incomes				
Excess Provision No Longer Required				
Incomes From Retail Trade				
Interest Accrued				
				29 more ... ↓

Figure 2.8 Profit & Loss A/c with Scenario

Reversing Journals and Optional vouchers are both non-accounting vouchers and hence will not affect your books of accounts in any manner. The reversing Journal is a separate Voucher Type.

This voucher is effective only when called for in reports as a part of the scenario management. In case of Reversing Journals, you can specify the date till which it is applicable.

To enter a **Reversal Journal**,

Go to **Gateway of Tally > Accounting Vouchers > F10: Rev Jnl.**

- Complete the transaction and specify a date till which it is applicable

To select an **optional voucher**,

- Go to **Gateway of Tally > Accounting Vouchers >**
- Press **Ctrl + L: Optional** to mark the chosen voucher as optional

This voucher is used when you have to enter a transaction but have incomplete information or the transaction is not yet completed. It can be regularized at any time, by going into the alteration mode and clicking on **Regular (Ctrl+L)** option.

Lesson 3: Why is Tally the best for advanced Financial Management ?

Tally.ERP 9 provides you the capability to generate numerous advanced and critical Management Information system reports and analytical tools, thereby facilitating better management, effective control and well-informed decisions. Following are the some of salient features, which makes Tally.ERP 9 best for advanced financial management.

- ❑ Multiple companies
- ❑ Multi-Currency
- ❑ Multiple Financial year
- ❑ Multi-columnar reporting
- ❑ Memo Vouchers
- ❑ Post dated Vouchers
- ❑ User defined Vouchers
- ❑ Sales and Purchase extracts
- ❑ Cash Flows
- ❑ Daily Balance & Transaction Values
- ❑ Interest calculations
- ❑ Percentage Based Reporting

3.1 Multiple companies

In Tally.ERP 9 you can create and maintain multiple companies. Not only, can you maintain all the companies / branch companies in Tally.ERP 9, but you can also maintain your personal accounts as well. Tally.ERP 9 allows to handle Companies concurrently i.e. You can load more than one company and work on one or all of the companies loaded simultaneously, by toggling between them, as and when required.

Tally.ERP 9 also allows you to make use of group company feature wherein you can create a group company with member companies and generate consolidated reports for the entire group as well as individual constituent company.

To create **Multiple Companies**,

Go to **Gateway of Tally > Create Company**,

- ❑ Specify **Company Name** and other related details
- ❑ Once you create a company, create another new company (from **Gateway of Tally > Alt + F3 (Company Info.)**) and specify the details as explained

To create **Group Company**,

Go to **Gateway of Tally > Company Info. (Alt+ F3) > Create Group Company**

- ❑ Specify name of the **Group Company** and other information.
- ❑ Select companies (already created) to be grouped together

A group company is automatically created, once you have created more than one company. Now, you can load and work on any one of the companies.

3.2 Multi-Currency

Many Organizations have transactions in more than one currency. Such transactions have to be recorded either in the base (home) currency or in the foreign currency. If the transactions are recorded in home currency, the rate at which the foreign currency is exchanged should be recorded as well.

Tally.ERP 9 allows you create and transact in multiple currencies. Tally.ERP 9 uses the term base currency for the currency in which your account books are kept. Foreign Exchange is used interchangeably with foreign currency. The base currency is specified while creating the company.

Tally.ERP 9 makes it easy to manage multiple currencies, automatic calculations of exchange rates, automatic conversion of any currency used to record a transaction to the currency of the account, etc. You can generate an invoice for your foreign customers in their currency and also receive payments in the same or different currency. The impact of gain or loss in Forex is reflected immediately. You can also view and print Reports and Ledger Accounts in the currency of the transaction that has been entered or base currency.

To use **Multi-currency** feature,

Step 1 : Enable Multi-Currency Feature

Go to **Gateway of Tally > F11: Features > F1: Accounting Features**

- ❑ Set **Allow Multi Currency** to **Yes**

Step 2 : Create Multi-Currency

Go to **Gateway of Tally > Accounts Info. > Currencies > Create**

- Enter the **Currency Symbol** and other details

Step 3 : Define Rate of Exchange

Go to **Gateway of Tally > Accounts Info > Currencies > Rate of Exchange**.

- Specify the **Date** for Rate of Exchange and other details (Standard, Selling and Buying).

You can now enter transactions in the currency of your choice.

To view report in **Multi-Currencies**,

- Select any report (i.e., Balance Sheet, Profit and Loss A/c, Trial Balance or any other report)
- Select **Alt + C (New Column)**
- Select the required **currency** (in which you want to view the report)
- Specify the **Rate of Exchange** for the selected currency and press **Enter**

Profit & Loss A/c	Universal Enterprises		Ctrl + M
Particulars	Universal Enterprises (in Indian Rupees) 1-Apr-2008 to 31-Mar-2009	Universal Enterprises (in US Dollar @ \$ 1/Rs. 42.50) 1-Apr-2008 to 31-Mar-2009	
<u>Trading Account :</u>			
Sales Accounts	3,15,70,847.50	\$ 742,843.47	
CST Sales	60,30,125.00	\$ 141,885.29	
Local Sales	2,46,85,830.00	\$ 580,843.06	
Sales @ 20%	2,88,000.00	\$ 6,776.47	
Sales - Advertising Services	56,550.00	\$ 1,330.59	
Sales AMC for Computers	65,000.00	\$ 1,529.41	
Sales - Exports	70,342.50	\$ 1,655.12	
Sales Bills to Make	3,75,000.00	\$ 8,823.53	
Cost of Sales :	2,28,73,105.77	\$ 538,190.72	
Opening Stock			
Add: Purchase Accounts	2,41,98,697.50	\$ 569,381.12	
Less: Closing Stock	13,58,831.73	\$ 31,972.51	
	2,28,39,865.77	\$ 537,408.61	
Direct Expenses	33,240.00	\$ 782.12	
Assembling Charges	18,240.00	\$ 429.18	
Carriage Inwards	15,000.00	\$ 352.94	
Gross Profit :	86,97,741.73	\$ 204,652.75	
<u>Income Statement :</u>			
Indirect Incomes			
	86,97,741.73	\$ 204,652.75	
Indirect Expenses	24,58,749.81	\$ 57,852.94	
Depreciation on Fixed Assets	6,02,622.20	\$ 14,179.35	
			13 more ... ↓

Figure 3.1 Profit & Loss Account in Multi-Currency

3.3 Multiple financial year

In Tally.ERP 9 , you can have any number of financial years for one company. At the time of creating the company, it is necessary for you to mention the beginning of the financial year. Thereafter, you can maintain accounts for any number of periods. For example, assume you have created a Company starting from 1st of April 2008. Now, if you wish to change to the next financial year, you have to select **F2: Period(Alt+F2)**, from **Gateway of Tally** and specify the date range as 1-4-2009 to 31-3-2010 and continue with the transactions for the next financial year.

Once you have information for multiple years in a single company you can easily toggle between different financial periods, by selecting **F2: Period(Alt+F2)** option or can view reports for a period which could span across multiple financial years, for e.g. you can view a report consisting of transactions for the second half of the previous financial year and first half the current financial year.



In the new financial year, the non revenue closing balances (Balance Sheet values) are automatically brought forward as opening balance for the current financial year. Also if, for some reason due to Audit entries the values are affected in the previous financial year, the changed values are updated automatically in the current financial year.

3.4 Multi-columnar reporting

In Tally.ERP 9, you can compare information using multi-columnar reports. You can view / compare information for multiple periods (year, month, quarter or any specified period), multiple currencies and so on for the same company or compare information for two or more companies in the same screen without toggling between different periods / companies. This flexibility and ease in comparison of information will help you to do meaningful analysis and bring out any exceptions immediately.

To view a **Multi-Columnar Report**

- ❑ Select any report (e.g. **Balance Sheet**)
- ❑ Select **(Alt + N) Auto Column**
- ❑ Select any option (company, year, month, quarter etc) and press **Enter**

Tally.ERP 9 now displays comparisons based on the option selected.

Balance Sheet Universal Enterprises Ctrl + M				
	Universal Enterprises as at 30-Jun-2008	Universal Enterprises as at 30-Sep-2008	Universal Enterprises as at 31-Dec-2008	Universal Enterprises as at 31-Mar-2009
Sources of Funds :				
Capital Account	55,00,000.00	55,00,000.00	55,00,000.00	55,00,000.00
Current A/c				
Balasubramanian's Share Capital A/c	7,13,000.00	7,13,000.00	7,13,000.00	7,13,000.00
Kavitha's Share Capital A/c	2,76,500.00	2,76,500.00	2,76,500.00	2,76,500.00
Mohan's Share Capital A/c	15,00,000.00	15,00,000.00	15,00,000.00	15,00,000.00
Priya Ganesh's Share Capital A/c	5,65,500.00	5,65,500.00	5,65,500.00	5,65,500.00
Sathish's Share Capital A/c	14,00,000.00	14,00,000.00	14,00,000.00	14,00,000.00
Suresh's Share Capital A/c	4,75,500.00	4,75,500.00	4,75,500.00	4,75,500.00
Vijayakumar's Share Capital A/c	5,69,500.00	5,69,500.00	5,69,500.00	5,69,500.00
Loans (Liability)	5,57,277.46	4,93,643.65	5,18,279.84	4,63,216.03
Unsecured Loans	5,42,407.46	4,89,543.65	5,07,679.84	4,43,316.03
HDFC Silver Credit Card	14,870.00	4,100.00	10,600.00	19,900.00
Current Liabilities	52,26,280.47	67,07,388.60	41,33,233.49	54,39,840.51
Duties & Taxes	(-)3,84,388.63	(-)2,21,038.83	1,12,691.23	65,206.54
Provisions				91,618.38
Sundry Creditors	54,36,342.00	67,60,047.50	38,58,109.50	50,76,720.00
EDLI Admin Charges @ 0.01%				
EDLI Contribution @ 0.5%				
Employee's ESI Contribution @ 1.75%				
Employee's PF Contribution @ 12%				
ESI Payable	210.00	210.00	210.00	210.00
Interest on Car Loan A/c	1,74,117.10	1,68,169.93	1,62,222.76	1,56,275.59
PF Admin Charges @ 1.10%				
PF Payable				
Professional Tax				
Salary Payable				49,810.00
				25 more ...

Figure 3.2 Data Comparison across Multiple Periods



You can also select a date range, by pressing **Alt+C (New Column)** and specifying the period and then compare data of companies

3.5 Memo Vouchers

Memo Vouchers are non-accounting vouchers and entries passed using such vouchers do not affect the books of accounts. Memo vouchers are used when you have to make suspense payments or make a transaction for which you do not have complete information.

In Tally.ERP 9, such vouchers are not posted to ledgers but stored in a separate register. However, you may modify or convert memo vouchers to regular vouchers, when you decide to bring them into your books.

To enter a **Memo Voucher**,

Go to **Gateway of Tally > Accounting Vouchers**

- ❑ Press **Ctrl+F10 (F10: Memos)**
- ❑ Complete the transaction and save

Memo Vouchers can be effectively used in creating Scenarios. Entries made through these vouchers become a part of a scenario management and you can view reports on the scenarios by including memo vouchers.

To view the **Memorandum Register**,

Go to **Gateway of Tally > Display > Exception Reports > Memorandum Vouchers**

- ❑ Select a **month** or Click **F2: Period** to specify a date range for viewing the report for different periods.

Voucher Register		Universal Enterprises		Ctrl + M	
List of All Memorandum Vouchers				1-Apr-2008 to 31-Mar-2009	
Date	Particulars	Vch Type	Vch No.	Debit Amount	Credit Amount
27-8-2008	NSC	Memorandum	1	15,000.00	
31-8-2008	Assembling Charges	Memorandum	2	150.00	

Figure 3.3 Memorandum Vouchers Register

3.6 Post dated Vouchers

Tally.ERP 9 provides the capability to enter vouchers in advance for future transactions, that are definite in nature. The vouchers marked as **Post dated** does not affect the books of accounts till the date specified in the voucher. This facility is extremely useful when the user has issued or received post-dated cheques and does not need to modify the voucher to reflect the transaction on a particular date.

To enter a **Post dated Voucher**,

Go to **Gateway of Tally >Accounting Vouchers > select F5: Payment**

- ❑ Click **Ctrl + T (Post Dated)**
- ❑ Complete the transaction and save

To view **Post dated vouchers**,

Go to **Gateway of Tally >Display > Exception Reports > Post-Dated Vouchers**

- ❑ Select a **month** or Click **F2: Period** to specify a date range for viewing the report for different periods.

Voucher Register		Universal Enterprises		Ctrl + M	
List of All Post Dated Vouchers				1-Apr-2008 to 31-Mar-2009	
Date	Particulars	Vch Type	Vch No.	Debit Amount	Credit Amount
				Inwards Qty	Outwards Qty
21-1-2009	Zen Enterprises	Payment	296	10,000.00	
29-1-2009	Global Traders	Receipt	100		12,500.00

Figure 3.4 Post Dated Vouchers Register

3.7 User defined Vouchers

Tally.ERP 9 provides 18 predefined vouchers and also allows you to create new Accounting as well as Inventory vouchers types, as per your requirements. For example, you can further classify payment vouchers by creating vouchers by the name **Bank Payment** and **Cash Payment** Vouchers. You can also set the voucher numbering as per your needs, which can be either automatic numbering or manual numbering or have no numbering at all. Further, you can also assign **Prefix** and **Suffix** for voucher numbers and choose to restart numbering either from beginning of the year or month and so on.

To create a new **Voucher Type**,

Go to **Gateway of Tally > Accounts Info. > Voucher Types > Create**

- ❑ Enter the voucher name, type, specify the method of numbering, activate or deactivate the other functions as per needs.

3.8 Sales and Purchase extracts

In Tally.ERP 9, you can generate extract of the report on Sales and Purchase Registers. The extract report provides you consolidated figures for both debit and credit balances for all groups and ledgers. With this report you get the complete Sales / Purchase Turnover figures for any period.

To generate **Extract of Purchase Register**,

Go to **Gateway of Tally > Display > Accounts Books > Purchase Register**

- ❑ Select any **month**
- ❑ Click **F6: Extract**

Voucher Register		Universal Enterprises	Ctrl + M
Extract of All Purchase Vouchers		1-Dec-2008 to 31-Dec-2008	
Particulars	Debit Amount	Credit Amount	
Sundry Creditors		26,55,139.82	
Sundry Creditors - Trading		5,94,069.00	
Chandra Timbers		20,58,328.00	
Fast Couriers		1,292.14	
Telephone Link Ltd.,		1,460.68	
Purchase Accounts	24,03,285.00		
Purchase @ 12.5%	18,29,625.00		
Purchase @ 4%	5,71,210.00		
Purchase - Courier Charges	1,150.00		
Purchase - Telephone Services	1,300.00		
Current Liabilities	2,51,854.82		
Duties & Taxes	2,51,854.82		
Grand Total :		26,55,139.82	26,55,139.82

Figure 3.5 Purchase Extract Report



To generate day-wise extract of Purchase, in **F12: Configure** of the **Purchase Register** screen, set **Periodicity to use to Daily**.

3.9 Cash Flows

Tally.ERP 9 provides you with a cash flow statement to track the movement of cash flow i.e. cash inflows as well as cash outflows (both cash & bank included) of your business. The report also displays a net flow for any period.

To View **Cash Flow Summary**,

Go to **Gateway of Tally > Display > Cash/Funds Flow > Cash Flow**

- Select a month

Cash Flow Summary		Universal Enterprises		Ctrl + M
Inflow	Universal Enterprises 1-Jan-2009 to 31-Jan-2009	Outflow	Universal Enterprises 1-Jan-2009 to 31-Jan-2009	
Loans (Liability)	30,000.00	Loans (Liability)	17,621.27	
Unsecured Loans	30,000.00	Unsecured Loans	17,621.27	
Current Liabilities	496.00	Current Liabilities	9,12,435.90	
Duties & Taxes	496.00	Duties & Taxes	88,090.00	
Current Assets	41,83,548.01	Sundry Creditors	7,07,052.61	
Sundry Debtors	41,83,548.01	EDLI Admin Charges @ 0.01%	2.90	
Sales Accounts	12,400.00	EDLI Contribution @ 0.5%	10.00	
Local Sales	12,400.00	Employee's ESI Contribution @ 1.75%	258.00	
		Employee's PF Contribution @ 12%	3,480.00	
		ESI Payable	699.00	
		Interest on Car Loan A/c	1,982.39	
		PF Admin Charges @ 1.10%	319.00	
		PF Payable	3,480.00	
		Professional Tax	670.00	
		Salary Payable	1,06,392.00	
		Direct Expenses	1,520.00	
		Assembling Charges	1,520.00	
		Indirect Expenses	10,227.75	
		Operating Expenses	10,227.75	
	1 more ...		1 more ...	
Total	42,26,444.01	Total	9,41,804.92	
	Nett Inflow: 32,84,639.09			

Figure 3.6 Cash Flow Summary



- ❑ To generate **Daily Cash Flow Statement**, press **F4**.
- ❑ To view informaton on the **average cash inflow/out flow** for any period, in **F12: Configure**, activate **average details**.

3.10 Daily Balance & Transaction Values

You can view cash/ bank books and ledgers on a day-wise basis to get information on the total transaction value and closing balances. You can also view daily average details as well as high and low details for the month in the same report.

To View **Daily Break Up of Cash/Bank Books or Ledger**,

Go to **Gateway of Tally > Display > Accounts Books > Cash/Bank Books or Ledger**

- ❑ Select the ledger account (Bank/Cash or any other ledger)
- ❑ From the **Ledger Monthly Summary** report, select a particular **month** and press **Enter**
- ❑ In the **Ledger Vouchers** screen
 - Click **F6: Dly Brk-up**
 - Click **F12: Configure**, set **Show Average Details** and **Show High/Low Details** to **Yes**

Daily Breakup of Ledger		Universal Enterprises		Ctrl + M	X
Particulars	Cash Universal Enterprises 1-Oct-2008 to 31-Oct-2008				
	Transactions		Closing Balance		
	Debit	Credit			
↑ ... 12 more					
12-Oct				6,47,906.00	Dr
13-Oct			1,501.00	6,46,405.00	Dr
14-Oct				6,46,405.00	Dr
15-Oct	25,000.00			6,71,405.00	Dr
16-Oct				6,71,405.00	Dr
17-Oct				6,71,405.00	Dr
18-Oct	50,000.00			7,21,405.00	Dr
19-Oct		31,890.00		6,89,515.00	Dr
20-Oct				6,89,515.00	Dr
21-Oct		2,569.00		6,86,946.00	Dr
22-Oct				6,86,946.00	Dr
23-Oct				6,86,946.00	Dr
24-Oct				6,86,946.00	Dr
25-Oct				6,86,946.00	Dr
26-Oct		25,118.00		6,61,828.00	Dr
27-Oct				6,61,828.00	Dr
28-Oct				6,61,828.00	Dr
29-Oct				6,61,828.00	Dr
30-Oct	1,00,000.00	460.00		7,61,368.00	Dr
31-Oct				7,61,368.00	Dr
Grand Total	1,85,000.00	97,622.00	7,61,368.00	Dr	
Average	5,967.74	3,149.10	6,75,284.06	Dr	
Highest	(dt. 30-Oct-2008)	(dt. 30-Oct-2008)	(dt. 30-Oct-2008)		
Balance	1,00,000.00	31,890.00	7,61,368.00	Dr	
Lowest	(dt. 7-Oct-2008)	(dt. 5-Oct-2008)	(dt. 13-Oct-2008)		
Balance	10,000.00	399.00	6,46,405.00	Dr	

Figure 3.7 Daily Breakup of Ledger

Tally.ERP 9 displays a screen showing the **Average** as well as **High and Low details** for the selected ledger. From the above report, you can also drill down to voucher level for any kind of verification/alteration.

3.11 Interest Calculations

Tally.ERP 9 provides a powerful capability to calculate interest on outstanding balance amounts and outstanding bills/invoices/ transactions (Receivables and payables) or on any delayed payments so on.

You can view the impact of interest accumulated against each ledger and also against each transaction. Although, Tally.ERP 9 provides exhaustive information on interest implications, the interest amounts are not brought into books. You may choose to book the interest calculated as per your requirements. Interest is calculated either on simple or compound basis and accounted into the books, by using debit notes for interest receivables and credit notes for interest payable.

The **Activate Interest Calculation** field is displayed in the **Ledger Creation** screen only, if **Activate Interest Calculations** is set to **Yes** in **F11: Accounting Features**. Set this field to **Yes** for each specific ledger account for which interest is to be calculated.

Step 1: Enable Interest Calculation

- In **F11: Accounting Features**, set parameter **Activate Interest Calculation** (use advanced parameters) to **Yes**

Step 2: Enable Ledger for Interest Calculation

Go to **Gateway of Tally > Accounts Info->Ledger-> Alter**.

- Select a ledger for which interest calculation has to be activated.
- Set **Activate Interest Calculation** to **Yes** (Set this field to **Yes** for each specific ledger account for which interest is to be calculated.
- Specify information regarding **Rate of interest (%)** and **Style** as per requirements

Interest Parameters	
Calculate Interest Transaction-by-Transaction	? Yes
Override Parameters for each Transaction	? No
Rate : 12 % per 365-Day Year Applicability : Always Rounding : ☐ Not Applicable on Debit Balances Only Calculate From : Due Date of Invoice/Ref	

Figure 3.8 Interest Calculation Parameters

Tally.ERP 9 automatically calculates interest for ledgers for which interest calculations option is activated.

To view **Interest Calculation Report**,

Go to **Gateway of Tally > Display > Statements of Accounts > Interest Calculations > Receivables / Payables/Ledger**



*To specify or change the rate of interest at the time of entering the transaction, set **Override Parameters for each Transaction** to **Yes** in the **Ledger creation** mode.*

3.12 Percentage Based Reporting

In Tally.ERP 9, you can generate percentage based reporting for financial statements like Balance Sheet, Profit & Loss, Cash Flow, Sales register etc. For example, to view percentages for all groups in the Balance Sheet, set **Show Percentages** to **Yes** in **F12:Configure**.

Balance Sheet		Universal Enterprises		Ctrl + M
Liabilities		Universal Enterprises		
		as at 31-Mar-2009		
Capital Account		55,00,000.00	31.18%	
Current A/c				
Balasubramanian's Share Capital A/c		7,13,000.00		
Kavitha's Share Capital A/c		2,76,500.00		
Mohan's Share Capital A/c		15,00,000.00		
Priya Ganesh's Share Capital A/c		5,65,500.00		
Sathish's Share Capital A/c		14,00,000.00		
Suresh's Share Capital A/c		4,75,500.00		
Vijayakumar's Share Capital A/c		5,69,500.00		
Loans (Liability)		4,63,216.03	2.63%	
Unsecured Loans		4,43,316.03		
HDFC Silver Credit Card		19,900.00		
Current Liabilities		54,39,840.51	30.03%	
Duties & Taxes		65,206.54		
Provisions		91,618.38		
Sundry Creditors		50,76,720.00		
EDLI Admin Charges @ 0.01%				
EDLI Contribution @ 0.5%				
Employee's ESI Contribution @ 1.75%				
Employee's PF Contribution @ 12%				
ESI Payable		210.00		
Interest on Car Loan A/c		1,56,275.59		
PF Admin Charges @ 1.10%				
PF Payable				
Professional Tax				
Salary Payable		49,810.00		
Profit & Loss A/c		62,38,991.92	35.36%	
		3 more ...		
Total		1,76,42,052.01	100%	
Assets		Universal Enterprises		
		as at 31-Mar-2009		
Fixed Assets		34,62,489.68	19.63%	
Accumulated Depreciation on Fixed Assets		(16,02,622.20)		
Land & Building		14,00,000.00		
Plant & Machinery		15,25,000.00		
Airconditioner		21,500.00		
Computers & Peripherals		90,460.00		
Furniture & Fixtures		1,22,420.00		
Motor Car - Hyundai GLX		9,05,731.88		
Investments		5,00,000.00	2.83%	
Investments		5,00,000.00		
NSC				
Current Assets		1,36,79,562.33	77.54%	
Closing Stock		13,58,831.73		
Loans & Advances (Asset)		15,99,000.00		
Sundry Debtors		65,16,336.68		
Cash-in-hand		10,19,901.25		
Bank Accounts		29,35,492.67		
Advance Tax		2,50,000.00		
Total		1,76,42,052.01	100%	

Figure 3.9 Balance Sheet with Percentages

Lesson 4: Why Tally is best for basic Inventory Management ?

Tally.ERP 9 provides you the capability to record inventory transactions without changing the way you do your business. It provides numerous predefined Inventory vouchers to suit your business requirements and flexibility to create unlimited stock items, use simple to complex conversion units and generate invoices with the required information and dimensions.

Following are the some of salient features, which makes Tally.ERP 9 best for basic inventory management.

- ❑ Flexible units of Measure
- ❑ Flexible Invoicing
- ❑ Unlimited Grouping & Categorization of Stock items
- ❑ Voucher Classes to expedite voucher Entry
- ❑ Separate Actual and Billed Quantities
- ❑ Gross Profits and Consumption Report
- ❑ Use Stock Item Names and / or Part Numbers
- ❑ POS Invoicing

4.1 Flexible units of Measure

The instances of stock items being measured in different Units of Measure are common. In Tally.ERP 9 you can define multiple units as per your requirements. It is also possible that an item could be transacted in one or more units of measure, for e.g. Sugar is purchased in tons and sold in either kgs or packets. Tally.ERP 9 allows you to transact in all the three units of measure for the same item. This configuration allows you to maintain stock items in both **Main Units** as well as **Alternate Units**.

Tally.ERP 9 allows creation of **compound** as well as **alternate** units for a stock item. You can define a Compound unit as a relation between of two simple Units, for e.g. create a compound unit namely, **Ton of 100 kgs**. You can view Stock Summary report in **Tail Units** also (here in this case, **kgs**)

To create **Units of Measure**,

Go to **Gateway of Tally > Inventory Info. > Units of Measure > Create**

- ❑ Select **Unit Type**
- ❑ Specify **Unit name**

To activate and create **Alternate Units**,

Go to **Gateway of Tally > Inventory Info. > Inventory Info > Stock Item > Create**

- ❑ Press **F12: Configure (Inventory Info.)** and activate **Use ALTERNATE UNITS** for Stock Items
- ❑ Enter **Alternate Units**

To create **Compound Units**, create two simple units of measure (as mentioned earlier) and then

Go to **Gateway of Tally > Inventory Info. > Units of Measure->Create.**

- ❑ Select **Unit Type** as **Compound**
- ❑ Select **First Unit** and enter **Conversion** units
- ❑ Select the **Second Unit**

To view Reports in **Alternative Units**,

Go to **Gateway of Tally > Stock Summary**

- ❑ Press **F12: Configure**, set **Show Opening balance, Goods Inwards, Goods Outwards and Closing Balance** to **Yes**
- ❑ Set **Show using Alternate Units** to **Yes**

Stock Summary			Universal Enterprises						Ctrl + M	
Particulars	Universal Enterprises									
	1-Apr-2008 to 31-Mar-2009									
	Opening Balance		Inwards		Outwards		Closing Balance			
	Quantity (Alt. Units)	Value	Quantity (Alt. Units)	Value	Quantity (Alt. Units)	Value	Quantity (Alt. Units)	Value		
Accessories			9,600 Nos	67,370.00	8,805 Nos	87,252.00	795 Nos	15,792.76		
CDROM Disks 100s			20 Box	9,000.00	15 Box	10,500.00	5 Box	2,250.00		
CDROM Disks 10s			49 Box	7,940.00	46 Box	9,765.00	3 Box	231.25		
CDROM Jackets			500 Box	7,500.00	495 Box	10,995.00	5 Box	75.00		
Dust Covers			615 Nos	22,733.00	540 Nos	35,930.90	75 Nos	2,772.32		
Floppy Disk			10 Box (100Nos)	1,000.00	6 Box (60Nos)	750.00	4 Box (40 Nos)	400.00		
KeyBoard			10 Nos	5,500.00			10 Nos	5,500.00		
Mouse			10 Nos	4,000.00			10 Nos	4,000.00		
Mouse Pad			1,375 Nos	9,697.00	1,295 Nos	19,311.10	80 Nos	564.19		
Components				79,01,690.00		80,03,602.10		2,573.22		
USB Pen Drives 64 MB			442 Nos	6,73,920.00	441 Nos	6,72,273.50	1 Nos	1,524.71		
Wireless Keyboard			534 Nos	3,69,770.00	533 Nos	4,26,194.65	1 Nos	692.45		
Wireless Mouse			619 Nos	2,20,400.00	618 Nos	2,87,187.20	1 Nos	356.06		
Computers			532 Nos	95,26,993.70	531 Nos	1,21,75,500.00	1 Nos			
IBM			13 Nos	2,24,000.00	12 Nos	2,99,500.00	1 Nos			
Defective Items				600.00				600.00		
CDROM Disks 10s - Defective			5 Box	600.00			5 Box	600.00		
Dot Matrix Printers				5,38,000.00		7,16,200.00		14,000.00		
TVS MSP 245 132 Cal Printer			30 Nos	2,43,000.00	29 Nos	3,29,000.00	1 Nos	8,100.00		
TVS MSP 245 80 Cal Printer			50 Nos	2,95,000.00	49 Nos	3,87,200.00	1 Nos	5,900.00		
Laser Jet Printers				8,80,000.00		10,91,500.00		17,400.00		
HP Laserjet 1010 Series			60 Nos	5,52,000.00	59 Nos	7,05,000.00	1 Nos	9,200.00		
Samsung Laserjet 1500			40 Nos	3,28,000.00	39 Nos	3,86,500.00	1 Nos	8,200.00		
IMFL			500 Lts	2,00,000.00	480 Lts	2,88,000.00	20 Lts	8,000.00		
Main Location			500 Lts	2,00,000.00	480 Lts	2,88,000.00	20 Lts	8,000.00		
								4 more ...		
Grand Total				3,12,80,466.20		3,85,07,054.10		13,58,831.73		

Figure 4.1 Stock Summary with Alternate Units

4.1.1 Tail Units

Go to **Gateway of Tally > Stock Summary**

- Press **F12: Configure** and set **Show Tail Units of Compound Units** to **Yes**. Now, Tally.ERP 9 displays compound units of stock items in **Tail units**.

Stock Summary		Universal Enterprises						Ctrl + M	
Particulars	Universal Enterprises								
	1-Apr-2008 to 31-Mar-2009								
	Opening Balance		Inwards		Outwards		Closing Balance		
	Quantity	Value	Quantity	Value	Quantity	Value	Quantity	Value	
Accessories			9,600 Nos	67,370.00	8,805 Nos	87,252.00	795 Nos	15,792.76	
CDROM Disks 100s			2,000 Nos	9,000.00	1,500 Nos	10,500.00	500 Nos	2,250.00	
CDROM Disks 10s			490 Nos	7,940.00	460 Nos	9,765.00	30 Nos	231.25	
CDROM Jackets			5,000 Nos	7,500.00	4,950 Nos	10,995.00	50 Nos	75.00	
Dust Covers			615 Nos	22,733.00	540 Nos	35,930.90	75 Nos	2,772.32	
Floppy Disk			100 Nos	1,000.00	60 Nos	750.00	40 Nos	400.00	
KeyBoard			10 Nos	5,500.00			10 Nos	5,500.00	
Mouse			10 Nos	4,000.00			10 Nos	4,000.00	
Mouse Pad			1,375 Nos	9,697.00	1,295 Nos	19,311.10	80 Nos	564.19	
Components				79,01,690.00		80,03,602.10		2,573.22	
USB Pen Drives 64 MB			442 Nos	6,73,920.00	441 Nos	6,72,273.50	1 Nos	1,524.71	
Wireless Keyboard			534 Nos	3,69,770.00	533 Nos	4,26,194.65	1 Nos	692.45	
Wireless Mouse			619 Nos	2,20,400.00	618 Nos	2,87,187.20	1 Nos	356.06	
Computers			532 Nos	95,26,993.70	531 Nos	1,21,75,500.00	1 Nos		
IBM			13 Nos	2,24,000.00	12 Nos	2,99,500.00	1 Nos		
Defective Items				600.00				600.00	
CDROM Disks 10s - Defective			50 Nos	600.00			50 Nos	600.00	
Dot Matrix Printers				5,38,000.00		7,16,200.00		14,000.00	
TVS MSP 245 132 Col Printer			30 Nos	2,43,000.00	29 Nos	3,29,000.00	1 Nos	8,100.00	
TVS MSP 245 80 Col Printer			50 Nos	2,95,000.00	49 Nos	3,87,200.00	1 Nos	5,900.00	
Laser Jet Printers				8,80,000.00		10,91,500.00		17,400.00	
HP Laserjet 1010 Series			60 Nos	5,52,000.00	59 Nos	7,05,000.00	1 Nos	9,200.00	
Samsung Laserjet 1500			40 Nos	3,28,000.00	39 Nos	3,86,500.00	1 Nos	8,200.00	
IMFL			500 Lts	2,00,000.00	480 Lts	2,88,000.00	20 Lts	8,000.00	
Main Location			500 Lts	2,00,000.00	480 Lts	2,88,000.00	20 Lts	8,000.00	
								4 more ...	
Grand Total				3,12,80,466.20		3,85,07,054.10		13,58,831.73	

Figure 4.2 Stock Summary with Tail Units

4.2 Flexible Invoicing

In Tally.ERP 9, you have flexibility to invoice items or ledger accounts directly to generate sales invoices. The details that you can include or exclude in an invoice is based on the business needs for instance, you may want to print batch number, Manufacturing as well as expiry date, additional description for items, show discounts on the invoice and so on.

4.2.1 Sales Invoice

To enter an Invoice,

Go to **Gateway of Tally > Accounting Vouchers > Select Sales (F8)**

- Press **F12: Configure**, to activate or deactivate the features as per requirements
- **Enter** all relevant information and save the voucher.
- Press **Alt + P (P: Print)**

INVOICE					
Universal Enterprises Plot No. 113 & 114, Industrial Estate, Hongasandra, Hosur Main Road Bangalore E-mail : sales@universalenterprises.com		Invoice No. 100		Dated 15-Jan-2009	
		Delivery Note		Mode/Terms of Payment 60 Days	
		Supplier's Ref.		Other Reference(s)	
		Buyer's Order No.		Dated	
Buyer All India Computer Institute 123, 1st Main Madiwala Bangalore - 5600 68.		Despatch Document No.		Dated	
		Despatched through		Destination	
		Terms of Delivery			
Sl No.	Description of Goods	Quantity	Rate	per	Amount
1	HP 51645A	15 Nos	1,500.00	Nos	22,500.00
2	HP - 27	10 Nos	1,150.00	Nos	11,500.00
3	HP - 28	20 Nos	1,200.00	Nos	24,000.00
					58,000.00
	Output VAT @ 4%			4 %	2,320.00
	Total	45 Nos			60,320.00
Amount Chargeable (in words) E & O E					
Rs. Sixty Thousand Three Hundred Twenty Only					
Buyer's Local Sales Tax No. : 11225487954 Declaration We declare that this invoice shows the actual price of the goods described and that all particulars are true and correct.					
					for Universal Enterprises Authorised Signatory

This is a Computer Generated Invoice

Figure 4.3 Printed Sales Invoice

4.2.2 Separate Discount Column on Invoices

Tally.ERP 9 allows the user to enter discount for each and every Stock Item and also automatically calculates and displays the discounted value in the invoice.

To activate discount column in Invoicing

- Press **F11: Inventory Features** > Set **Separate discount columns for Invoices** to **Yes**

4.2.3 Purchase Invoices

Tally.ERP 9 provides the option to enter purchase transactions in invoice format and hence entering vendor invoices is made easy. When you enter purchase details in the invoice format, the stock items selected are automatically updated in the stock summary. You can apportion additional expenses, like taxes, freight etc., to stock items which affects their valuations.

To enable **Purchase Invoices in Invoice Format**,

- ❑ Press **F11: Inventory Features** > Enable **Allow Invoicing** and **Enter Purchases in Invoice Format** to Yes

To enter **Purchase Invoices in Invoice Format**,

Go to **Gateway of Tally > Accounting Vouchers > Select Purchase (F9)**

- ❑ Select **Party's A/c Name**
- ❑ Select **Stock Items**
- ❑ Specify **Qty** and **Rate**, the value is automatically calculated
- ❑ Select taxes, freight & other expenses (if any).

4.3 Unlimited Grouping & Categorization of Stock items

Tally.ERP 9 allows unlimited grouping of stock items to Stock Groups or subgroups at any point of time. It also allows to categorize stock items based on their specific nature or type or brand in order to generate customised inventory reports.

4.3.1 Stock Group

In Tally.ERP 9, you can classify all common stock items to a single group, for instance Raw materials, Components Consumables, Desktop computers, Scanners etc. Grouping of stock items facilitates effective and substantive reporting on stock items. In Tally.ERP 9, you can create unlimited levels of groups for in-depth analysis.

To create **Stock Groups**

Go to **Gateway of Tally > Inventory Info. > Stock Groups > Create**

- ❑ Enter **Name** for the **Group** (Specify the parent group of the current group).
- ❑ Enter other details and save screen

To view **Stock Group Summary Reports**,

Go to **Gateway of Tally > Display > Inventory Books > Group Summary**

- ❑ Select any **group** or select **Primary** to display all Stock Groups

Stock Summary		Universal Enterprises		Ctrl + M
Particulars		Universal Enterprises 1-Apr-2008 to 31-Mar-2009		
		Closing Balance		
		Quantity	Rate	Value
Accessories		795 Nos	19.87	15,792.76
CDROM Disks 100s	5 Box		450.00	2,250.00
CDROM Disks 10s	3 Box		77.08	231.25
CDROM Jackets	5 Box		15.00	75.00
Dust Covers	75 Nos		36.96	2,772.32
Floppy Disk	4 Box		100.00	400.00
KeyBoard	10 Nos		550.00	5,500.00
Mouse	10 Nos		400.00	4,000.00
Mouse Pad	80 Nos		7.05	564.19
Components				2,573.22
USB Pen Drives 64 MB	1 Nos		1,524.71	1,524.71
Wireless Keyboard	1 Nos		692.45	692.45
Wireless Mouse	1 Nos		356.06	356.06
Computers		1 Nos		
IBM	1 Nos			
Defective Items				600.00
CDROM Disks 10s - Defective	5 Box		120.00	600.00
Dot Matrix Printers				14,000.00
TVS MSP 245 132 Col Printer	1 Nos		8,100.00	8,100.00
TVS MSP 245 80 Col Printer	1 Nos		5,900.00	5,900.00
Laser Jet Printers				17,400.00
HP Laserjet 1010 Series	1 Nos		9,200.00	9,200.00
Samsung Laserjet 1500	1 Nos		8,200.00	8,200.00
IMFL	20 Lts		400.00	8,000.00
Main Location	20 Lts		400.00	8,000.00
Grand Total				13,58,831.73

Figure 4.4 Stock Group Summary

4.3.2 Stock Category

In many cases, you may want to classify stock items which are similar in nature but are grouped under different Stock Groups. Tally.ERP 9 provides you a feature namely, **Stock Categories**, which allows parallel classification of stock items to separate categories besides grouping.

For example, you may group Television sets of different sizes based on their size viz., TV's of 14 inches, 21 inches, 29 inches and so on. But however, if you require reports on, which brand sells more. In such cases, you require parallel classification of stock items to stock categories viz., Sony, Panasonic, LG, Samsung, Philips, etc.

In Tally.ERP 9 you can create stock items and group under the respective groups and parallelly classify them under the respective Stock Categories. You could however, interchange the stock category or stock group based on your convenience and reporting requirements.

To enable **Stock categories**,

Go to **Gateway of Tally > F11: Inventory Features**

- Set **Maintain Stock Categories** to **Yes**

To create **Stock Categories**,

Go to **Gateway of Tally > Inventory Info. > Stock Categories > Create**

- Specify the **Name** for the **Category**
- Select **Primary** or the **parent** Stock Category from the list

To view **Stock Category Report**,

Go to **Gateway of Tally > Display > Statements of Inventory > Categories**

- Select the required **Stock Category** or select **Primary** to display all **Stock Categories**

Stock Category Summary		Universal Enterprises		Ctrl + M
Particulars		Universal Enterprises 1-Apr-2008 to 31-Mar-2009		
		Closing Balance		
		Quantity	Rate	Value
Accessories		795 Nos	19.87	15,792.76
CDROM Disks 100s		5 Box	450.00	2,250.00
CDROM Disks 10s		3 Box	77.08	231.25
CDROM Jackets		5 Box	15.00	75.00
Dust Covers		75 Nos	36.96	2,772.32
Floppy Disk		4 Box	100.00	400.00
KeyBoard		10 Nos	550.00	5,500.00
Mouse		10 Nos	400.00	4,000.00
Mouse Pad		80 Nos	7.05	564.19
Consumables		3 Nos	857.74	2,573.22
USB Pen Drives 64 MB		1 Nos	1,524.71	1,524.71
Wireless Keyboard		1 Nos	692.45	692.45
Wireless Mouse		1 Nos	356.06	356.06
Defective Items		5 Box	120.00	600.00
CDROM Disks 10s - Defective		5 Box	120.00	600.00
Hewlett Packard		1 Nos	9,200.00	9,200.00
HP Laserjet 1010 Series		1 Nos	9,200.00	9,200.00
IBM		1 Nos		
IBM PIV		1 Nos		
Samsung		1 Nos	8,200.00	8,200.00
Samsung Laserjet 1500		1 Nos	8,200.00	8,200.00
TVS Electronics		2 Nos	7,000.00	14,000.00
TVS MSP 245 132 Col Printer		1 Nos	8,100.00	8,100.00
TVS MSP 245 80 Col Printer		1 Nos	5,900.00	5,900.00
IMFL		20 Lts	400.00	8,000.00
Grand Total				13,58,831.73

Figure 4.5 Stock Category Summary

4.4 Voucher Classes to expedite voucher Entry

Tally.ERP 9 provides an option to automate and expedite voucher entry with the help of Voucher Classes. You can use this facility for most voucher types (e.g. Payment, Receipt, Sales etc) to make data entry easier and faster. This facility acts as a control, to restrict users from choosing any other ledger accounts other than those to which the transaction needs to be posted and thereby minimizes errors during data entry.

For example, you may create Voucher Class under Receipt Voucher Type to automate Bank Receipts or Bank Payments under Payment Voucher Type. You will find the procedure for creating voucher classes for Bank Receipts is the same as that for Bank Payments. The only precaution is that during transactions, you have to enter the details on the credit side only.

4.4.1 Voucher Classes for Sales Invoice

Voucher classes for invoices can be used to significantly automate ledger entries where tax calculations, additional charges, rounding off etc., are involved. You can also specify percentages for additional accounting allocations like taxes, freight and other charges. Based on the values / percentages entered, the total amount is automatically calculated and prefilled in the respective fields.

To create **Voucher Class**,

Go to **Gateway of Tally > Accounts Info. > Voucher Types > Alter**

- ❑ Select **Sales Voucher Type**
- ❑ Tab down to **Name of class** field and specify the name
- ❑ Select the required **groups** under **Exclude these Groups** and **Include these Groups**
- ❑ Specify the allocations in % between **Sales** and **Tax Ledgers** in **Default Accounting Allocations for each item in Invoice**.
- ❑ Select additional Ledger accounts which are involved in the voucher entry viz., Tax, Freight, Discount etc., and specify the **type of calculation** and other details in **Additional Accounting Entries**

Voucher Type Class		Universal Enterprises					Ctrl + M	
Name : Commercial (alias) :		Class : Tax Invoice					Name of Class Tax Invoice	
Type of Voucher : Sales Abbr. : C		If you wish to restrict the groups to which this class can be used, specify them here.						
Method of Voucher Numbering : Use Advance Configuration		Exclude these Groups		Include these Groups				
Use EFFECTIVE Dates for Make 'Optional' as default Use Common Narration Narrations for each entry		☐ End of List		☐ End of List				
		Default Accounting Allocations for each Item in Invoice						
		Ledger Name	Percentage %	Rounding Method	Rounding Limit	Override using Item Default ?		
		Sales @ 4%	100 %			Yes		
		Additional Accounting Entries (e.g. Taxes / Other charges) to be added in Invoice						
		Ledger Name	Type of Calculation	Value Basis	Rounding Method	Rounding Limit		Remove if Zero ?
		Output VAT @ 4%	On Item Rate	4%	Normal Rounding	1		Yes
		Output VAT @ 12.5%	On Item Rate	12.50%	Normal Rounding	1	Yes	

Figure 4.6 Sales Voucher Class

To enter transaction using **Voucher Class**,

Go to **Gateway of Tally > Accounting Vouchers > F8 (Sales)**

- ❑ Select the required **Voucher**
- ❑ Select the required **Voucher Class** from Voucher Class List
- ❑ Enter the **Party** and **Stock Details**
- ❑ The **Accounting allocations** are automatically done, as defined in Voucher class
- ❑ Complete and save the transaction

4.5 Separate Actual and Billed Quantities

There are situations when you have to invoice the customer for a particular quantity but actually supply a different quantity. Tally.ERP 9 allows you to handle such situations with the help of **Use different Actual and Billed Qty** option. Using this option, you can specify different actual and billed quantities in the same invoice. The Actual quantity updates the stock balances and Billed quantities affect the books of accounts. This feature is widely used to record supply of free items. Further, this option will be useful when you have to supply free item(s) for sale of a fixed number of goods or if you have to supply free samples to your customer.

To enable **Actual and Billed Quantity** in Invoices,

- Press **F11: Inventory Features**, set **Use different Actual and Billed Qty** to **Yes**

To enter **Actual and Billed Quantity** in Invoices,

Go to **Gateway of Tally > Accounting Vouchers > F8 (Sales in Invoice mode)**

- Enter quantities under **Actual** and **Billed Qty** columns
- Specify the **Rate** & other details
- Save transaction.



*The **Actual Qty** affects the stock balances while the **Billed Qty** affects only the Books of Accounts.*

4.6 Gross Profits and Consumption Report

Consumption basically means, the quantity / value of materials used (consumed) in the process of manufacturing, selling or written off. Tally.ERP 9 automatically tracks the movement of materials consumed. You can view the consumption report along with gross profit for every item.

To view **Consumption Report**,

Go to **Gateway of Tally > Stock Summary > F7 (Show Profits)**

- Press **Alt+F1** for detailed mode

Stock Summary		Universal Enterprises					Ctrl + M	
Particulars	Universal Enterprises 1-Apr-2008 to 31-Mar-2009							
	Outwards						Closing Balance	
	Quantity	Value	Consumption	Gross Profit	Perc %	Quantity	Value	
Accessories	8,805 Nos	87,252.00	51,577.24	35,674.76	40.89 %	795 Nos	15,792.76	
CDROM Disks 100s	15 Box	10,500.00	6,750.00	3,750.00	36.71 %	5 Box	2,250.00	
CDROM Disks 10s	46 Box	9,765.00	7,708.75	2,056.25	21.06 %	3 Box	231.25	
CDROM Jackets	495 Box	10,995.00	7,425.00	3,570.00	32.47 %	5 Box	75.00	
Dust Covers	540 Nos	35,930.90	19,960.68	15,970.22	44.45 %	75 Nos	2,772.32	
Floppy Disk	6 Box	750.00	600.00	150.00	20.00 %	4 Box	400.00	
KeyBoard						10 Nos	5,500.00	
Mouse						10 Nos	4,000.00	
Mouse Pad	1,295 Nos	19,311.10	9,132.81	10,178.29	52.71 %	80 Nos	564.19	
Components		80,03,602.10	78,99,116.78	1,04,485.32	1.31 %		2,573.22	
USB Pen Drives 64 MB	441 Nos	6,72,273.50	6,72,395.29	(-)121.79	(-)0.02 %	1 Nos	1,524.71	
Wireless Keyboard	533 Nos	4,26,194.65	3,69,077.55	57,117.10	13.40 %	1 Nos	692.45	
Wireless Mouse	618 Nos	2,87,187.20	2,20,043.94	67,143.26	23.38 %	1 Nos	356.06	
Computers	531 Nos	1,21,75,500.00	95,26,993.70	26,48,506.30	21.75 %	1 Nos		
IBM	12 Nos	2,99,500.00	2,24,000.00	75,500.00	25.21 %	1 Nos		
Defective Items							600.00	
CDROM Disks 10s - Defective						5 Box	600.00	
Dot Matrix Printers		7,16,200.00	5,24,000.00	1,92,200.00	26.84 %		14,000.00	
TVS MSP 245 132 Col Printer	29 Nos	3,29,000.00	2,34,900.00	94,100.00	28.60 %	1 Nos	8,100.00	
TVS MSP 245 80 Col Printer	49 Nos	3,87,200.00	2,89,100.00	98,100.00	25.34 %	1 Nos	5,900.00	
Laser Jet Printers		10,91,500.00	8,62,600.00	2,28,900.00	20.97 %		17,400.00	
HP Laserjet 1010 Series	59 Nos	7,05,000.00	5,42,800.00	1,62,200.00	23.01 %	1 Nos	9,200.00	
Samsung Laserjet 1500	39 Nos	3,86,500.00	3,19,800.00	66,700.00	17.26 %	1 Nos	8,200.00	
IMFL	480 Lts	2,88,000.00	1,92,000.00	96,000.00	33.33 %	20 Lts	8,000.00	
Main Location	480 Lts	2,88,000.00	1,92,000.00	96,000.00	33.33 %	20 Lts	8,000.00	
							4 more ...	
Grand Total		3,85,07,054.10	2,99,21,634.47	85,85,419.63	22.30 %		13,58,831.73	

Figure 4.7 Gross Profits and Consumption Report

4.7 Use Stock Item Names and / or Part Numbers

Stock items can be created in Tally.ERP 9 by specifying their actual names as well as by their Part Numbers. This makes it convenient for many users dealing in certain industries (like Computer/ Automobile Industries) where items are generally identified by their Part Nos. You can also view reports for all stock items with their actual names or by part numbers or both.

To create **Part Number** for a Stock Item

Go to **Gateway of Tally > Inventory Info. > Stock item > Alter (Create, if the Item is not existing)**

- Select the required **Stock item**
- Press **F12: Configure** and set **Use PART NUMBERS for Stock Items** to **Yes**
- A new field **Part No** is displayed in **Stock Item Creation/Alteration** screen

Specify the part numbers as well as actual names for the stock items created/alterd.

Stock Item Alteration		Universal Enterprises		Ctrl + M
Name	: USB Pen Drives 64 MB	Part No.	: USB PD64 001	
{alias}	:			
Under	: Components	Tax Information		Behaviour
Category	: Consumables	Tariff Classification	:	Costing Method : Avg. Cost
Units	: Nos	Rate of Duty (eg 5)	:	Market Valuation Method : Avg. Price
Alternate Units	: ☐ Not Applicable			Ignore Diff. due to Physical Counting ? No
Maintain in Batches	? No			Ignore Negative Balances ? No
				Treat all Sales as New Manufacture ? No
				Treat all Purchases as Consumed ? No
				Treat all Rejections inward as Scrap ? No
Opening Balance		Quantity	Rate per	Value
:				

Figure 4.8 Stock Item with Part Number

To view Stock reports with **Part Number**,

Go to **Gateway of Tally > Stock Summary** (or any other Inventory reports)

- ❑ Press **F12: Configure**, and set **Appearance of Stock Item Names** as **Part No. Only**
- ❑ Press **Enter** to save.

Now the stock items are displayed as Part Nos instead of their names.

Stock Summary		Universal Enterprises		Ctrl + M
Particulars		Universal Enterprises 1-Apr-2008 to 31-Mar-2009		
		Closing Balance		
		Quantity	Rate	Value
Accessories		795 Nos	19.87	15,792.76
CDROM Disks 100s		5 Box	450.00	2,250.00
CDROM Disks 10s		3 Box	77.08	231.25
CDROM Jackets		5 Box	15.00	75.00
Dust Covers		75 Nos	36.96	2,772.32
Floppy Disk		4 Box	100.00	400.00
KeyBoard		10 Nos	550.00	5,500.00
Mouse		10 Nos	400.00	4,000.00
Mouse Pad		80 Nos	7.05	564.19
Components				2,573.22
USB PD64 001		1 Nos	1,524.71	1,524.71
WK101 012		1 Nos	692.45	692.45
WM Op256		1 Nos	356.06	356.06
Computers		1 Nos		
IBM		1 Nos		
Defective Items				600.00
CDROM Disks 10s - Defective		5 Box	120.00	600.00
Dot Matrix Printers				14,000.00
TVS MSP 245 132 Col Printer		1 Nos	8,100.00	8,100.00
TVS MSP 245 80 Col Printer		1 Nos	5,900.00	5,900.00
Laser Jet Printers				17,400.00
HP Laserjet 1010 Series		1 Nos	9,200.00	9,200.00
Samsung Laserjet 1500		1 Nos	8,200.00	8,200.00
IMFL		20 Lts	400.00	8,000.00
Main Location		20 Lts	400.00	8,000.00
				4 more ...
Grand Total				13,58,831.73

Figure 4.9 Stock Summary with Part Number

4.8 POS Invoicing

A **Point of Sale** is either a retail shop, a check-out counter in a shop or any other location where sales transactions take place. Tally.ERP 9's POS feature is fully integrated with Accounts and inventory functions. You can POS Invoice with Cash and Credit/Debit card transactions and effectively manage gift coupons, vouchers, discount coupons etc.

The POS feature in Tally.ERP 9 enables you to print invoices in continuous or 40 column modes. It automates your data entry and calculations during invoicing. You can also generate standard and POS specific reports such as Cash Registers, POS Registers, and Inventory Reports etc.

To activate **POS Invoicing**,

Go to **Gateway of Tally > Accounts Info. > Vouchers Type > Create**

- ❑ Type **name** of the voucher type
- ❑ Select **Sales** as voucher type and other details
- ❑ Set **Use for POS Invoicing** to **Yes**
- ❑ Type the details in **Message 1 & Message 2**
- ❑ Specify the details in **Default Print Title** and save screen

To record **POS transaction**,

Go to **Gateway of Tally > Accounting Vouchers > F8: Sales**

- ❑ Select **name** of the POS Invoice
- ❑ Enter details of the voucher
- ❑ Save screen

Accounting Voucher Creation		Universal Enterprises		Ctrl + M	
POS Invoice No. 1		Voucher Class : POS - Excl. of Tax		4-Apr-2008 Friday	
Location : Main Location					
Party's A/c Name : ☐ Not Applicable					
Name of Item	Quantity		Rate per Disc %	Amount	
	Actual	Billed			
Fair & Lovely - 50g	2 Nos	2 Nos	36.00 Nos		72.00
Nivea Body Lotion - 100ml	11 Nos	10 Nos	110.00 Nos		1,100.00
Cinthol - 100g	5 Nos	5 Nos	19.00 Nos 1 %		94.05
Imperial Leather Soap - 150g	6 Nos	6 Nos	150.00 Nos 5 %		855.00
Lux International - 75g	10 Nos	10 Nos	14.00 Nos		140.00
Lux Face Wash - 25ml	2 Nos	2 Nos			
					2,261.05
VAT @ 4%			4 %		9.36
VAT @ 12.5%			12.50 %		146.50
Rounding Off					(-)0.91
	36 Nos	35 Nos			2,416.00
Credit/Debit Card Payment: Citibank Credit Cards 2,000.00 Card No : 5046422500375487					
Cash	: Cash	416.00	Cash Tendered :	450.00	Balance : 34.00
Narration :					

Figure 4.10 POS Invoice

To view **POS Register**,

Go to **Gateway of Tally > Display > Account Books > POS Register**

You can view the sales made through Gift Vouchers, Credit/Debit Card Payment, Cheque, Cash and Total details.

Lesson 5: Why Tally is the best for advanced Inventory Management?

Tally.ERP 9 provides you the capability to record inventory transactions without changing the way you do your business. It provides predefined Inventory vouchers to suit your business requirements besides allowing you to create userdefined voucher types and flexibility to track your inventory at any point/stage/process and numerous other features.

Following are the some of salient features, which makes Tally.ERP 9 best for advanced inventory management.

- ❑ Stock Query
- ❑ Multiple Warehouses / Locations:
- ❑ Sub-Godowns
- ❑ Stock transfers to Godowns
- ❑ Multiple Stock Valuation
- ❑ Batch-wise / Lot-wise & Expiry Date Handling
- ❑ Sales and Purchase Order Processing
- ❑ Tracking Inventory
- ❑ Rejection In and Rejection Out
- ❑ Additional Costs Incurred on Purchase
- ❑ Unlimited Stock Item Classification
- ❑ Bill of Materials
- ❑ Tracking Additional Cost of Manufacturing
- ❑ Job Costing
- ❑ Stock Ageing Analysis
- ❑ Batch Related Stock Ageing
- ❑ Price List with Multi Price levels
- ❑ Reorder Levels
- ❑ Movement Analysis (Partywise/ Itemwise/ Stock Groupwise)
- ❑ Profitability Analysis (Stock Groupwise / Stock Itemwise / Invoicewise / Locationwise)

5.1 Stock Query

Stock query offers an option for the user to get a good idea of what is the stock position of a particular item as well as items that belong to the same category or group. The stock query report displays not only the item but also items within the same category or group. It displays the Stock Item details such as closing stock quantities and value and also in which Godown it is available, standard selling price, Last purchase and sale quantity and prices, batch details. The user can configure the screen to show remarks also.

In **F12: Configure** screen of the Stock Item, activate all the related parameters to **Yes** as shown

Stock Item Configuration	
Allow ALIASES along with Names	? Yes
Allow Language ALIASES along with Names	? No
Allow ADVANCED entries in Masters	? Yes
Use PART NUMBERS for Stock Items	? Yes
Use Description for Stock Items	? Yes
Use REMARKS for Stock Items	? Yes
Specify Default Ledger Allocation for Invoicing	? No
Use ALTERNATE UNITS for Stock Items	? Yes
Allow Std. Rates for Stock Items	? Yes
Allow Component list details (Bill of Materials)	? No

Figure 5.1 Stock Item Master - F12 Configuration

Enter the required details in the stock item alteration screen as shown here.

Stock Item Alteration		Universal Enterprises		Ctrl + M
Name	: Pentium - IV Processor	Part No.	: PIV-IntPro-012	
(alias)	: PIV Intel Processor Dual Core	(alias)	: Intel 64bit Processor	
Description : Dual Core Processor for Desktops				
Remarks : Processor for current & future 64bit computing needs				
Under	: Components	Tax Information		Behaviour
Category	: Consumables	Tariff Classification : ☐ Not Applicable		Costing Method : Avg. Cost
Units	: Nos	Rate of Duty (eg 5) : 0		Market Valuation Method : Avg. Price
Alternate Units	: ☐ Not Applicable			Ignore Diff. due to Physical Counting ? No
Maintain in Batches	? No			Ignore Negative Balances ? No
				Treat all Sales as New Manufacture ? No
				Treat all Purchases as Consumed ? No
Alter Standard Rates	? No			Treat all Rejections inward as Scrap ? No
Opening Balance		Quantity	Rate per	Value

Figure 5.2 Stock Item Master

To view **Stock Query Report**,

Go to **Gateway of Tally > Display > Statements of Inventory > Stock Query**

- ☐ Select **Item** from **List of Items**, the **Stock Query** report will appear

Stock Query		Universal Enterprises		Ctrl + M	
Name	: Pentium - IV Processor	Part No.	: PIV-IntPro-012		
Group	: Components	Category	: Consumables		
Closing Balance	: 0 Nos	Closing Value	:		
Cost Price	: 3,609.16/Nos	Std. Selling Price	:		
Last Purchased on : 22-Mar-2009 Challenger Systems		20 Nos @ 3,500.00/Nos			
Last Sold on :		@			
Location / Batch Details		Items of the same Category			
Location	Batch	Quantity	Item Name	Quantity	Cost Sale Price
Stores	Primary Batch	0 Nos	Floppy Drive	0 Nos	218.07
			Hard Disk	0 Nos	4,051.33
			Monitor	0 Nos	3,058.55
			Mother Board	0 Nos	5,057.11
			Pentium - IV Processor	0 Nos	3,609.16
			USB Pen Drives 64 MB	1 Nos	1,524.71 1,500.00
			Wireless Keyboard	1 Nos	692.45 3,246.00
			Wireless Mouse	1 Nos	356.06 600.00
Total		Total 3 Nos			

Figure 5.3 Stock Query Report

- Select **F4 (Item)** to change to another item or use arrow keys to move to the category pane to select another item displayed

The **Stock Query** report provides you all details of closing balances & value, cost, standard and last sale prices, purchase costs and dates. In addition, activate these parameters in **F12: Configure** to see details like Remarks, Part No with alias;

- **Show Related items of same Group to Yes**
- **Show all Aliases of the item to Yes**
- **Show Remarks of the item to Yes**

5.2 Multiple Warehouses / Locations

A Warehouse/Godown is a place where stocks/materials are stored. It could be either locations or even Storage racks. Your company could be maintaining multiple warehouses/godowns and hence would require stock statements for the individual warehouses. Tally.ERP 9 offers you the capability of maintaining multiple Godowns/Locations (Warehouses). It allows you to create multiple Godowns (warehouses) and at the time of accounting an inventory transaction (sales, purchase, stock Journal etc), you can specify Godowns for stock items to be stored or despatched.

For Example., if you enter a purchase transaction, you will have to specify the Godown where the item will be stored and in the similar manner while entering a sales transaction, you will have to specify the godown from where the goods are issued. Tally.ERP 9 also allows you to transfer materials from one godown to another. You can view stock reports for a godown or compare a godown with another and also get a consolidated stock report.

You can also create godowns to keep track of items issued for job works / Sub-contracts and record the items issued to and received from job works. Each Job Work / Sub-Contract is treated as a godown. You can also track the third party stocks viz., details of stocks sent, consumed and balance lying with the Job Work Godown.

To Enable **Multiple Godowns**,

- Press **F11: Inventory Features**, set **Maintain Multiple Godowns** to **Yes**

To create a **Godown**,

Go to **Gateway of Tally > Inventory Info. > Godowns > Create**

- Enter **godown Name** and other details
- Save screen

To view **Godown Summary Report**,

Go to **Gateway of Tally > Display > Statements of Inventory > Godowns**

- Select any **Godown** or **Primary** from the **List of Godowns**
- Tally.ERP 9 displays **Stock Summary** for that particular **Godown**

Godown Summary		Universal Enterprises		Ctrl + M	
Particulars		Universal Enterprises		1-Apr-2008 to 31-Mar-2009	
		Closing Balance		Quantity	Value
Defective Goods Stores		61 Nos	11.80	720.00	
Accessories		6 Box	120.00	720.00	
Computers		1 Nos			
Main Location					13,08,465.75
IMFL		20 Lts	400.00	8,000.00	
Timber		200 MT	6,364.83	12,72,965.75	
Timber - OTFL		100 MT	275.00	27,500.00	
Stores		792 Nos	62.68	49,645.98	
Accessories		735 Nos	20.51	15,072.76	
Components		3 Nos	857.74	2,573.22	
Defective Items		5 Box	120.00	600.00	
Dot Matrix Printers		2 Nos	7,000.00	14,000.00	
Laser Jet Printers		2 Nos	8,700.00	17,400.00	
Grand Total		853 Nos		13,58,831.73	

Figure 5.4 Godown Summary Report

Tally.ERP 9 allows you to compare multiple Godowns. To compare **Godowns**,

Go to **Gateway of Tally > Display > Statements of Inventory > Godowns**

- ❑ Select any **Godown** from the **List of Godowns**
- ❑ Press **New Column (Alt + C)**
- ❑ Select another **godown** from **List of Godowns**, Tally.ERP 9 now displays **Godowns** details in a columnar format
- ❑ Or you may also press **Alt+N** and select **Godowns** from **Column Details** drop down
- ❑ Set **Total Column** to **Yes**

Tally.ERP 9 displays all Godowns in columnar format and also displays total column.

Godown Summary Universal Enterprises Ctrl + M									
Particulars	Main Location Universal Enterprises 1-Apr-2008 to 31-Mar-2009			Office Universal Enterprises 1-Apr-2008 to 31-Mar-2009			Stores Universal Enterprises 1-Apr-2008 to 31-Mar-2009		
	Closing Balance			Closing Balance			Closing Balance		
	Quantity	Rate	Value	Quantity	Rate	Value	Quantity	Rate	Value
	← ... 3 more						1 more ... →		
Accessories							735 Nos	20.51	15,072.76
CDROM Disks 100s							5 Box	450.00	2,250.00
CDROM Disks 10s							(-)3 Box	162.92	(-)488.75
CDROM Jackets							5 Box	15.00	75.00
Dust Covers							75 Nos	36.96	2,772.32
Floppy Disk							4 Box	100.00	400.00
KeyBoard							10 Nos	550.00	5,500.00
Mouse							10 Nos	400.00	4,000.00
Mouse Pad							80 Nos	7.05	564.19
Components							3 Nos	857.74	2,573.22
USB Pen Drives 64 MB							1 Nos	1,524.71	1,524.71
Wireless Keyboard							1 Nos	692.45	692.45
Wireless Mouse							1 Nos	356.06	356.06
Computers									
IBM									
Defective Items							5 Box	120.00	600.00
CDROM Disks 10s - Defective							5 Box	120.00	600.00
Dot Matrix Printers							2 Nos	7,000.00	14,000.00
TVS MSP 245 132 Col Printer							1 Nos	8,100.00	8,100.00
TVS MSP 245 80 Col Printer							1 Nos	5,900.00	5,900.00
IMFL	20 Lts	400.00	8,000.00				2 Nos	8,700.00	17,400.00
Laser Jet Printers							1 Nos	9,200.00	9,200.00
HP Laserjet 1010 Series							1 Nos	8,200.00	8,200.00
Samsung Laserjet 1500									
Timber	200 MT	6,364.83	12,72,965.75						
							1 more ... ↓		
Grand Total			13,08,465.75				792 Nos		49,645.98

Figure 5.5 Comparative Godown Summary

5.3 Sub-Godowns

Using Tally.ERP 9, you can create Sub-Godowns (multiple levels of Godowns). While creating sub-Godowns you have to specify name and the parent Godown under which it has to be created. Tally.ERP 9 also allows you to create Virtual Godowns. Virtual Godowns do not allow storage of materials. They are useful when a city has more than one warehouse Godowns, e.g. in a city where you have 2 warehouses you can have Godown such as Jayanagar or Indiranagar and Bangalore being the city is setup as Godown where **Allow Storage of Material** is set to **No**. In this case, Bangalore is a virtual godown, logically as it does not exist, but still you can generate a stock statement for Bangalore godown.

5.4 Stock transfers to Godowns

Tally.ERP 9 allows you to transfer materials from one Godown to another. The transfer of materials is done using Stock Journals. Tally.ERP 9 also provides you the facility to create voucher class, which help in simplifying the transfer of materials between godowns.

To transfer materials (**Stock Transfer**),

Go to **Gateway of Tally > Inventory Vouchers > Alt+F7 (Stock Journal)**

- ❑ Select **Stock Item** in **Source column** and the **Godown particulars**
- ❑ Select **Stock Item** and **Godown particulars** in **Destination column**

To transfer materials using **Voucher Classes**,

Step 1: Create Voucher Class

Go to **Gateway of Tally > Accounts Info./Inventory Info. > Voucher Types > Alter**

- ❑ Select **Stock Journal**, tab down to **Name of Class** field and specify **Class** name (e.g. **Godown Transfer**)
- ❑ Set **Use Class for Inter-Godown Transfers** to **Yes**

Step 2: Create Stock Transfer Journal Voucher

Go to **Gateway of Tally > Inventory Vouchers > Alt+F7 (Stock Journal)**

- ❑ Select **Godown Transfer Class** from **Voucher Class** List
- ❑ Select **Destination Godown** details, stock items, Source Godown

Inventory Voucher Alteration (Secondary)		Universal Enterprises		Ctrl + M
Stock Journal	No. 2	Voucher Class : Godown Transfer		1-May-2008 Thursday
Transfer of Materials (Inter- Godown)				
Destination Godown : Defective Goods Stores				
Name of Item	Godown	Quantity	Rate	Amount
CDROM Disks 10s	Stores	1-0 Box	265.00/Box	265.00

Figure 5.6 Transfer of Materials using Voucher Class

5.5 Multiple Stock Valuation

In Tally.ERP 9, you can evaluate the value of inventories using multiple Stock Valuation methods viz., Average Cost, Average price, Last Purchase cost, Last Sales price, FIFO etc. Tally.ERP 9 offers you the flexibility to have different stock valuation methods for every item or the entire stock of the company which is valued based on the specific type of costing method, chosen at the time of reporting. The user is allowed to view different methods of stock valuations in multiple columns.

To set **Valuation Method** for a stock item,

Go to **Gateway of Tally > Inventory Info. > Stock Items > Alter**

- ❑ Select the **Stock Item**
- ❑ Press **F12: Configure** and set **Allow ADVANCED entries in Masters** to **Yes**
- ❑ In **Stock Item Alteration**, specify the required **Costing Method**

To view Stock Summary in different **Valuation Methods**,

Go to **Gateway of Tally > Stock Summary**

- ❑ Select **Auto Column (Alt+N)** and select the required **Stock valuation** methods in **Auto repeat columns**.

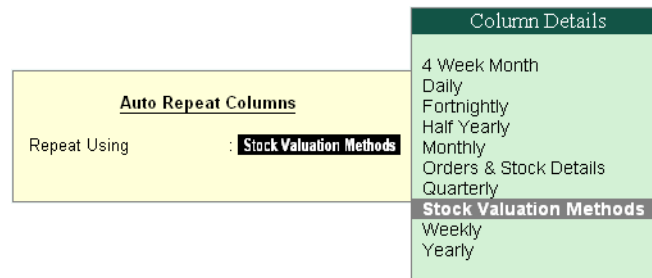


Figure 5.7 Stock Valuation Methods selection

The Stock Summary report will now display value of inventories in different Stock Valuation Methods,

Stock Summary Universal Enterprises Ctrl + M									
Particulars	Universal Enterprises 1-Apr-2008 to 31-Mar-2009 Default			Universal Enterprises 1-Apr-2008 to 31-Mar-2009 FIFO			Universal Enterprises 1-Apr-2008 to 31-Mar-2009 LIFO Perpetual		
	Closing Balance			Closing Balance			Closing Balance		
	Quantity	Rate	Value	Quantity	Rate	Value	Quantity	Rate	Value
Accessories	795 Nos	19.87	15,792.76	795 Nos	19.67	15,641.25	795 Nos	19.69	15,656.25
CDROM Disks 100s	5 Box	450.00	2,250.00	5 Box	450.00	2,250.00	5 Box	450.00	2,250.00
CDROM Disks 10s	3 Box	77.08	231.25	3 Box	77.08	231.25	3 Box	77.08	231.25
CDROM Jackets	5 Box	15.00	75.00	5 Box	15.00	75.00	5 Box	15.00	75.00
Dust Covers	75 Nos	36.96	2,772.32	75 Nos	35.00	2,625.00	75 Nos	35.16	2,637.20
Floppy Disk	4 Box	100.00	400.00	4 Box	100.00	400.00	4 Box	100.00	400.00
KeyBoard	10 Nos	550.00	5,500.00	10 Nos	550.00	5,500.00	10 Nos	550.00	5,500.00
Mouse	10 Nos	400.00	4,000.00	10 Nos	400.00	4,000.00	10 Nos	400.00	4,000.00
Mouse Pad	80 Nos	7.05	564.19	80 Nos	7.00	560.00	80 Nos	7.04	562.80
Components			2,573.22			2,550.00			2,150.00
USB Pen Drives 64 MB	1 Nos	1,524.71	1,524.71	1 Nos	1,500.00	1,500.00	1 Nos	1,200.00	1,200.00
Wireless Keyboard	1 Nos	692.45	692.45	1 Nos	700.00	700.00	1 Nos	600.00	600.00
Wireless Mouse	1 Nos	356.06	356.06	1 Nos	350.00	350.00	1 Nos	350.00	350.00
Computers	1 Nos			1 Nos			1 Nos		
IBM	1 Nos			1 Nos			1 Nos		
Defective Items			600.00			600.00			600.00
CDROM Disks 10s - Defective	5 Box	120.00	600.00	5 Box	120.00	600.00	5 Box	120.00	600.00
Dot Matrix Printers			14,000.00			14,000.00			14,000.00
TVS MSP 245 132 Col Printer	1 Nos	8,100.00	8,100.00	1 Nos	8,100.00	8,100.00	1 Nos	8,100.00	8,100.00
TVS MSP 245 80 Col Printer	1 Nos	5,900.00	5,900.00	1 Nos	5,900.00	5,900.00	1 Nos	5,900.00	5,900.00
Laser Jet Printers			17,400.00			17,400.00			17,400.00
HP Laserjet 1010 Series	1 Nos	9,200.00	9,200.00	1 Nos	9,200.00	9,200.00	1 Nos	9,200.00	9,200.00
Samsung Laserjet 1500	1 Nos	8,200.00	8,200.00	1 Nos	8,200.00	8,200.00	1 Nos	8,200.00	8,200.00
IMFL	20 Lts	400.00	8,000.00	20 Lts	400.00	8,000.00	20 Lts	400.00	8,000.00
Main Location	20 Lts	400.00	8,000.00	20 Lts	400.00	8,000.00	20 Lts	400.00	8,000.00
Grand Total			13,58,831.73			12,87,566.25			14,81,806.25

Figure 5.8 Stock Summary with Different Valuation Methods

5.6 Batch-wise / Lot-wise & Expiry Date Handling

Tally.ERP 9 allows you to specify the Batch/Lot details for stock items in order to identify and track the required inventory, as and when required for any kind of reference/verification/sale/query and so on. It also allows you to specify the expiry dates and manufacturing dates for stock items. This feature is extremely useful in Pharmaceutical, Chemical, Food and other industries which deal in perishable / life saving items. Additionally, you can ensure that expiry date items are not available for invoicing.

Step 1: Enable Batchwise Details

To enable Batchwise details for Stock Items,

Go to **Gateway of Tally > F11: Inventory Features**

- ❑ Set **Maintain Batch -wise details** to **Yes**
- ❑ Enable **Set Expiry Dates for Batches** to **Yes** (if required)

Step 2: Create Batchwise Details

To specify Batchwise details for Stock Items,

Go to **Gateway of Tally > Inventory Info. > Stock Item > Create/Alter**

- ❑ Specify **Stock Item Name** and other details
- ❑ Set **Maintain in Batches** to **Yes**
- ❑ Set **Track Date of Mfg** to **Yes**
- ❑ Set **Use expiry dates** to **Yes**
- ❑ Enter Opening balance with Batch & Rate details

Step 3: Create Vouchers using Batchwise

To create voucher using **Batchwise details**, for example, while entering **Purchase entry**,

- ❑ Select the **Stock Item**
- ❑ Specify the **Batch No.**, **Mfg Date** and **Expiry Date** details

Step 4: Batchwise Reports

To view Stock Reports with **Batchwise details**,

Go to **Gateway of Tally > Stock Summary**

- ❑ Press **F12: Configure**, set **Expand all levels in Detailed Format** to **Yes** and save the screen
- ❑ Press **Alt + F1** for detailed mode, Tally.ERP 9 displays all stock items along with their batch details

Step 5: Expiry Reports

To view Stock Reports with **Expiry dates**,

Go to **Gateway of Tally > Display > Inventory Books > Ageing Analysis**

- ❑ Select **stock group** and press **Enter**
- ❑ The **Stock Ageing Analysis** report displays stocks with expiry date particulars

5.7 Sales and Purchase Order Processing

Tally.ERP 9 facilitates Order processing right from placing the order for supply of materials and receiving an order from the customers. It provides all the required vouchers, features and options to process Purchase Orders as well as Sales Orders. Using the Order Processing functionality of Tally.ERP 9, you can also generate reports for outstanding purchase and sales orders. You may also e-mail the PO to suppliers from within Tally.ERP 9 using e-mail option.

Step 1: Enable Order Processing

To enable **Order Processing**,

Go to **Gateway of Tally > F11: Inventory Features**

- ❑ Set **Allow Purchase Order Processing** to **Yes**
- ❑ Set **Allow Sales Order Processing** to **Yes**

Step 2: Create Purchase Order

Go to **Gateway of Tally > Inventory Vouchers > Alt+F4 (Purc Order)**

- ❑ Select **Party's Name** from **List of Ledger** Accounts
- ❑ Enter **Order No.**
- ❑ Select **Stock Item, Quantity, Rate** details

Similarly, you can also create Sales Orders for orders received from Customers, by pressing (**Alt+F5**) voucher entry screen.

Step 3: View Order Summary Report

To view **Order Summary** Reports,

Go to **Gateway of Tally > Display > Statements of Inventory > Purchase Order Summary / Sales Order Summary**

- ❑ Press **Enter** to view **Purchase Order / Sales Order** details
- ❑ Click **F7 (Due only)** in overdue order details

- ❑ Click **F4** to view orders of other items.

5.8 Tracking Inventory

Generally, Invoices are sent along with the goods sold. However, there are certain instances, where the goods are despatched first and then the invoices are sent later or vice versa. In such cases, the stocks balances are not updated simultaneously with the books of accounts. Tally.ERP 9 provides facility to use tracking numbers, wherein you can enter **Receipt Note** and **Delivery Notes** with tracking numbers and track the receipt and despatch of goods.

Although these vouchers do not affect your accounts they are displayed in the Profit and Loss A/c under the heading **Purchase Bills to Come** under Purchase Accounts and **Sales Bills to Make** under **Sales Accounts**.

Step 1: Enable Tracking Numbers

To enable **Tracking Numbers**,

Go to **Gateway of Tally > F11: Inventory Features**

- ❑ Set **Use Tracking Numbers (Delivery/Receipt Notes)** to **Yes**

Step 2: Enter Tracking Numbers

To record **Receipt Note** with **Tracking Numbers**,

Go to **Gateway of Tally > Inventory Info. > Alt+F9 (Receipt Note)**

- ❑ Select **Party's Name** from **List of Ledger Accounts**
- ❑ Select **Stock Items** & specify **Qty**
- ❑ Specify **Tracking Number(s)**
- ❑ Complete voucher by entering all other details

In case of **Delivery Note**, press **Alt+F8** and follow the same steps (as explained above) and recall tracking nos. while raising invoices

Step 3 : View Bills Pending Report

To view **Sales Bills Pending Report**,

Go to **Gateway of Tally > Display > Statements of Inventory > Sales Bills Pending**

Sales Bills Pending			Universal Enterprises		Ctrl + M
Sales Bills Pending			1-Apr-2008 to 31-Mar-2009		
Date	Tracking Number	Name of Item	Pending Quantity	Rate	Value
Goods Delivered but Bills not Made :					
25-Feb-2009	12144	Assembled PIV	15 Nos	25,000.00	3,75,000.00
Primary Batch Assembly Floor					
To: Silverplus Computers					
25-Feb-2009	Sale 108	(-)20 Nos @		25,000.00	
25-Feb-2009	Sale 109	(-)10 Nos @		22,000.00	
25-Feb-2009	Debit Note 72	20 Nos @		22,000.00	
25-Feb-2009	Debit Note 73	25 Nos @		22,000.00	
			15 Nos		3,75,000.00

Figure 5.9 Sales Bills Pending Report

The report shows information on Goods despatched but sales invoices not generated.

5.9 Rejection In and Rejection Out

Materials that you purchase or sell might be returned due to damages or other reasons. Tally.ERP 9 handles rejections from the customers or to the supplier with the help of **Rejections In** (Sales returns) and **Rejections Out** (Purchase returns) Vouchers. These rejection entries update only the inventory books.

But in some cases, you would like to scrap those materials which are **Rejected In** (i.e. Sales returns), in such cases you can activate **Treat all Rejection Inwards as Scrap** to **Yes**, during stock item creation / Alteration screen.

To Enable **Rejection Inward/Outward Notes**,

Go to **Gateway of Tally > F11: Inventory Features**,

- Set **Use Rejection Inward/Outward Notes** to **Yes**

To create **Rejection Inwards Note**,

Go to **Gateway of Tally > Inventory Vouchers > Ctrl+F6 (Rej In)**.

- ❑ Select the required **Ledger** Account
- ❑ Select **Party** Ledger
- ❑ Select the **Stock Item** (rejected / returned)
- ❑ Select the respective **Tracking Number**
- ❑ Enter the **Qty** and other details

Similarly, you can enter **Rejection Outwards** by selecting **Alt+F6 (Rej Out)** in Inventory Voucher entry screen and follow the same steps as explained above.

5.10 Additional Costs Incurred on Purchase

When you make a purchase, you may incur additional expenses like freight, handling charges, taxes and so on. This cost is also referred to as **Landed Cost**, Tally.ERP 9 allows you to add these costs to the value of the product during voucher entry or later. These expenses are sometimes included in the Supplier Invoice or directly borne by the buyer, in such cases you have to book these expenses in order to ascertain the landed cost of the product and ultimately which will help in determining the Item pricing and your margin. In Tally.ERP 9, you may book additional cost incurred on purchases in two ways :

Method 1 :

Step 1: Enable Additional Cost of Purchase

To enable **Additional Cost of Purchase**,

Go to **Gateway of Tally > F11: Inventory Features**

- ❑ Set **Track additional cost of purchase** to **Yes**

Step 2: Book Additional Cost of Purchase

To enter Additional Cost of Purchase,

Go to **Gateway of Tally > Accounting Vouchers > F9 (Purchase - As Voucher)**

- ❑ Select an **item**
- ❑ Specify **Qty & Rate** details and press **Enter**

Tally.ERP 9 prompts for **Additional Cost Details for** screen for the Stock Items

Additional Cost Details for : HCL PIV		
Type of Cost	%-age	Amount
Freight Outwards		250.00
Assembling Charges		500.00
		750.00

Figure 5.10 Additional Cost of Purchase

- ❑ Select **Expenses ledgers** like Freight, Packing and enter their rates
- ❑ Save the voucher

Method 2:

At times, it may happen that you have completed the purchases entry and want to book additional costs later. In such cases, follow the steps given below :

Go to **Gateway of Tally > Accounts Info. > Ledgers > Create**

- ❑ In the Ledger Master creation screen, set **Inventory values are affected** to **Yes**

To book **Additional Cost of Purchase**

Go to **Gateway of Tally > Accounting Vouchers > F5 (Payment)**

- ❑ Select additional costs **Ledger Account** (e.g. Customs Duty, Taxes, Freight etc)
- ❑ Select the required **Stock Item**
- ❑ **Enter** value for Amount in **Item Allocations** screen
- ❑ Select other stock items and follow the same process

The above process automatically updates the value of the stock item.

To view **Report**,

If you wish to view the additional cost details for stock items for purchases

Go to **Gateway of Tally > Display > Inventory Books > Movement Analysis > Stock Item Analysis**

- ❑ Select **Stock Item** from **List of Items**, Tally.ERP 9 displays details of item purchased
- ❑ Press **Enter** to drill down to get information on Qty, Basic Rate & Value, Additional cost, total value and effective rate etc.

5.11 Unlimited Stock Item Classification

Tally.ERP 9 provides the flexibility to maintain unlimited stock item classification for your inventories. depending upon your nature of business / needs. If you are a manufacturing concern, you may primarily require three broad classifications of the Stocks Groups i.e., Raw Materials, Work-in-Progress & Finished Goods.

Depending upon the nature of business, you may create any number stock groups and classify stock items under them at point of time. When **Integrate Accounts with Inventory** is enabled, the closing values of inventories under each of the stock groups are automatically reported in the financial statements. However, If you have not opted to **Integrate Accounts with Inventory**, you can create Ledgers as Raw Materials, Work-in-Progress and Finished Goods Stock-in-Hand group and generate balance sheet as of a particular date.

5.12 Bill of Materials

In many segments of the industries, especially in Manufacturing/Assembling organisations, there are number of components/inputs/spares that go into the manufacturing/assembling of finished Goods. Each process of manufacturing of raw materials to finished goods / intermediate goods comprises of a **List of components** known as **Bill of Materials (BoM)** containing the list of components involved in the manufacturing/assembling of the finished goods. In Tally.ERP 9, you can create a bill of materials and specify the list of items (alongwith the Godown and Quantity details) that are required for manufacturing the finished / intermediate product.

Once, the Bill of materials is created, you can use Manufacturing Journal and specify the quantity of finished goods that are to be manufactured. Tally.ERP 9, immediately selects all items required to manufacture the finished product and automatically adjusts (decreases) the stocks. You can also enter additional costs like wages, power, water charges etc, to the cost of the items used in manufacturing.

To enable **Bill of Materials (BoM)**,

Go to **Gateway of Tally > Inventory Info. > Stock Item > Create**

- ❑ Press **F12: Configure**, set parameter **Allow Component list details (Bill of Materials)** to **Yes**

To create **Bill of Materials (BoM)**,

- ❑ From the above **Stock Item Creation** screen,
- ❑ Specify **Stock Item Name, Units of Measure** and other details
- ❑ Set **Alter Components (BoM)** to **Yes**
- ❑ Select all Stock Items required /used for manufacture / assembly of the finished product along with Godown and Quantity details
- ❑ Save the screen

To create **Manufacturing Journal Voucher**,

Go to **Gateway of Tally > Inventory Vouchers > Alt+F7 (Stk Jrnl)**

- ❑ Select **Mfg Journal**
- ❑ Select the **name** of the finished product to be manufactured / assembled
- ❑ Select the **Godown / Stores** and specify the **Qty**

Tally.ERP 9 automatically picks up all stock items to manufacture the finished product with their costs. You can also add additional manufacturing costs like labour, power, fuel, water charges etc.

Inventory Voucher Creation				Universal Enterprises		Ctrl + M	
Mfg Journal No. 23				24-Mar-2009 Tuesday			
Manufacture of Materials							
Name of Product : Assembled PIV				Godown: Assembly Floor		Qty	20 Nos
Batch Name :				Mfg Dt.:		Expiry :	
Components (Consumption)				Cost of Components :		17,521.00/Nos 3,50,420.00	
Name of Item	Godown	Quantity	Rate	Amount	Type of Addl. Cost	%age	
Wireless Mouse	Stores	20 Nos	350.00/Nos	7,000.00	Assembling Charges	1.15 %	2,222.72
Wireless Keyboard	Stores	20 Nos	700.00/Nos	14,000.00			
Monitor	Stores	20 Nos	3,000.00/Nos	60,000.00			
Hard Disk	Stores	20 Nos	4,000.00/Nos	80,000.00			
Floppy Drive	Stores	20 Nos	200.00/Nos	4,000.00			
Mother Board	Stores	20 Nos	5,000.00/Nos	1,00,000.00			
Pentium - IV Processor	Stores	20 Nos	3,500.00/Nos	70,000.00			
Mouse Pad	Stores	10 Nos	7.00/Nos	70.00			
USB Pen Drives 64 MB	Stores	10 Nos	1,500.00/Nos	15,000.00			
Dust Covers	Stores	10 Nos	35.00/Nos	350.00			
				Total Addl. cost	:	2,222.72	
				Effective Cost	:	3,52,642.72	
				Effective Rate	:	17,632.14/Nos	
170 Nos				3,50,420.00			
Narration: Being PIV Computers Assembled.							

Figure 5.11 Manufacturing Journal with Bill of Materials

Tally.ERP 9 displays the total additional cost, effective cost and the effective rate for each finished product.



To create **Manufacturing Journal Voucher Type**,

Go to **Gateway of Tally > Inventory Info. > Voucher Types > Create**

- ❑ Specify **Name of the Journal (Mfg Journal)** and other details.
- ❑ Set parameter **Use as a Manufacturing Journal** to **Yes**

5.13 Tracking Additional Cost of Manufacturing

When you manufacture a product, you have to consider certain other costs like water charges, wages and electricity in addition to the cost of the component, which are added to the product cost during the process of manufacturing. In Tally.ERP 9, you can record additional costs in % or as notional value to the product cost, while entering a manufacturing Journal.

To track **Additional Costs of manufacturing**, create a **Manufacturing Journal** with BoM in the manner, as explained in the previous section.

5.14 Job Costing

Tally.ERP 9 facilitates tracking of cost and revenue information down to the smallest detail for any Job Work/contract undertaken or outsourced to third parties. In order to ascertain the actual costs incurred for each job, each job is assigned a job number or Job name and then Job costing systems accumulate costs separately for each product or service, based on the jobs/tasks undertaken or materials consumed, for each such product or service. In Tally.ERP 9 each Jobwork / sub-contract is created as **Godown** and **Cost Centres** are deployed to accumulate Cost / revenue for each job.

You can use Stock Journals to transfer materials from your company's godown(s) to job workers / sub-contractors location and track the consumption of goods sent for processing. This helps to keep track of the materials issued and consumed at the job work units. Additionally, you can also account for costs incurred using purchase / payments / journal vouchers.

To Enable **Job Costing** in Tally.ERP 9,

Go to **Gateway of Tally > F11: Accounting Features**

- ❑ Set **Use Cost Centres for Job Costing** to **Yes**
- ❑ Set **More than ONE Payroll / Cost Category** to **Yes** (*if required*)

To use **Job Costing Feature** in **Tally.ERP 9**, follow the steps given below :

Step 1: Create Cost Centres for Job Costing

Go to **Gateway of Tally > Accounts Info > Cost Centres > Create**

- ❑ Enter the **name** of the **Cost Centre** in the **Name** field
- ❑ In the **Under** field, select **Primary** from the **List of Options**
- ❑ Set the option **Use for Job Costing** to **Yes**. (This cost centre will then be available in the drop down for the Job Work Analysis report)
- ❑ Save the screen

Step 2: Create Godowns for Job Costing

Go to **Gateway of Tally > Inventory Info. > Godowns > Create**

- ❑ In the **Godown Creation** screen,
 - **Allow Storage of Materials** is automatically set to **Yes**
 - Select the required **Cost Centre** from the **list of Cost Centres**, in the **Set Job/Project Name for Job Costing** field
- ❑ Save to accept



To enable **Multiple Godowns** in **Tally.ERP 9**,

- ❑ Go to **Gateway of Tally > F11 : Inventory Features > Set Maintain Multiple Godowns** to **Yes**

Step 3: Create Ledgers for Job Costing

Go to **Gateway of Tally > Inventory Info. > Ledgers > Create**

- ❑ Enter the **name** of the **Ledger**
- ❑ Specify the **Group Name** in the **Under** field
- ❑ Set **Cost Centres are applicable** to **Yes**

- ❑ Enter other details and save to accept

Step 4: Create Stock Journal Voucher Class for transfer and consumption

Go to **Gateway of Tally > Accounts / Inventory Info. > Voucher Types > Alter**

- ❑ Tab down to **Name of Class** field and specify **Transfer Class** and press **Enter**
- ❑ Set **Use Class for Inter-Godown Transfers** to **Yes**, you will prompted back to the **Name of Class** field in **Voucher Type creation/alteration** screen
- ❑ Type **Consumption Class** under **Name of Class** and press **Enter**
- ❑ Set **Use Class for Job Costing Consumption** to **Yes**
- ❑ Save screen

Step 5: To create Transfer Journal Voucher

Go to **Gateway of Tally > Inventory Vouchers > (Alt +F7) Stk Jrnl**

- ❑ Select **Transfer Class** as the **Voucher Class**
- ❑ Select **Stock Items** to be sent from company's godown in **Source** column (left side) with **Qty** details
- ❑ Specify same items and mention **Job worker's Godown** details in **Destination** column

The **Transfer of Materails** voucher will appear as shown :

Figure 5.12 Transfer of Materails

Go to **Gateway of Tally > Inventory Vouchers > (Alt +F7) Stk Jrnl**

- The **Consumption of Materails** voucher will appear as shown :

Inventory Voucher Creation				Universal Enterprises				Ctrl + M			
Stock Journal		No. 2		Voucher Class : Consumption Class				13-May-2008			
								Tuesday			
<u>Transfer of Materials</u>											
Source (Consumption)					Destination (Production)						
Name of Item	Godown	Quantity	Rate	Amount	Name of Item	Godown	Quantity	Rate	Amount		
Clay	Kiln - II	1,000.000 Kgs	17.67/Kgs	17,670.00							
Shale	Kiln - II	1,000.000 Kgs	21.56/Kgs	21,560.00							
		2,000.000 Kgs		39,230.00							
Narration:											

Figure 5.13 Consumption of Materials

Step 7: To view Godown Summary

Go to **Gateway of Tally > Display > Statements of Inventory > Godowns**

- Select the **Godown/Job Worker**

You can verify the stocks lying with the job worker through the Godown Summary report.

Step 8: To Job Work Analysis Report

Go to **Gateway of Tally > Display > Statements of Accounts > Job Work Analysis**

- Select the required **Job** and press **Enter**

Job Work Analysis		Universal Enterprises	Ctrl + M
Particulars		New Manufacturing Job Universal Enterprises 1-Apr-2008 to 30-May-2008	
A. Revenue (Income) :			
Sales Accounts			4,00,000.00
			4,00,000.00
B. Cost (Expenses) :			
Consumption			1,08,719.00
Opening Stock			
Add: Inwards		3,48,478.05	
Less: Outwards		1,37,305.00	
Less: Closing Stock		38,090.90	
Indirect Expenses			950.00
			1,09,669.00
Nett Profit: (A - B)			2,90,331.00

Figure 5.14 Job Work Analysis Report

You can also insert **(Alt+C)** columns to display costing report for other Jobs and compare margins/costing across jobs.

5.15 Stock Ageing Analysis

The Stock Ageing Analysis report is significant report, which is very useful to you to know, how fast the inventory of various stock items is moving. This allows your management to decide the production plan and its schedule. The report by default shows you the ageing period for each and every stock item, by date of purchase. However, you can select the style of ageing, by selecting the option **Ageing Style** (i.e. By date of Purchase, By Mfg date, By Expiry Date, To be expired).

You can also change the period of ageing, by selecting the **F6** option. Tally.ERP 9 provides you flexibility to specify combination of expiry date and ageing for monitoring goods of perishable nature / pharmaceutical industry.

To view **Stock Ageing Analysis** report,

Go to **Gateway of Tally > Display > Inventory Books > Ageing Analysis**

Stock Ageing Analysis		Universal Enterprises				Ctrl + M		
Items Under : ☐ Primary						as at 31-Mar-2009		
All Batches (Aged by Date of Purchase)						Valued based on Actual Purchase		
Particulars	Expiry Date	45 to 90 days		90 to 180 days		(> 180 days)		Negative Stock
		Quantity	Value	Quantity	Value	Quantity	Value	Quantity
↑ ... 17 more		← ... 2 more						
IMFL						20 Lts	8,000.00	
Main Location						20 Lts	8,000.00	
KeyBoard						10 Nos	5,500.00	
Stores						10 Nos	5,500.00	
Mouse						10 Nos	4,000.00	
Stores						10 Nos	4,000.00	
Mouse Pad								
Stores								
Samsung Laserjet 1500						1 Nos	8,200.00	
Stores						1 Nos	8,200.00	
Timber		50 MT	2,75,000.00					
Main Location		50 MT	2,75,000.00					
Timber - OTFL				100 MT	25,000.00			
Main Location				100 MT	25,000.00			
TVS MSP 245 132 Col Printer						1 Nos	8,100.00	
Stores						1 Nos	8,100.00	
TVS MSP 245 80 Col Printer						1 Nos	5,900.00	
Stores						1 Nos	5,900.00	
USB Pen Drives 64 MB								
Stores								
Wireless Keyboard								
Stores								
Wireless Mouse								
Stores								
Grand Total		50 MT	2,75,000.00		25,075.00		52,270.00	(-)3-0 Box

Figure 5.15 Stock Ageing Analysis Report

- Press **F6**, to change the period
- Press **Alt + S**, to change ageing style
- Press **Alt + B**, to get information on expired batches (Food / Pharmaceutical industry)

5.16 Batch Related Stock Ageing Report

Tally.ERP 9 has a facility to generate batch related stock reporting. If you look at the ageing analysis you can view items with their batches references, dates of Mfg and Expiry dates.

You can also get a report on those items whose shelf-lives have expired or likely to expire. You can move those fast by offering discounts or returning to the manufacturers (as in the case of food and medicine stocks). You can also view ageing reports for all batches.

To view **Batch related Stock Ageing Report**,

Go to **Gateway of Tally > Display > Inventory Books > Ageing Analysis**

- Select any **Stock Group** or **Primary** to display all Stock Groups

Tally.ERP 9 displays all stock items with their batch details, mfg date and expiry date. Using **(Alt+B) Expired batches**, you can view those items that are past their expiry dates.

5.17 Price List with Multi Price levels

Tally.ERP 9 allows you to predefine multiple levels of price lists. For e.g. you can define price lists for Distributors, Dealers and Retailers. While defining the price lists Tally.ERP 9 displays the cost price as well as last price (historical data) for that particular stock item. This simplifies and expedites invoicing and also eliminates the possibilities of errors at the time of Invoice entry.

You can predefine price levels for parties at the time of their ledger accounts creation. When you select a particular party during entry, you have to select only the stock items and enter the qty. The related price is prefilled automatically based on the levels defined.

To define **Price levels**,

Go to **Gateway of Tally > F11: Inventory Features**

- Set **Use Multiple Price Levels** to **Yes**

To define **Price Lists**,

Go to **Gateway of Tally > Inventory Info. > Price list >**

- Select any **Group** or **All Items**
- Specify **rates** for all items/group (You can specify different rates for different quantities of the same item discount %)

Price List Universal Enterprises Ctrl + M								
Under Group : ☐ All Items								
Price Level : Wholesale Applicable From: 1-Oct-2008								
S.No.	Name of Item	Quantities		Rate	Disc. % (if any)	As on : 5-Oct-2004		Cost Price
		From:	Less than			Rate	Disc. %	
1.	Assembled PIV		100 Nos	25,000.00/Nos				14,031.31/Nos
		100 Nos		25,000.00/Nos	2 %			
2.	CDROM Disks 100s			550.00/Box				450.00/Box
3.	CDROM Disks 10s			200.00/Box				162.04/Box
4.	CDROM Disks 10s - Defective							120.00/Box
5.	CDROM Jackets							15.00/Box
6.	Dust Covers					40.00/Nos		36.96/Nos
7.	Floppy Disk							100.00/Box
8.	Floppy Drive							218.07/Nos
9.	Hard Disk							4,051.33/Nos
10.	HCL Celeron							14,014.42/Nos
11.	HCL PIV							21,014.42/Nos
12.	HP - 27							850.00/Nos
13.	HP - 28							950.00/Nos
40 more ... ↓								

Figure 5.16 Price List Creation

5.18 Reorder Levels

It is essential for your company to maintain sufficient inventory levels to cater to the growing needs of your customers and smoothly run your business. In order to have adequate stocks, you have to maintain information in respect of consumption pattern and reorder levels.

Tally.ERP 9 provides you facility to maintain reorder level details for each stock item. You can define reorder levels as well as minimum order quantity for stock items based on the consumption pattern and as per requirements for a specific period (i.e. Days, Months, Weeks, and Years). Tally.ERP 9 also provides you information on stock items whose balances have gone below specified reorder levels.

To Enable **Reorder Levels**,

Go to **Gateway of Tally > F11: Inventory Features > Set Allow Purchase Order Processing to Yes**

To specify **Reorder Levels**,

Go to **Gateway of Tally > Inventory Info. > Reorder Levels > All items/Groups**

- ❑ Specify **Reorder Quantity**, **Minimum Order Quantity** levels, **Period** and **Criteria** details.
- ❑ Save screen

Specify Reorder Levels

Universal Enterprises

Ctrl + M

Under Group

☐ All Items

1-Apr-2008 to 31-Mar-2009

Name of Item	Reorder Quantity	Advance Parameter for Reorder Level (Consumption for the last)		Minimum Order Quantity	Advance Parameter for Minimum Order (Consumption for the last)	
		Period	Criteria		Period	Criteria
↑ ... 4 more						
CDROM Disks 10s - Defective		0			0	
CDROM Jackets						
Dust Covers	100 Box or	5 Days	Higher	50 Box or	5 Days	Higher
Floppy Disk	200 Nos or	5 Days	Higher	100 Nos or	5 Days	Higher
Floppy Drive	20 Box or	5 Days	Higher	10 Box or	5 Days	Higher
Hard Disk	10 Nos or	5 Days	Higher	5 Nos or	5 Days	Higher
HCL Celeron	10 Nos or	5 Days	Higher	5 Nos or	5 Days	Higher
HCL PIV	5 Nos or	5 Days	Higher	2 Nos or	5 Days	Higher
HP - 27	2 Nos or	7 Days	Higher	1 Nos or	7 Days	Higher
HP - 28		0			0	
HP 51645A		0			0	
						40 more ... ↓

Figure 5.17 Specify Reorder Levels

To view **Reoder Status Report**,

Go to **Gateway of Tally > Display > Statements of Inventory > Reorder Status**

- ❑ Select a **group** or **Primary**
- ❑ Press **Enter**

Inventory Reorder Status		Universal Enterprises					Ctrl + M		
Items Under : ☐ Primary (all items)					as at 31-Mar-2009				
Name of Item	Closing Stock	Purc Orders Pending	Sale Orders Due	Nett Available	Re-order Level	Short fall	Min Reorder Qty	Order to be Placed	
Assembled PIV					30 Nos	30 Nos	10 Nos	30 Nos	
CDROM Disks 100s	5 Box			5 Box					
CDROM Disks 10s	3 Box			3 Box					
CDROM Disks 10s - Defective	5 Box			5 Box					
CDROM Jackets	5 Box			5 Box	100 Box	95 Box	50 Box	95 Box	
Dust Covers	75 Nos			75 Nos	200 Nos	125 Nos	100 Nos	125 Nos	
Floppy Disk	4 Box			4 Box	20 Box	16 Box	10 Box	16 Box	
Floppy Drive					10 Nos	10 Nos	5 Nos	10 Nos	
Hard Disk					10 Nos	10 Nos	5 Nos	10 Nos	
HCL Celeron					5 Nos	5 Nos	2 Nos	5 Nos	
HCL PIV					2 Nos	2 Nos	1 Nos	2 Nos	
HP - 27									
HP - 28									
HP 51645A									
HP Laserjet 1010 Series	1 Nos			1 Nos					
IBM Celeron					2 Nos	2 Nos	1 Nos	2 Nos	
IBM PIV	1 Nos		1 Nos		2 Nos	2 Nos	8 Nos	8 Nos	
IMFL	20 Lts			20 Lts					
KeyBoard	10 Nos			10 Nos	10 Nos		5 Nos		
Monitor					10 Nos	10 Nos	5 Nos	10 Nos	
Mother Board					10 Nos	10 Nos	5 Nos	10 Nos	
Mouse	10 Nos			10 Nos	10 Nos		5 Nos		
Mouse Pad	80 Nos			80 Nos	320 Nos	240 Nos	175 Nos	240 Nos	
Pentium - IV Processor					10 Nos	10 Nos	5 Nos	10 Nos	
Q2624A for LJ 1150									
Samsung Laserjet 1500	1 Nos			1 Nos					
Timber	200 MT			200 MT					
Timber - OTFL	100 MT			100 MT					
									5 more ...

Figure 5.18 Reorder Status Report

Tally.ERP 9 displays complete details with closing balances, Purchase Orders Pending, Sales Order due, Reorder level, Shortfall, Min Reorder Qty and Order to be Placed etc. From this report you can drill down to details (For eg., example, you can drill down to Specify Reorder Level screen from the **Reorder level** column). To view those items below reorder levels, press **(Alt + A) Reorder Only**.

5.19 Movement Analysis (Partywise/ Itemwise/ Stock Groupwise)

Tally.ERP 9 offers you yet another important inventory management tool called Movement Analysis. With this report you can analyse the movement pattern of materials either party wise, group wise or item wise. Using this report you can analyse the price at which each supplier has supplied a particular item.

Movement Analysis of a stock group shows the total inward and outward movement of stock items with their effective rates and values for that particular group. The Movement Analysis for a party shows the inward and outward movements of all stocks with effective rate and value. Select an **item** to drill down further and Tally.ERP 9 displays transaction wise details along with a separate column for additional cost.

Go to **Gateway of Tally > Display > Inventory Books > Movement analysis > Stock Item Analysis**

- Select the required **Stock Item** and press **Enter**

Item Movement Analysis		Universal Enterprises				Ctrl + M	
Particulars	IBM PIV Universal Enterprises 1-Apr-2008 to 31-Mar-2009						
	Movement Values						
	Quantity	Basic Rate	Effective Rate	Value			
Movement Inward :							
Suppliers :							
NextGen Systems	5 Nos	19,000.00	19,000.00	95,000.00			
Top Computers	2 Nos	19,500.00	19,500.00	39,000.00			
	7 Nos		19,142.86	1,34,000.00			
Movement Outward :							
Buyers :							
Computer Junction	5 Nos		24,700.00	1,23,500.00			
Horizon Systems	1 Nos		26,000.00	26,000.00			
	6 Nos		24,916.67	1,49,500.00			

Figure 5.19 Stock Item Movement Analysis Report

Movement analysis of stock items shows party wise inward and outward movements of stock items with basic rate and effective rate. Select any party to drill down further for more analysis

5.20 Profitability Analysis (Stock Groupwise / Stock Itemwise / Invoicewise / Locationwise)

Using Tally.ERP 9, you can automatically calculate the gross profit for an item based on its sale price and consumption cost. Gross profit is the difference between sale price and the consumption value. The consumption value is calculated based on the purchase price. You can calculate gross profits for each invoice, stock item, stock group as well as items and location wise.

To view **Stock Group wise**,

Go to **Gateway of Tally > Display > Inventory Books > Group Summary**

- ❑ Select **Primary** or any **Stock Group**
- ❑ Press **F7 : Show profits**
- ❑ Tally.ERP 9 displays sales value, consumption cost and gross profit along with percentages (%).

Stock Summary Universal Enterprises Ctrl + M									
Particulars	Universal Enterprises 1-Apr-2008 to 31-Mar-2009								
	Outwards						Closing Balance		
	Quantity	Rate	Value	Consumption	Gross Profit	Perc %	Quantity	Rate	Value
Accessories	8,805 Nos	9.91	87,252.00	51,577.24	35,674.76	40.89 %	795 Nos	19.87	15,792.76
Components			80,03,602.10	78,99,116.78	1,04,485.32	1.31 %			2,573.22
Computers	531 Nos	22,929.38	1,21,75,500.00	95,28,493.70	26,47,006.30	21.74 %	1 Nos		600.00
Defective Items									
Dot Matrix Printers			7,16,200.00	5,24,000.00	1,92,200.00	26.84 %			14,000.00
Laser Jet Printers			10,91,500.00	8,62,600.00	2,28,900.00	20.97 %			17,400.00
Printer Cartridges	180 Nos	1,336.11	2,40,500.00	1,83,000.00	57,500.00	23.91 %			
Grand Total	9,516 Nos		2,23,14,554.10	1,90,48,787.72	32,65,766.38	14.64 %	796 Nos		50,365.98

Figure 5.20 Gross Profits Stock Group wise Report

To view **Stock item wise**,

Go to **Gateway of Tally > Display > Inventory Books > Stock item**

- ❑ Select the **Stock Item**
- ❑ Press **F7 (Show Profit)**
- ❑ Press **Enter** to drill down further to get transaction wise profitability (Only for outward entries).

To view **Invoice Wise**,

Go to **Gateway of Tally > Display > Account Books > Sales Register**

- ❑ Select a **month** to display sales entries
- ❑ Press **F7(Show Profit)**

- Tally.ERP 9 displays **Gross Profits (Amt & %)** for sales entries

Voucher Register		Universal Enterprises					Ctrl + M	
List of All Sales Vouchers				1-Dec-2008 to 31-Dec-2008				
Date	Particulars	Vch Type	Vch No.	Transaction Value	Gross Revenue	Cost	Gross Profit	%-age
1-12-2008	Cash	Sales	83	1,602.00	1,540.00	853.00	687.00	44.61 %
1-12-2008	Cash	Sales	84	1,544.00	1,485.00	651.50	833.50	56.13 %
6-12-2008	Fortune Computer Services	Sales	85	1,35,000.00	1,20,000.00	92,000.00	28,000.00	23.33 %
7-12-2008	Nirmaan Timbers	Sales	86	6,40,068.00	6,00,000.00	2,75,000.00	3,25,000.00	54.17 %
10-12-2008	Cash	Sales	87	4,118.00	3,960.00	1,712.00	2,248.00	56.77 %
10-12-2008	Silverplus Computers	Sales	88	2,62,500.00	2,52,500.00	1,83,571.20	68,928.80	27.30 %
12-12-2008	Arvind Kumar	Sales	89	6,96,800.00	6,70,000.00	5,46,628.37	1,23,371.63	18.41 %
15-12-2008	Cash	Sales	90	7,373.00	7,373.00	4,156.00	3,217.00	43.63 %
15-12-2008	Cash	Sales	91	4,763.00	4,763.00	3,706.00	1,057.00	22.19 %
18-12-2008	Janata Timbers	Sales	92	28,35,551.25	24,50,000.00	16,21,325.00	8,28,675.00	33.82 %
25-12-2008	Worldwide Computers	Sales	93	4,60,100.00	4,42,500.00	3,66,125.00	76,375.00	17.26 %
Total:				50,49,419.25	45,54,121.00	30,95,728.07	14,58,392.93	32.02 %

Figure 5.21 Gross Profit Invoice Wise Screen

To view **Location wise**,

Go to **Gateway of Tally > Display > Statements of Inventory > Godowns (Warehouses)**

- Select a **godown**.
- Press **F7 (Show Profit)**

Lesson 6: The Technology Advantage of Tally.ERP 9

6.1 Behind the Scene

6.1.1 High Performance Data Engine:

Tally.ERP 9 uses a recursive object oriented, flexi-field, flexi-length embedded database engine giving a compact and fast performance. The in-built database engine also ensures that you do not need to install or understand any third party database like most other applications. Tally.ERP 9 is completely maintenance free without any administration required from your side. The performance is reflected with most of the reports coming up instantly. Overall you get a smooth experience with a lower cost of ownership.

6.1.2 Data Reliability and automatic recovery

Tally.ERP 9 provides a high level of reliability of data with several technologies built into it. Your data does not get corrupted even if there is a sudden machine shutdown or network breakdown or power cut. This is ensured using the concept of transaction atomicity?? which is supported by the object oriented storage. Tally.ERP 9 uses data integrity checks intensively to detect any change to your data by external means. Any corruption happening in this way will be instantly detected as the program operates the data with a timely warning to you. Besides providing a warning, Tally.ERP 9 provides you a unique capability to recover from most corruptions by allowing you to simply rewrite the data. The corrupted data is then discarded and you can continue with normal operations, at the most re-entering the corrupted transactions or masters only.

6.2 Internet & Data exchange

6.2.1 HTTP-XML based data interchange

Tally.ERP 9 uses a recursive object oriented data structure which can naturally and easily be expressed as XML. Tally.ERP 9 can export your data in XML format and can also import data coming in XML format. This is a fundamental capability of the program and can be easily used to extract data for third party applications or to pump in data from third party applications as long as it is compliant with the schema of a voucher or master.

The process can be automated since Tally.ERP 9 can run as an HTTP (Hyper text transfer protocol) server and can process requests for import or export in HTTP-XML to this server from other applications. Even third party web applications written in ASP, PHP, Java etc. can talk to

your Tally.ERP 9 running as an HTTP server and provide real-time information or remote data input. The third party application can send a request to Tally.ERP 9 to get any report in XML or even in HTML formats. Even new reports can be added by defining them in TDL (Tally Definition Language). In the same way, a master or a voucher can be created in XML and sent to Tally.ERP 9 server as an HTTP-XML request and will be processed and stored by Tally.ERP 9.

This capability has been used to provide the synchronisation capability (explained in this document later) which allows data to be replicated, exchange between multiple Tally.ERP 9 instances running at same or different locations just by configuring the same.

All Tally.ERP 9 reports can be readily exported in XML format.

```
- <ENVELOPE>
- <DSPACCNAME>
  <DSPDISPNAME>Capital Account</DSPDISPNAME>
</DSPACCNAME>
- <DSPACCINFO>
  - <DSPCLDRAMT>
    <DSPCLDRAMTA />
  </DSPCLDRAMT>
  - <DSPCLCRAMT>
    <DSPCLCRAMTA>5500000.00</DSPCLCRAMTA>
  </DSPCLCRAMT>
</DSPACCINFO>
- <DSPACCNAME>
  <DSPDISPNAME>Loans (Liability)</DSPDISPNAME>
</DSPACCNAME>
- <DSPACCNAME>
  <DSPDISPNAME>Unadjusted Forex Gain/Loss</DSPDISPNAME>
</DSPACCNAME>
- <DSPACCINFO>
  - <DSPCLDRAMT>
    <DSPCLDRAMTA />
  </DSPCLDRAMT>
  - <DSPCLCRAMT>
    <DSPCLCRAMTA>3.55</DSPCLCRAMTA>
  </DSPCLCRAMT>
</DSPACCINFO>
</ENVELOPE>
```

Figure 6.1 XML Request -Schema for Export of Trial Balance Report

6.3 ODBC - Open Database Connectivity

6.3.1 ODBC data access

Tally.ERP 9 provides an ODBC (Open database connectivity) driver natively which allows other applications like MS-Excel (which can use an ODBC data source) to directly pick up data from Tally.ERP 9 running as an ODBC server. This data is again real-time data and can be refreshed by such applications any time as long as Tally.ERP 9 is running. You can pick and choose the available information and design your own reports in tools like Excel. The type of data available on ODBC from Tally.ERP 9 can be extended using TDL (Tally definition Language).

ODBC compliance allows other programs to use data from Tally.ERP 9 directly.

Procedure:

- ❑ Load Company > Press **Alt+F2 (Change Period)**
- ❑ Minimize Tally.ERP 9
- ❑ Open a new Excel worksheet > **Data > Import External Data > Data Import**
- ❑ Select **Tally ODBC_9000** as **Data Source**
- ❑ Click **Open**

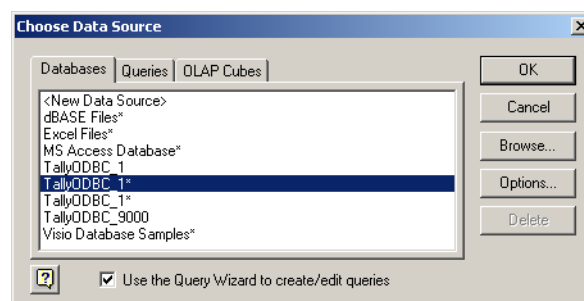


Figure 6.2 Data Source from Tally.ERP 9 in MS Excel Screen

Tally.ERP 9 connects to data source and displays Tally.ERP 9 Wizard query screen -> select the columns you would want to include in the query.

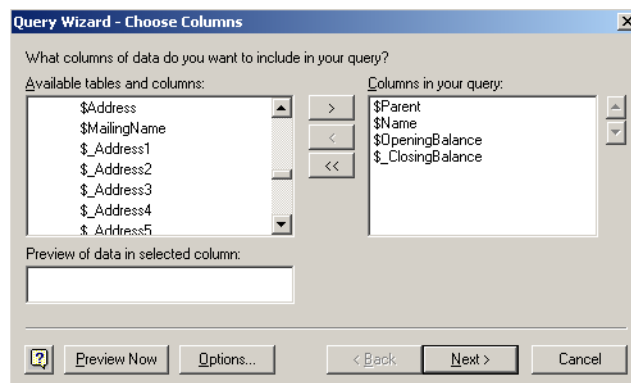


Figure 6.3 Table Selection in MS Excel Screen

Select the required columns (data). MS Excel displays the data selected.

	A	B	C	D
1	Ledger.\$Parent	Ledger.\$Name	Ledger.\$OpeningBalance	Ledger.\$_ClosingBalance
2	Primary	Profit & Loss A/c	0	4899529.9
3	Accumulated Depreciation on Fixed Assets	Accum. Dep. on P & M - II	0	78750
4	Administrative Expenses	Subscriptions	0	-27190
5	Capital Account	Balasubramanian's Share Capital A/c	0	713000
6	Sundry Creditors	Avanthi Constructions	45000	45000
7	Sundry Creditors	Build Well Contractor	35000	35000
8	Sundry Creditors	Chandra Timbers	52000	1661813
9	Sundry Creditors	Computer Point	0	644800
10	Sundry Creditors	Fast Couriers	12000	12000
11	Sundry Creditors - Non Trading	The League Club	0	-5000
12	Sundry Creditors - Trading	ABC India (P) Ltd.,	24000	24000
13	Sundry Creditors - Trading	Magnum Breweries	12500	252500
14	Sundry Creditors - Trading	Mahaveer Computers	41000	142517
15	Sundry Creditors - Trading	Maruthi Traders	0	217014
16	Sundry Debtors	Bangalore Scrap Merchants	-25500	-88518

Figure 6.4 Import of Tally.ERP 9 Ledger Data in MS Excel Screen

In a similar manner you can select other data for import into Excel and format your reports as per requirements.

6.4 Automatic data replication/exchange with synchronisation

Ability to synchronise data across multiple offices

Synchronisation process in Tally.ERP 9 helps you to transfer data between two or more locations. For instance, Synchronisation can be done both ways for the Head office of a company and its Branch office situated in two different locations.

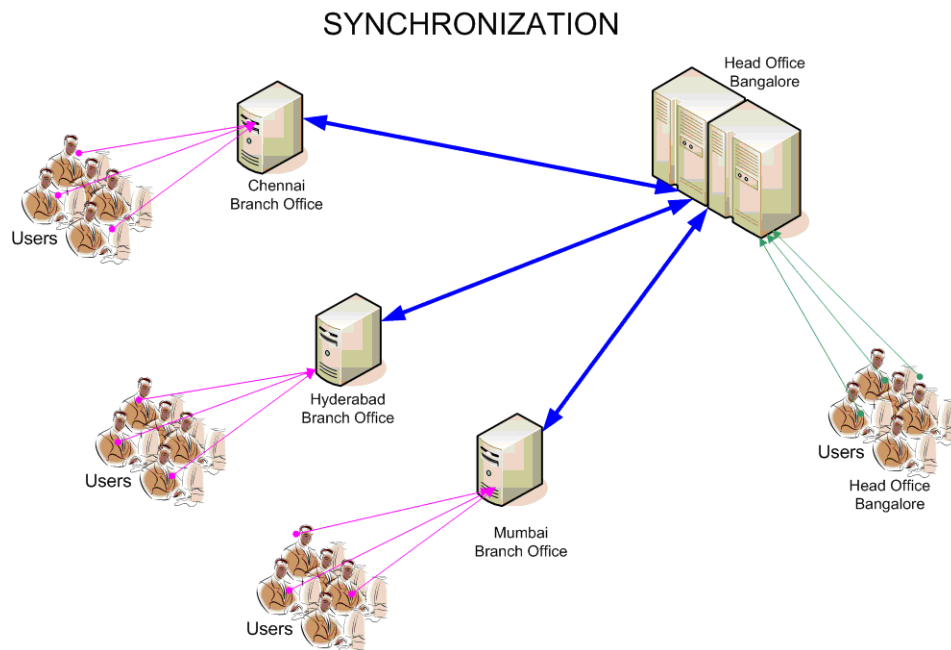


Figure 6.5 Synchronisation Process between HO & Branch Offices

6.5 Security Management

6.5.1 Data Security

Tally.ERP 9 use of data integrity checks ensures that no external change to your data can affect it. It uses a binary encoding format of storage to prevent devious grouping of information. It also offers access to your database thru an ODBC layer, which is fully activated.

User-defined Security Levels

Tally.ERP 9 offers you high levels of security. You can define multiple levels of security as per requirements and authorize users with individual passwords and rights to access specific functionality only. User with Administrator level password will have full access to all features and will set access controls for other users.

To activate Administrator level Password:

- ❑ The Administrator level password is activated during **company creation**
- ❑ **Company Info** screen > **Create**
- ❑ Type **Company Name, Address** and other related details
- ❑ Set the feature **Use Security Control** to **Yes**
- ❑ Specify **Administrator Name, password** and repeat
- ❑ Save screen

If the company is already created:

- ❑ **Load Company > Alt+F3 (Cmp Info) > Alter**
- ❑ Set the feature **Use Security Control** to **Yes**
- ❑ Specify **Administrator Name, password** and repeat
- ❑ Save screen

To create multiple levels of passwords:

Create the Administrator level password as explained earlier.

- ❑ Select **Company > Type Administrator Name and password.**
- ❑ Click **Alt+F3 (Cmp Info) > Security Control > Types of security**
- ❑ Specify **Name** of Security Level
- ❑ At the field **Basic Facilities of**, select **Owner**
- ❑ Specify value for **Days allowed for Back Dated vouchers**. (The no. of days the user is allowed to go back to enter vouchers from the current date).
- ❑ Specify value for **Cut-off date for Back Dated vouchers** (The last day till which the user can go back to enter transactions)

- ❑ Go to column **Disallow the following Facilities** ->Specify the **Type of access** (i.e. **Full Access, Alter, Create, Create/Alter, Display, Display/Print** etc)
- ❑ Go to column **Allow the following Facilities** and specify the details
- ❑ Save screen

Tally.ERP 9 allows you to create any number of levels.

- ❑ Select **Users** and **Passwords** under the **Security Control**
- ❑ Specify **Name** of the user, **password** and **level**
- ❑ Save screen.

6.6 Tally Audit

Tally audit feature provides you with Administrator rights; a capability for you to check the accuracy and correctness of the entries made by authorized users. It allows you to alter the entries if required. Once you audit the entries, Tally.ERP 9 displays for you all altered entries with the user's name who altered the entry, the date and time of alteration. The audit trail is also available in the day book where the administrator can view the alterations made.

To activate Tally Audit:

You can activate the Tally Audit feature during the creation of the Company. If your company is already created,

- ❑ Click **Alt+F3 (Cmp Info)** ->**Alter**.
- ❑ Select company from **List of Companies**.
- ❑ Set the feature **Use Security Control** to **Yes**.
- ❑ Specify the **Administrator Name & Password**.
- ❑ Repeat the entry of the password.
- ❑ Activate the parameter **Use Tally Audit Features** to **Yes**.
- ❑ Save the entries made in the **Company Alteration screen**.

To audit Transactions / masters:

- ❑ Login Tally.ERP 9 as an Administrator.
- ❑ Go to **Gateway of Tally > Display > Statements of Accounts > Tally Audit**
- ❑ Select **masters** or **vouchers**.
- ❑ View the vouchers that are not audited.
- ❑ Select **F7 (Accept one)** and audit an entry or select **Alt+F7 (Accept all)** to audit all entries.

Tally Audit Listing		Universal Enterprises		Ctrl + M	
List of New/Modified Vouchers				1-Apr-2008 to 31-Mar-2009	
Date	Particulars	Vch Type	Vch No.	Debit Amount	Credit Amount
1-3-2009	Office Rent Canara Bank Entered By : Ganesh Altered By: somesh on 9-Mar-2009	Payment	341	3,500.00	
4-3-2009	Janata Timbers HDFC Bank Entered By : Rajesh Altered By: somesh on 9-Mar-2009	Receipt	110		21,98,045.25
8-3-2009	Jet Roadways (P) Ltd., Canara Bank Entered By : somesh	Payment	347	5,000.00	
9-3-2009	Print Devices India Purchase - Interstate Entered By : bharat Altered By: payal on 9-Mar-2009	Purchase	95		1,51,500.00
12-3-2009	Prism Softlinks HDFC Bank Entered By : payal	Receipt	113		5,000.00
14-3-2009	Travelling & Conveyance Cash Entered By : payal	Payment	351	2,891.00	
15-3-2009	Repairs & Maintenance - Guest Accomd. Cash Entered By : Rajesh Altered By: payal on 9-Mar-2009	Payment	352	4,500.00	

Figure 6.6 Tally Audit Listing Screen

To audit entries those have been altered:

If any entry that is audited by you is altered by a user, then Tally.ERP 9 displays the entry in the Tally Audit report.

- Click **F12: (Configure)** > Set the parameter **Show Entered / Altered By** to **Yes**.

You will find a list of all entries that are altered with the names of person entering it, person altering it and date of alteration.



The Administrator can once again audit the entries that have been altered after verifying the same.

6.7 Tally Vault

Tally.ERP 9 offers a data encryption option called Tally Vault. The Tally vault password given cannot be broken by any means. Tally.ERP 9 follows D E S (Data Encryption Standard) encryption method.

To activate Tally Vault option

You can activate the Tally Vault facility at the time of creating a new Company or when altering an existing one.

For a new Company:

- ❑ Click **Tally icon > Company Info. > Create**
- ❑ Type the **Name of the Company** and other related details.
- ❑ Type the **Tally Vault Password** and repeat the same.
- ❑ Save screen.

For an existing Company:

- ❑ Click **Tally icon > Company Info. > Select Company**
- ❑ Select **Alt+F3 (Cmp Info) > Change TallyVault**
- ❑ Type New Password and repeat.
- ❑ Save screen.

6.8 Administration and Manageability

6.8.1 Simple and Rapid Installation

Tally.ERP 9 has a simple menu driven installation procedure. At the time of installation you can install the program files on any drive (i.e. if the hard disk has partitions) or specify a directory for installation. You can also specify the location of the data directory. It only take about 30 MB in total including the option to install all languages supported by Tally.ERP 9

To install Tally.ERP 9:

- ❑ Insert the Tally.ERP 9 Installation CD in the system's CD drive.
- ❑ Select **My Computer** on Desktop.
- ❑ Select CD drive.
- ❑ Run **Install.exe > Specify Path** (for Program files and data directory).
- ❑ Click **Install**.
- ❑ After Installation a message '**Installation Successful**' is displayed.
- ❑ Click **OK**.

The Tally.ERP 9 package is installed on the required drive of the system. You can find the Tally.ERP 9 icon created on the desktop.

6.8.2 Removal of data into separate company

Tally.ERP 9 allows you to maintain a company for any number of financial years. Once the books of accounts are completed for previous financial years and if you wish you could split the company data into multiple companies as per financial periods required. Tally.ERP 9 therefore offers a feature to split your company data. You can specify the date from which the company has to be split and Tally.ERP 9 will split the company to form two companies as per periods specified. Once the data has been split, the closing balance of the first period (first company) becomes opening balance for the next period (second company).

To split data:

- ❑ Load the company for splitting.
- ❑ Select **Alt+F3 (Cmp Info)** -> Split Company Data.
- ❑ Select **Company**.
- ❑ Specify the date in Split from (this is the starting date of the new period)
- ❑ Save screen.

Tally.ERP 9 splits your company data as per the periods specified.

Split Company		Universal Enterprises		Ctrl + M
Current Period 1-4-2008 to 31-3-2009 List of Selected Name of Company Universal Enterprises		Split Company Data Name : Universal Enterprises Split from : 1-Apr-2009 (this date will become the Financial Year Beginning for the new company) (valid values: 2-Apr-2008 to 1-Apr-2009 : Recommended is 1-Apr-2009) These new companies will be created and opened First Company : Universal Enterprises - (From 1-Apr-2008) Second Company : Universal Enterprises - (From 1-Apr-2009)		of Tally ... any Info. company company

Figure 6.7 Splitting of Company Data Screen

6.8.3 Multi- Directory for Company Management:

You can create multiple directories in your system to store Tally.ERP 9 data. Specify the path in Tally.ERP 9 to access the data directly in these directories.

How to create companies in different directories:

- ❑ Click **Alt+F3 > Create Company**.

- ❑ Specify **path** for Directory in Company Creation.
- ❑ Specify **name** for the company and other related details.
- ❑ Save screen

To Load Companies from different directories:

- ❑ Click **Alt+F3 ->Select Company**.
- ❑ Specify **path** for Directory and company for Name.
- ❑ Press **Enter**

If you want to select one more company from a different directory:

- ❑ From **Company Info screen > Alt+F3 (Cmp Info) > Select Company**.
- ❑ Specify **path** for Directory and company for Name.
- ❑ Press **Enter**.

If needed, you can merge the two companies and view the consolidated reports.

6.9 Extensibility (TDL - Tally Definition Language)

The most powerful and important technical capability which is available in Tally.ERP 9 is the Tally Definition Language (TDL). This is a rapid business application development language using which Tally.ERP 9 itself has been developed. Almost anything in Tally.ERP 9 can be altered, customized, extended using this language. New reports can be easily written or existing ones altered using this language and added on to Tally.ERP 9 just by adding them to the INI file. All reports written in TDL will automatically become available in HTML, XML format along with capability to print them, mail them, publish them and so on. Our partners provide you the services for extending Tally.ERP 9 and even ready-made extensions are available from them.

This language capability is built into all the editions of the product and you have to just get the specific extensions done as required for your business. The language is easy to learn and we provide the necessary courses and tools just in case you want to do it yourself!!!

6.10 Others

Print Preview:

Before printing any report you would ideally like to view the content and format of reports / Invoices / Vouchers. Tally.ERP 9 offers you a facility to preview the report before printing or mailing. This is the print preview option.

Unlimited Multi-User support:

You can install a Multi-user Version (Gold) of Tally.ERP 9 on a network having any number of machines (computers) working with different operating systems like NT, Win 95, 98, Win 2000; on a single subnet. Tally.ERP 9 works on any kind of network (i.e. NT, Novell, Peer-Peer N/W etc). The protocol required is TCP/IP.

Concurrent Access of a Company Data by Multiple Tally.ERP 9 Silver Installations:

Many businesses using two or more licenses of Tally.ERP 9 on their Local Area Network (LAN) would like to access the common data. This was not possible in the earlier versions of Tally.ERP 9 within a LAN. If one of your users was accessing the data of a company, then the other user on the LAN would not be able to access the database of the same company. The database would be rendered inaccessible.

Now Tally.ERP 9 comes with an enhanced feature, wherein more than one Tally.ERP 9 Silver license user can access the data of a single company concurrently on a LAN (within a single subnet).

Selection of Company data by the Administrator

- ❑ Go to **Gateway of Tally** > Click **F1** to select a company
- ❑ Against Directory the path of the Data folder displays
- ❑ Against Name, select the required company from **List of Companies**
- ❑ Press **Enter**

Select Company																							
Current Period																							
List of Selected Companies	Directory : C:\Tally\Data Name :																						
Name of Company	List of Companies <table border="1"> <thead> <tr> <th>*****</th> <th>(10004)</th> </tr> </thead> <tbody> <tr> <td>ABC Company</td> <td>(10003) 1-Apr-2008 to 31-Mar-2009</td> </tr> <tr> <td>ACME Corporations</td> <td>(10002) 1-Apr-2007 to 31-Mar-2009</td> </tr> <tr> <td>Bhim Chemicals</td> <td>(00033) 1-Apr-2006 to 31-Mar-2007</td> </tr> <tr> <td>Chauhan Housing Pvt Ltd</td> <td>(10000) 1-Apr-2008 to 31-Mar-2009</td> </tr> <tr> <td>Global Enterprises</td> <td>(04554) 1-Apr-2007 to 31-Mar-2009</td> </tr> <tr> <td>Impact Automation</td> <td>(22222) 1-Apr-2008 to 31-Mar-2009</td> </tr> <tr> <td>Naaz Departmental Stores</td> <td>(10006) 1-Apr-2005 to 31-Mar-2006</td> </tr> <tr> <td>Somitel Computers</td> <td>(10005) 1-Apr-2008 to 31-Mar-2009</td> </tr> <tr> <td>Susmit Travels</td> <td>(10001) 1-Apr-2008 to 31-Mar-2009</td> </tr> <tr> <td>Universal Enterprises</td> <td>(10025) 1-Apr-2008 to 31-Mar-2009</td> </tr> </tbody> </table>	*****	(10004)	ABC Company	(10003) 1-Apr-2008 to 31-Mar-2009	ACME Corporations	(10002) 1-Apr-2007 to 31-Mar-2009	Bhim Chemicals	(00033) 1-Apr-2006 to 31-Mar-2007	Chauhan Housing Pvt Ltd	(10000) 1-Apr-2008 to 31-Mar-2009	Global Enterprises	(04554) 1-Apr-2007 to 31-Mar-2009	Impact Automation	(22222) 1-Apr-2008 to 31-Mar-2009	Naaz Departmental Stores	(10006) 1-Apr-2005 to 31-Mar-2006	Somitel Computers	(10005) 1-Apr-2008 to 31-Mar-2009	Susmit Travels	(10001) 1-Apr-2008 to 31-Mar-2009	Universal Enterprises	(10025) 1-Apr-2008 to 31-Mar-2009
*****	(10004)																						
ABC Company	(10003) 1-Apr-2008 to 31-Mar-2009																						
ACME Corporations	(10002) 1-Apr-2007 to 31-Mar-2009																						
Bhim Chemicals	(00033) 1-Apr-2006 to 31-Mar-2007																						
Chauhan Housing Pvt Ltd	(10000) 1-Apr-2008 to 31-Mar-2009																						
Global Enterprises	(04554) 1-Apr-2007 to 31-Mar-2009																						
Impact Automation	(22222) 1-Apr-2008 to 31-Mar-2009																						
Naaz Departmental Stores	(10006) 1-Apr-2005 to 31-Mar-2006																						
Somitel Computers	(10005) 1-Apr-2008 to 31-Mar-2009																						
Susmit Travels	(10001) 1-Apr-2008 to 31-Mar-2009																						
Universal Enterprises	(10025) 1-Apr-2008 to 31-Mar-2009																						

Q: Quit

Product	Version	License	Configuration	Calculator	Ctrl + N
 Tally POWER OF SIMPLICITY Tally.ERP 9	Series A Release 1 (Beta)	Latest Latest	Serial Number 780003045		
	Edition	Silver	Account ID salkar.pandit@tallysolutions.com		
	Users	ONE	Tally.NET subscription valid till 8-Jun-2009	Server Port 9000 Running as Server with ODBC	1 >

Figure 6.8 Company Selection Screen with Path Details

Generation of Report

- Go to **Gateway of Tally > Balance Sheet**
- Click **Alt+F1** to view a detailed report

Balance Sheet				Universal Enterprises				Ctrl + M			
Liabilities				Universal Enterprises				as at 31-Mar-2009			
Capital Account				55,00,000.00				Fixed Assets			
Current A/c								24,62,489.68			
Balasubramanian's Share Capital A/c				7,13,000.00				Accumulated Depreciation on Fixed Assets			
Kavitha's Share Capital A/c				2,76,500.00				(-)6,02,622.20			
Mohan's Share Capital A/c				15,00,000.00				Land & Building			
Priya Ganesh's Share Capital A/c				5,65,500.00				14,00,000.00			
Sathish's Share Capital A/c				14,00,000.00				Plant & Machinery			
Suresh's Share Capital A/c				4,75,500.00				5,25,000.00			
Vijayakumar's Share Capital A/c				5,69,500.00				Airconditioner			
								21,500.00			
								Computers & Peripherals			
								90,460.00			
								Furniture & Fixtures			
								1,22,420.00			
								Motor Car - Hyundai GLX			
								9,05,731.88			
Loans (Liability)				4,63,216.03				Investments			
Unsecured Loans				4,43,316.03				5,00,000.00			
HDFC Silver Credit Card				19,900.00				NSC			
Current Liabilities				56,88,860.51				Current Assets			
Duties & Taxes				64,406.54				1,39,65,169.98			
Provisions				91,618.38				Closing Stock			
Sundry Creditors				53,26,540.00				15,80,439.38			
EDLI Admin Charges @ 0.01%								Loans & Advances (Asset)			
EDLI Contribution @ 0.5%								15,99,000.00			
Employee's ESI Contribution @ 1.75%								Sundry Debtors			
Employee's PF Contribution @ 12%								64,02,232.68			
ESI Payable				210.00				Cash-in-hand			
Interest on Car Loan A/c				1,56,275.59				12,36,005.25			
PF Admin Charges @ 1.10%								Bank Accounts			
								28,97,492.67			
								Advance Tax			
								2,50,000.00			
Total				1,69,27,659.66				Total			
1,69,27,659.66				1,69,27,659.66							
Q: Quit				R: Remove Line				U: Restore Line			
								U: Restore All			
								Space: Select			
Product				Version				License			
Tally				Series A				Serial Number			
POWER OF SIMPLICITY				Release 1 (Beta)				780003045			
Tally.ERP 9				Edition				Account ID			
				Users				sai@at.pandit@tallysolutions.com			
				Silver				Tally.NET subscription valid till			
				ONE				8-Jun-2009			
								Server Port			
								9000			
								Running as Server with ODBC			
								3>			
								1 16:54:00 : Connected to Tally.NET			
								2 16:54:00 : Universal Enterprises - Company connected successfully			

Figure 6.9 Fig. 7.9 Balance Sheet Screen of Tally.ERP 9

Access to Company data to make entry by the user

- ❑ Go to **Gateway of Tally > Click F1** to select a company
- ❑ Against Directory the path of the Data folder displays
- ❑ Against this field use Backspace key to enter the path of the shared folder Data, located on the Administrator's system
- ❑ Select the required company from **List of Companies**
- ❑ Save screen

Select Company Ctrl + M

Current Period

Directory: **AdministratorData**

Name:

List of Selected Companies

Name of Company

List of Companies		
***** (10004)		
ABC Company	(10003)	1-Apr-2008 to 31-Mar-2009
ACME Corporations	(10002)	1-Apr-2007 to 31-Mar-2009
Somitel Computers	(10005)	1-Apr-2008 to 31-Mar-2009
Susmit Travels	(10001)	1-Apr-2008 to 31-Mar-2009
Universal Enterprises	(10025)	1-Apr-2008 to 31-Mar-2009

Q: Quit

Product	Version	License	Configuration	Calculator
Tally POWER OF SIMPLICITY Tally.ERP 9	Series A Release 1 (Beta) Edition Users	Latest Latest Silver ONE	Serial Number: 780003045 Account ID: saikat.pandey@tallysolutions.com Tally.NET subscription valid till: 8-Jun-2009	1 16:54:00 : Connected to Tally.NET 2 %SIB1: Universal Enterprises - Company connected successfully 3 %SIB25: Universal Enterprises - Company disconnected successfully 4 >

Figure 6.10 Company Selection Screen - Tally.ERP 9

Accounting entry by the user

- ❑ Go to **Gateway of Tally > Accounting Vouchers**
- ❑ Select the required voucher screen (e.g. **F5- Payment/F6 - Receipt**)
- ❑ Make the required entry
- ❑ Save screen

As a user you can view the entry screen in your system and can execute all functions of Tally.ERP 9 as if you are working on Tally.ERP 9 on your local system.

Accounting Voucher Creation		Universal Enterprises		Ctrl + M	
Receipt No. 118				31-Mar-2009 Tuesday	
Account : HDFC Bank Cur Bal: 3,38,080.44 Dr					
Particulars				Amount	
All India Computer Institute Cur Bal: 320.00 Dr Agst Ref 11 60 Days 25,000.00 Cr (16-Mar-2009)				25,000.00	
Bright Traders Cur Bal: 2,52,640.00 Dr On Account 95,000.00 Cr				95,000.00	
Computer Junction Cur Bal: 41,660.00 Dr Agst Ref 9 30 Days 52,000.00 Cr (4-Jun-2008)				52,000.00	
Narration: Payment received from parties				1,72,000.00	
				Accept ? Yes or No	
Q: Quit A: Accept D: Delete X: Cancel					
Product	Version	License	Configuration	Calculator	Ctrl + N
 Tally.ERP 9	Series A Release 1 (Beta)	Latest Latest	Serial Number 780003045	1	
			Account ID: saikat.pandey@tallysolutions.com	2	
				3	
	Edition Users	Silver ONE	Tally.NET subscription valid till 8-Jun-2009	4	
		Server Port 9000 Running as Server with ODBC	5>		

Figure 6.11 Receipt Voucher Creation in Tally.ERP 9

Accessing Data on another system

- ❑ Open the Explorer window and open the folders section.
- ❑ Open the folder Tally.ERP 9
- ❑ Right click on the sub-folder Data and then select Sharing and Security.

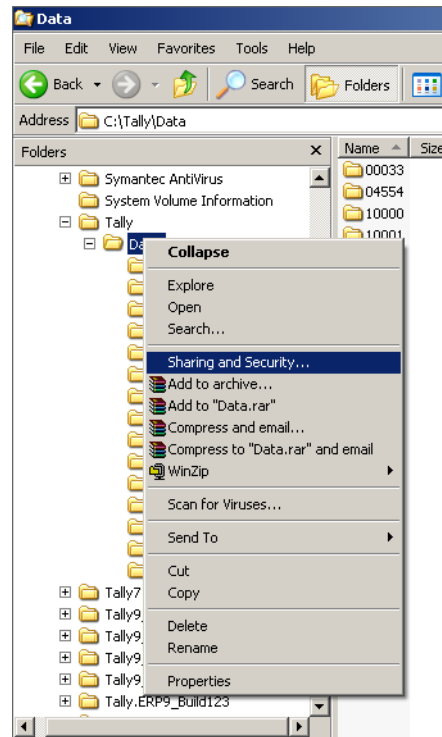


Figure 6.12 Sharing and Security of Tally.ERP 9 Data Folder

By default the Share name is the name of the active folder, Data.

- ❑ Select the option **Share** this folder.
- ❑ Select **Maximum allowed for User limit**.
- ❑ Click **Apply & OK**

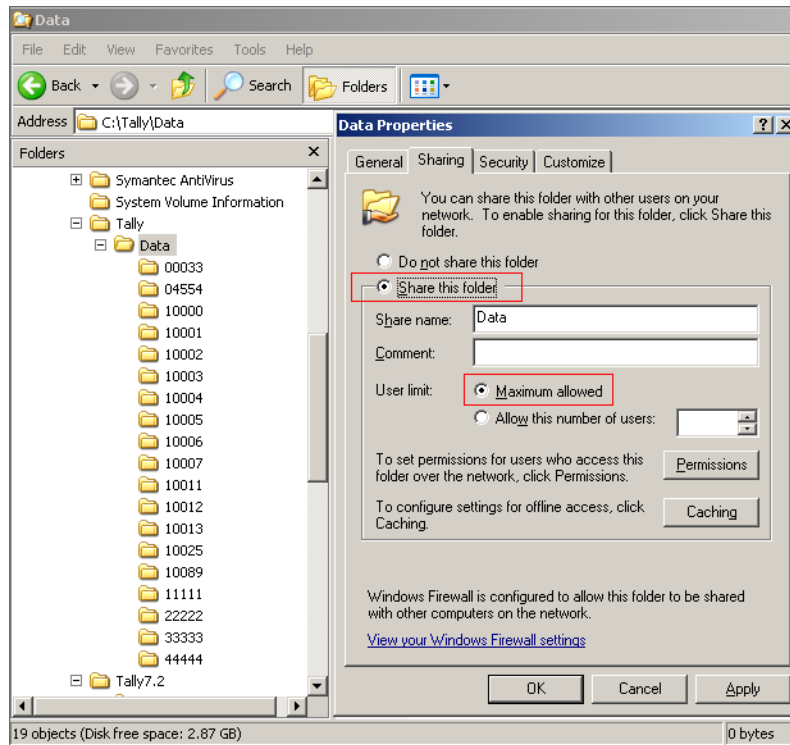


Figure 6.13 Data Properties Window

- ❑ Click **Security**.
- ❑ Under **Groups** or user names, select the required option.
- ❑ Under **Permissions** - **Allow**, check all the options.
- ❑ Click **Apply** & **OK**.

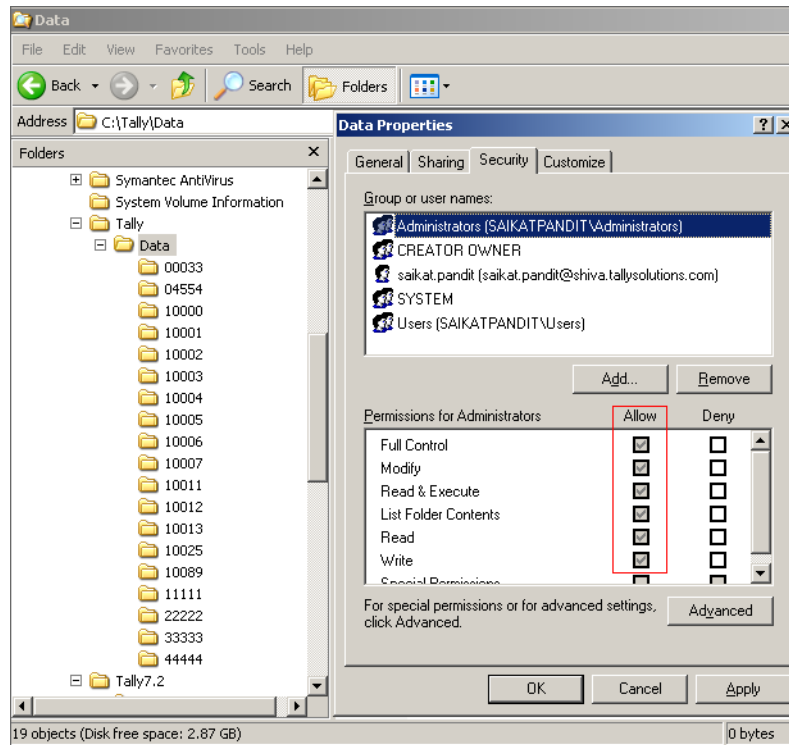


Figure 6.14 Data Properties Allow Permissions

This will facilitate the other users to carry out all functions for the shared folder

- ❑ Login Tally.ERP 9 as a user
- ❑ Go to **Gateway of Tally > Click F1 (Select Cmp)** to select a company

The Select Company screen with the List of Companies opens

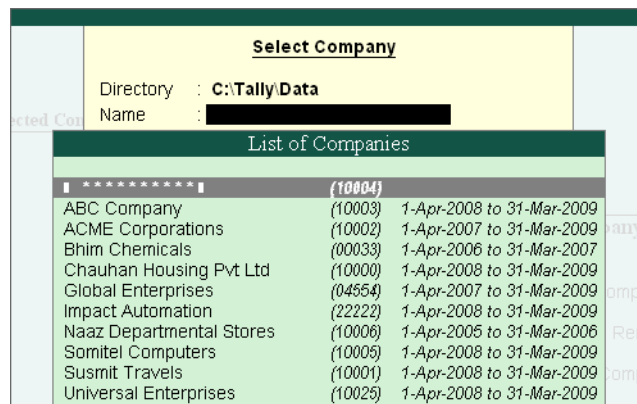
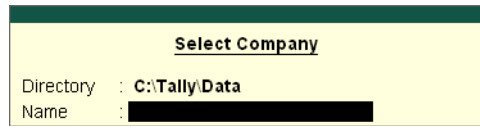


Figure 6.15 Select Company Screen

The Directory field contains the path of the local data.

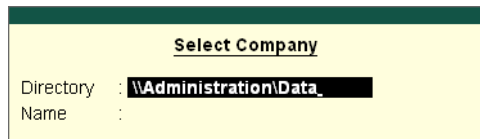


The screenshot shows a window titled "Select Company". It has two fields: "Directory" and "Name". The "Directory" field is populated with "C:\Tally\Data". The "Name" field is empty.

Figure 6.16 Data Directory Window

Use the **backspace** key to change the Directory.

Type the location of the shared folder Data. (You can type in the Administrator's system name where the shared Data folder is located).

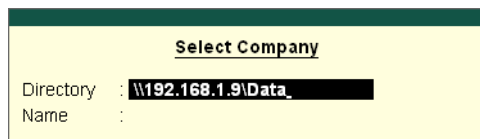


The screenshot shows a window titled "Select Company". It has two fields: "Directory" and "Name". The "Directory" field is populated with "\\Administration\Data_". The "Name" field is empty.

Figure 6.17 Data Directory with Name Details

OR

Alternatively you can type the IP Address of the Administrator's system where the shared folder is located.



The screenshot shows a window titled "Select Company". It has two fields: "Directory" and "Name". The "Directory" field is populated with "\\192.168.1.9\Data_". The "Name" field is empty.

Figure 6.18 Data Directory with IP Address Details

If your company's database has to be shared on a default basis, then make the following changes in the Tally.ini file.

You can mention the system name

OR

Enter the system's IP address.

```
;;Specify location of Data files  
Data=\\Administrator\Data  
  
;;Specify list of companies to preload,  
;; ** TO STOP DEFAULT LOADING set the following line to NO
```

Figure 6.19 Tally Ini file with Name

```
;;Specify location of Data files  
Data=\\192.168.1.9\Data  
  
;;Specify list of companies to preload,  
;; ** TO STOP DEFAULT LOADING set the following line to NO
```

Figure 6.20 Tally Ini file with IP Address

After defining these steps you can use Tally.ERP 9 to work in a shared environment where more than one user of Tally.ERP 9 silver can access the company database.

6.11 Internal Backup / Restore

Tally.ERP 9 has in-built user friendly features of backup and restore. You can take a backup in the local hard disk or any external media. Tally.ERP 9 provides you with the capability to take backup of one or more companies or all companies in a single directory.

To take a Backup:

- ❑ Click **Alt+F3 > Backup**
- ❑ Select **Source** (specify path)
- ❑ Select **Destination** (specify path)
- ❑ Select the Company/Companies for data backup
- ❑ Save screen.

To Restore data:

- ❑ Click **Alt+F3 > Restore**
- ❑ Select **Destination** (specify path)
- ❑ Select **Source** (specify path)
- ❑ Select the Company/Companies for data restore
- ❑ Save screen

6.11.1 Import / Export of Data

Tally.ERP 9 allows you to import data from as well as export data to other software. You can import and export in ASCII, Excel and XML formats. XML is now the most widely used format of exporting data in the world. Any type of transactions can be exported to other software after suitably altering their current structures to accept Tally.ERP 9 data. The reverse is also possible if you write a small TDL program to accept data from other software. The data that is imported into Tally.ERP 9 can be in either XML or DBF formats.

Export Tally.ERP 9 Reports to MS Excel

Tally.ERP 9 now comes with the functionality wherein all reports can be exported to Microsoft Excel spreadsheet. This feature enables you to export any report generated by Tally.ERP 9 into Excel.

Subsequently, you can generate graphical representations of the data for better visual presentation. This process of export can be explained with a few simple steps, as shown below.

- Go to **Gateway of Tally > Balance Sheet**. The following screen is displayed.

P: Print → E: Export M: E-Mail O: Upload		G: Language K: Keyboard K: Control Centre H: Support Centre H: Help	
Balance Sheet		Universal Enterprises Ctrl + M X	
Liabilities	Universal Enterprises as at 31-Mar-2009	Assets	Universal Enterprises as at 31-Mar-2009
Capital Account	55,00,000.00	Fixed Assets	24,62,489.68
Loans (Liability)	4,63,216.03	Investments	5,00,000.00
Current Liabilities	56,88,860.51	Current Assets	1,39,65,169.98
Profit & Loss A/c	52,75,579.57		
Opening Balance			
Current Period	52,75,579.57		
Unadjusted Forex Gain/Loss	3.55		
Total	1,69,27,659.66	Total	1,69,27,659.66

Figure 6.21 Export Option in Tally.ERP 9

- ❑ Click **Export**.
- ❑ Select **Restricted** (ASCII only).
- ❑ Select **Excel (Spreadsheet)** in Format.
- ❑ Type the name of file for **Output File Name** as required.
- ❑ Specify other details.

Report Generation		Universal Enterprises		Ctrl + M
Liabilities	Universal Enterprises as at 31-Mar-2009	Assets	Universal Enterprises as at 31-Mar-2009	
Capital Account	55,00,000.00	Fixed Assets	24,62,489.68	
Loans (Liability)	4,63,216.03	Investments	5,00,000.00	
Current Liabilities	56,88,860.51	Current Assets	1,39,65,169.98	
Profit & Loss A/c				
Opening Balance				
Current Period				
Unadjusted Forex Gain/Loss				
Exporting Balance Sheet				
Language		: Restricted (ASCII Only)		
Format		: Excel (Spreadsheet)		
Output File Name		: PSheet.xls		
Output Sheet Name		: Format		
Update existing file		: ASCII (Comma delimited)		
Excel (Spreadsheet) Formatting		: Excel (Spreadsheet)		
with Colour		: HTML (web-publishing)		
		: XML (data interchange)		
Scale Factor for Values		: Detailed		
Format		? No		
Show Vertical Balance Sheet		? No		
Profit or Loss, both as Liability		? No		
Show Percentages		? No		
Show Working Capital figures		? No		
Method of showing Balance Sheet		? Liabilities / Assets		
Total	1,69,27,659.66	Total	1,69,27,659.66	

Figure 6.22 Report Generation Screen for Excel

- ❑ Click **Yes** for Export.

By default the exported report in Excel format is saved in the Tally.ERP 9 folder. **Open** this file to view the report.

	A	B	C	D	E	F
1		Universal Enterprises			Universal Enterprises	
2	Liabilities	as at 31-Mar-2009		Assets	as at 31-Mar-2009	
3	Capital Account		5500000.00	Fixed Assets		2462489.68
4	Current A/c			Accumulated Depreciation on Fixed Assets	-602622.20	
5	Balasubramanian's Share Capital A/c	713000.00		Land & Building	1400000.00	
6	Kavitha's Share Capital A/c	276500.00		Plant & Machinery	525000.00	
7	Mohan's Share Capital A/c	1500000.00		Airconditioner	21500.00	
8	Priya Ganesh's Share Capital A/c	565500.00		Computers & Peripherals	90460.00	
9	Sathish's Share Capital A/c	1400000.00		Furniture & Fixtures	122420.00	
10	Suresh's Share Capital A/c	475500.00		Motor Car - Hyundai GLX	905731.88	
11	Vijayakumar's Share Capital A/c	569500.00		Investments		500000.00
12	Loans (Liability)		463216.03	Investments	500000.00	
13	Unsecured Loans	443316.03		NSC		
14	HDFC Silver Credit Card	19900.00		Current Assets		13965169.98
15	Current Liabilities		5688860.51	Closing Stock	1580439.38	
16	Duties & Taxes	64406.54		Loans & Advances (Asset)	1599000.00	
17	Provisions	91618.38		Sundry Debtors	6402232.68	
18	Sundry Creditors	5326540.00		Cash-in-hand	1236005.25	
19	EDLI Admin Charges @ 0.01%			Bank Accounts	2897492.67	
20	EDLI Contribution @ 0.5%			Advance Tax	250000.00	
21	Employee's ESI Contribution @ 1.75%					
22	Employee's PF Contribution @ 12%					
23	ESI Payable	210.00				
24	Interest on Car Loan A/c	156275.59				
25	PF Admin Charges @ 1.10%					
26	PF Payable					
27	Professional Tax					
28	Salary Payable	49810.00				
29	Profit & Loss A/c		5275579.57			
30	Opening Balance					
31	Current Period	5275579.57				
32	Unadjusted Forex Gain/Loss		3.55			
33	Total		16927659.66	Total		16927659.66
34						

Figure 6.23 Report in Excel Imported from Tally.ERP 9

6.11.2 Graphical Analysis of Data

Pictorials like graphs convey better information than just numbers. Tally.ERP 9 also provides you feature for graphical (Bar graph) analysis of data. You can do a graphical analysis of reports like Sales register, Purchase register, Ledgers, Funds flow, Cash flow, Item registers etc. This helps you to analyse the financial data fully. Tally.ERP 9's graphical analysis provides for month wise graphs and compares them with any other period. This feature helps you to locate quickly the high and low periods (variations) in a financial year.

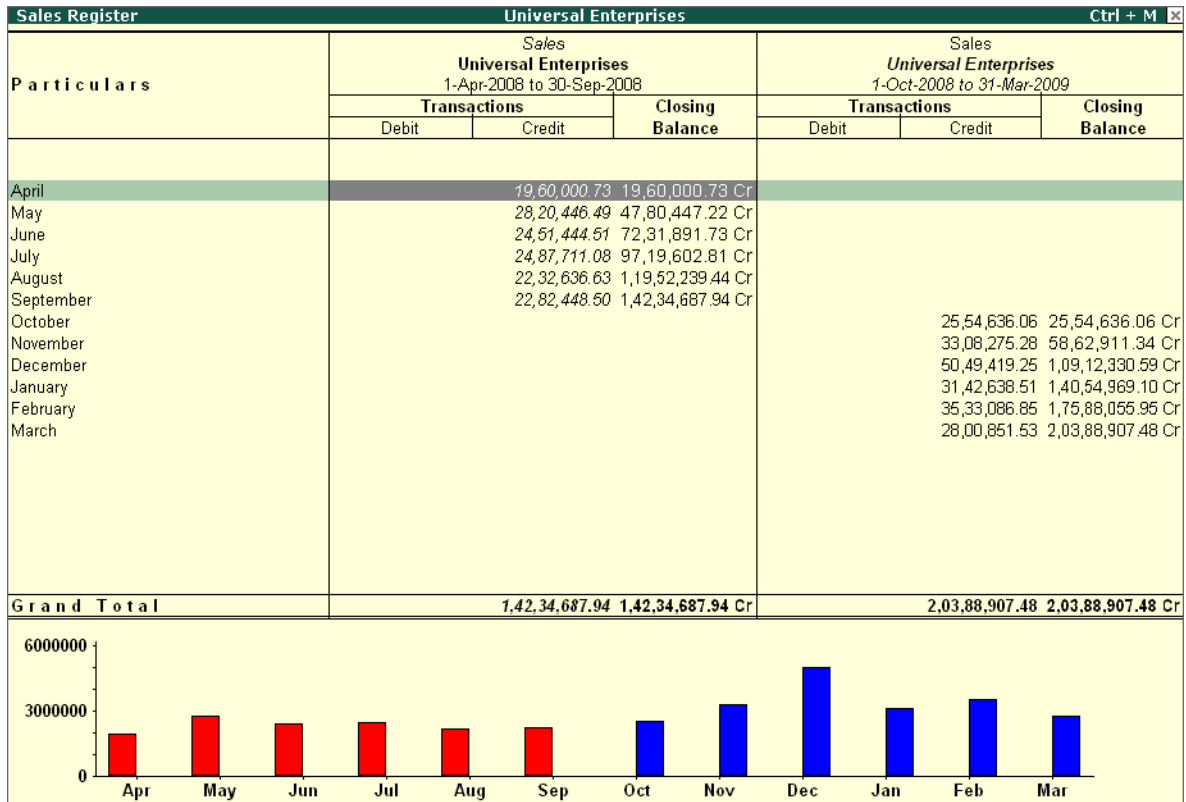


Figure 6.24 Graphic Display of Sales Register Screen

Comparison for e.g. Sales Registers (Month wise):

Go to **Gateway of Tally > Display > Account Books > Sales Register > Alt + C (New Column)**

- ❑ Specify the financial year period for comparison.
- ❑ Save screen.
- ❑ Tally.ERP 9 also shows month wise comparisons.

6.12 Concurrent Multi-lingual Capability

With Tally.ERP 9, you can maintain your accounts in any Indian language, view them in another language, and print them in a third language, with greater speed and power than ever before! You can perform all these actions concurrently and without much effort. Tally.ERP 9 ensures that you are able to transact business across the length and breadth of India in any language provided by Tally.ERP 9 without any barriers. Some important aspects of this functionality are:

- ❑ Can display Tally.ERP 9 in **any language** that the user chooses from any screen in Tally.ERP 9.
- ❑ Supports **Translation of Pre-Defined Masters**.
- ❑ Supports **Transliteration** for the allowed languages.
- ❑ Can capture data entered using the **phonetic** language or **system** language.
- ❑ Can capture language specific **Names** and **Aliases**.
- ❑ Can print and display **Reports**, **Vouchers** and **Invoices** in any language.
- ❑ Can copy text from Tally.ERP 9 to Windows and vice versa. Use **Ctrl +Alt +C** to copy and **Ctrl +Alt +V** to paste.

6.13 Tally.NET

Tally.NET is an enabling framework which establishes a connection through which the remote user can access the Client's data without copying / transferring the data. In other words, the remote user can access the company data, provided the Company is open and connected on Tally.NET.

Using Tally.NET features, the user can create remote users (ids), authorize & authenticate them for accessing the connected (available) companies. The remote users can be mapped to a particular user and assigned security controls based upon their security levels (viz., Tax Auditor / Administrator, Data Entry etc.). The remote user can further create sub-ids under him to assign tasks based on their security levels.

The user making the company available and a person accessing the data behave as clients to Tally.NET, thereby rendering a secure exchange system.

Tally.NET Features

Tally.NET is a default feature available in the product and provides a host of capabilities.

- ❑ Register and Connect companies from Tally.ERP 9
- ❑ Create and maintain Remote Users
- ❑ Remote access of data by any user (including BAP users)
- ❑ Remote availability of Auditors' Edition of Tally License
- ❑ Synchronization of data (via Tally.NET)

6.14 New Licensing Mechanism

Tally.ERP 9 brings a simple and more user-friendly Licensing mechanism, which addresses many of the licensing activities for any user from a single window (screen). Besides, allowing activation of Single User (Silver) and Multi User (Gold) license, it also extends features for multi-site Licensing. The new licensing process provides the user with the flexibility and compatibility to manage multiple license running at different locations/ sites centrally in a secured environment.

Site Licensing

A new concept known as Site Licensing is introduced from Tally.ERP 9. A site refers to a location comprising of a single Tally.ERP 9 License or multiple Tally.ERP 9 licenses linked to it. The site licensing may be broadly classified into two viz., Single Site and Multi-Site

- ❑ **Single Site** : means a single instance of Tally.ERP 9 (Silver or Gold) is active at a time on a single machine under a given account.
- ❑ **Multi Site**: means more than one instance of Tally.ERP 9 (Silver or Gold) license are active on different machines (may be at different locations) under a **single account** comprising of the **same** or **different serial numbers**.

6.15 Control Centre

Tally.ERP 9 provides a powerful feature named **Control Centre** to its users, which works as an interface between the user and Tally.ERP 9 installed at different sites, it enables the user to centrally configure and administer Site/User belonging to an account.

The features of the Control Centre are as follows:

- ❑ Manage Licenses
- ❑ Central Configuration
- ❑ Manage Users
- ❑ Manage Company Profile
- ❑ Manage Accounts (using My Tally.NET Accounts)
- ❑ Change Passwords
- ❑ Jobs and Recruitments
- ❑ Activity History

With the help of Control Centre, you will be able to

- Create users with predefined Security levels
- Centrally Configure & manage your Tally.ERP 9
- Surrender, Confirm or Reject activation of a Site
- Maintain Account related information

- Manage Licenses and Activity History
- Manage Jobs and Recruitments

Create users with predefined Security levels

Using the Control Centre feature, the Account Administrator can create users and map them to a predefined security level and authorise them to access a Site/Location linked to that Account. And further the system administrator can also create Remote users and allow / disallow them to remotely access the data.

The predefined security levels in Tally.ERP 9 are:

- Owner
- Site Administrator
- Tally.NET User
- Tally.NET Auditor
- Standard User

Centrally Configure and manage your Tally.ERP 9

The Control Centre provides the flexibility to make changes to product configurations in the Tally.ini (Configuration file) and apply them to immediate effect without restarting the application.

The following master configurations set can be made from the Control Centre

- Add/Modify the Tally.ini parameters
- Assign TDL's to a site or all the sites under an Account
- Permit or Deny changes to the local configurations

The master configurations set created is applied initially to the Account centrally which is inherited by the site(s) on updation of license, based on the site level permissions by the Account Administrator.

Surrender, Confirm or Reject activation of a Site

The Account Administrator is authorised to surrender, confirm a site license or Reject the request received on activation from another site.

Maintain Account related information

Allows you to maintain information about the organisation. Based on the requirements, the Account Administrator can merge multiple accounts into one or split an account into multiple account for easy and better management.

6.16 Support Centre

Tally.ERP 9 provides a new capability to its users known as **Support Centre**, wherein a user can directly post his support queries on the functional and technical aspects of the Product. Using Support Centre feature, the user can view all the support queries reported via Support Centre and also through other modes viz., Email, Chat, Calls, etc.

The Support Centre features facilitates viewing queries for a activated license alongwith the Status i.e., Closed / Pending and Ticket Summary. The report is viewed based on Date, Status and Location and so on.

Faster reach for help and support

The Support Centre feature makes it easy and convenient to reach out to Tally.ERP 9 service partner and Tally-support team for any product help and support, by click of a button from within the product.

Access solutions to your problems any time

This feature facilitates instant reference to the solutions provided for your queries at any point of time.

Avoid repeated explanations

Availability of information on the issues, interactions and resolutions, to Tally Service Partners and Tally Support Team, largely reduces the possibilities of repeated explanations on the issues/ support queries and thereby ensures quality help and support.

Track your issues on real-time basis

The Support Centre makes available the status of your queries including the full chain of interactions irrespective of the mode of communication. i.e., if you have posted a query onto the Support Centre feature in Tally.ERP 9 and then interacted over phone, even in such cases, the complete discussion will be available to you.

Access issues of any Location/Site

In Multi-site License, using the Support Centre feature you can view details of issues of any location /site from any of your Location(s).

Reach out to your nearest Service Partner instantly

You can search for a service partner and post your queries instantly.

Access your Support Centre remotely from any Tally.ERP 9

The Support Centre feature can also be accessed remotely from any Tally.ERP 9 from anywhere, as an authorised Tally.NET user.

6.17 Auditor's Edition of Tally.ERP 9

Tally.ERP 9 offers a special Auditors' Edition of Tally.ERP 9, which provides auditing and compliance capabilities exclusively for Chartered Accountants. The Audit capabilities provided in Auditors' Edition are available by default, regardless of Tally.NET subscription. Using Tally.NET features, Tally.ERP 9 provides the capability to Chartered Accountants to Audit in following scenarios :

- ❑ Audit at CA's office by accessing local data
- ❑ Audit at Client's place by accessing local data
- ❑ Audit at his place by accessing Client's data remotely

Lesson 7: Statutory Compliance Capabilities in Tally.ERP 9

Tally.ERP 9 provides the following Statutory Compliance Capabilities namely,

- ❑ Value Added Tax (VAT)
- ❑ Service Tax
- ❑ Tax Deducted at Source (TDS)
- ❑ Excise (Manufacturers & Dealers)
- ❑ Fringe Benefit Tax (FBT)
- ❑ Tax Collected at Source (TCS)
- ❑ Central Sales Tax (CST)

7.1 Value Added Tax (VAT)

Tally.ERP 9 provides VAT solution to across 32 states in India and other international countries like Indonesia, Phillipines and Bangladesh. The VAT compliance in Tally.ERP 9 is completely integrated with Accounting, Inventory & Reporting and simplifies these aspects with absolute ease, accuracy and speed.

As per VAT Regulations, every registered business under VAT is required to generate VAT compliant **Tax Invoice** and file **Statutory Returns** periodically in prescribed forms and documents of the respective state.

7.1.1 Enable Value Added Tax (VAT)

To enable **Value Added Tax (VAT)** in Tally.ERP 9, follow the steps given below :

Go to **Gateway of Tally > F11: Features**

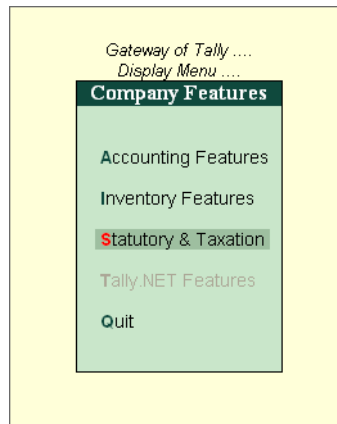


Figure 7.1 F11 : Features menu

- Select **Statutory & Taxation (F3)** and press **Enter**

Company Operations Alteration Ctrl + M

Current Period: _____ Current Date: _____

Company: **Universal Enterprises**

Statutory & Taxation

Enable Excise	? No	Enable Tax Deducted at Source (TDS)	? No
Set/Alter Excise Details	? No	Set/Alter TDS Details	? No
(Note : 'Enable Maintain Multiple Godowns' for Multiple Excise Units)		Enable Tax Collected at Source (TCS)	? No
Follow Excise rules for Invoicing	? No	Set/Alter TCS Details	? No
Enable Value Added Tax (VAT)	? Yes	Enable Fringe Benefit Tax (FBT)	? No
Set/Alter VAT Details	? Yes	Set/Alter FBT Details	? No
Enable Service Tax	? No		
Set/Alter Service Tax Details	? No		

Tax Information

VAT TIN (Composition) : _____

VAT TIN (Regular) : **2912345689**

Local Sales Tax Number : _____

Inter-state Sales Tax Number : **CST 343434**

PAN / Income - Tax No. : _____

Accept ?

F1: Accounts F2: Inventory F3: Statutory **Yes or No**

Figure 7.2 F11: Statutory & Taxation screen

- In the **Statutory & Taxation** screen,

- Set **Enable Value Added Tax** to **Yes**
- Enable **Set/Alter VAT details** to **Yes** and press **Enter**, the **VAT Details** screen appears
- Select **State** and **Type of Dealer** and the **applicability date** of VAT
- Press **Enter** to go back to **F11: Company Features** screen
- Type **VAT TIN, Inter-State Sales Tax Number** and **Tax Information** details
- Save screen

7.1.2 Create VAT Ledger Masters

Value Added Tax (VAT) is charged at every level of purchase and sales and thus the purchase and sales transactions involve VAT. create necessary Purchase, Sales, Input and Output VAT ledgers with the required VAT Classifications.

To create **VAT Ledger Masters** in Tally.ERP 9, follow the steps given below :

Go to **Gateway of Tally > Accounts Info. > Create**

- Type the **Name** of the **Ledger**
- Select the required **Group**
- Select the **Type of Duty/Tax** as **VAT**
- Select the required **VAT Classification** from the list of VAT Classification in the **VAT/Tax Class** field (The **Percentage of Calculation** and **Method of Calculation** is automatically defaulted with the % and **On VAT Rate** respectively)

Ledger Creation		Universal Enterprises		Ctrl + M
Name	: Output VAT @ 4%			Total Op. Bal.
(alias)	:			
Under	: Duties & Taxes (Current Liabilities)			
Type of Duty/Tax	: VAT			
VAT/Tax Class	: Output VAT @ 4%			
Inventory values are affected	? No			
Percentage of Calculation (eg 5)	? 4 %			
Method of Calculation	: On VAT Rate			
Rounding Method	: I Not Applicable			
		Mailing Details Name : Address : State : PIN Code :		
		Tax Information PAN / IT No. :		
Opening Balance (on 1-Apr-2008) :				Accept ? Yes or No

Figure 7.3 Output VAT Ledger Creation

- Save screen



While creating **Sales / Purchases Ledgers**, enable the following

- Set **Used in VAT Returns** to **Yes** and select the required **VAT/Tax Class**

While creating **Party Ledgers**, enable the following

- Specify the **TIN/Sales No.** details

7.1.3 Create VAT Transactions

To create **VAT transactions** in Tally.ERP 9, follow the steps given below :

Go to **Gateway of Tally > Accounting Vouchers > F8: Sales /F9: Purchase**

- Select the **Party's Name**
- Select **Stock Item, Quantity & Rate** Details

- ❑ Select **VAT Ledger (Output VAT for Sales Voucher and Input VAT for Purchase Voucher)**

Accounting Voucher Creation		Universal Enterprises		Ctrl + M
Sales	No. 19			31-Mar-2009
Ref. : ABC/310301				Tuesday
Party's A/c Name : Debtor				
Current Balance : 99,180.00 Dr				
Name of Item	Quantity	Rate per	Amount	
Item 1	2 Nos	48,000.00	Nos	96,000.00
Output Vat 4%		4 %		3,840.00
Show Statutory Details ? Yes Narration:				
				2 Nos 99,840.00
Sales of 2 Nos of Item 1_				

Figure 7.4 Sales Voucher screen

- ❑ Save screen

7.1.4 Print VAT Invoice

To print **VAT Invoice**,

- ❑ Press **Pg Up** from the above screen
- ❑ Press **Alt + P**, the **Voucher Printing** screen appears
- ❑ Specify required details and press **Enter** to print

The **VAT Invoice** is printed as shown

INVOICE						
Universal Enterprises Plot No. 113 & 114, Industrial Estate, Hongasandra Bangalore E-mail : sales@universalenterprises.com			Invoice No.		Dated	
			19		31-Mar-2009	
			Delivery Note		Mode/Terms of Payment	
			DN/002		Cheque	
Debtor 178 kaveri JP Nagar Bangalore Karnataka-78			Supplier's Ref.		Other Reference(s)	
			ABC/310301			
			Buyer's Order No.		Dated	
			Ord0019		31-Mar-2009	
			Despatch Document No.		Dated	
			Doc/0019		31-Mar-2009	
			Despatched through		Destination	
			Payal Travels		Bangalore	
			Terms of Delivery			
			Immediate			
Sl No.	Description of Goods	VAT %	Quantity	Rate	per	Amount
1	Item 1	4	2 nos	48,000.00	nos	96,000.00
	<i>Output Vat 4%</i>				4 %	3,840.00
Total			2 nos			99,840.00
Amount Chargeable (in words) E. & O.E Rs. Ninety Nine Thousand Eight Hundred Forty Only						
VAT Amount (in words)				VAT %	Assessable Value	VAT Amount
				4 %	96,000.00	3,840.00
Rs. Three Thousand Eight Hundred Forty Only (Rs. 3,840.00)						
Remarks: Sales of 2 Nos of Item 1 Company's VAT TIN : 2912345689 Company's CST No. : CST 343434 Buyer's VAT TIN/Sales Tax No. : 1345678911						
Declaration We declare that this invoice shows the actual price of the goods described and that all particulars are true and correct.				Date & Time : 31-Mar-2009 at 14:31 for Universal Enterprises Authorised Signatory		

This is a Computer Generated Invoice

Figure 7.5 Printed VAT Invoice

7.1.5 View VAT related reports

To view **VAT Reports**, follow the steps given below :

Go to **Gateway of Tally > Display > Statutory Reports > VAT Reports**

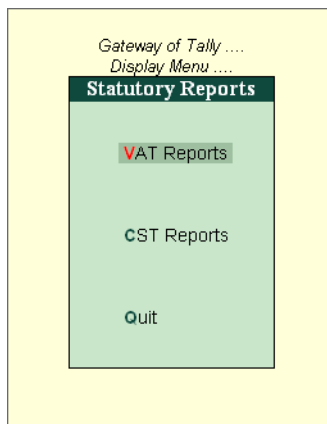


Figure 7.6 VAT Reports Screen under Statutory Reports

The **VAT Reports** menu consists of two reports, namely

- **VAT Computation**
- **VAT Forms**
 - VAT Return Forms
 - VAT Annexures

VAT Computation Report

The VAT Computation report displays various types of Input VAT Tax and Output VAT tax ledgers employed and transacted during voucher entry. Tally.ERP 9 provides a clear-cut presentation on how VAT is computed for a given period. It also provides a bird's eye view of all transaction related to VAT.

To view **VAT Computation Report**

Go to **Gateway of Tally > Display > Statutory Reports > VAT Reports > VAT Computation**

VAT Computation		Universal Enterprises		Ctrl + M
Particulars		Universal Enterprises 1-Apr-2008 to 31-Mar-2009		
		Assessable Value	Tax Amount	
Sales				
A. Output Tax				
Inter-State Sales		2,53,200.00	14,170.00	
Output VAT @ 1%		9,000.00	90.00	
Output VAT @ 12.5%		18,000.00	2,250.00	
Output VAT @ 20%		27,000.00	5,400.00	
Output VAT @ 4%		1,93,030.00	15,608.20	
Total Output Tax		5,00,230.00	37,518.20	
Purchases				
B. Input Tax				
Excess Input Credit Brought Forward				
Input VAT @ 1%		10,000.00		
Input VAT @ 12.5%		20,000.00	2,855.00	
Input VAT @ 20%		1,30,000.00	25,700.00	
Input VAT @ 4%		40,000.00	712.00	
Purchases - Capital Goods @ 12.5%		10,000.00	1,250.00	
Purchases - Capital Goods @ 4%		10,000.00	400.00	
Total Input Credit		2,20,000.00	30,917.00	
VAT Payable				6,601.20

Figure 7.7 VAT Computation Report

VAT Forms

The VAT Return Forms are State specific VAT Forms and Annexures to be submitted by the registered VAT Dealer on Monthly / Quarterly basis.

To print **VAT Return Forms**

Go to **Gateway of Tally > Display > Statutory Reports > VAT Reports > VAT Forms > VAT Return Forms > Form VAT 100**

The printed **VAT Form 100** of Karnataka state will appear as shown :

FORM VAT 100 (See Rule 38)				
1. General Information:				
1.1) LVO/VSD CODE	: 1345	1.2) Tax Period (Month/ Quarter):	First Quarter, 2008	
		1.3) Type of Return	: Original/Corrected/Revised/Final	
1.5) TIN No.	: 2912345689	1.4) Date of filing Return	: 30-Jun-2008	
1.6) Full Name of the Dealer	: Universal Enterprises			
1.7) Address of the Dealer	Plot No. 113 & 114, Industrial Estate, Hongasandra Bangalore			
1.8) Tax Invoices issued in the Month*	From: 1	To: 17		
	From:	To:		
PARTICULARS OF TURNOVERS				
2.	Total Turnover(Local)	2,29,199.00	3.	Total Turnover(InterState / Exports / Import / Consignment)
	2.1) Sales return, discounts, labour charges etc. as per Rule 3(2)	14,020.00		3.1) Sales return, discounts, labour charges etc. as per Rule 3(2)
	2.2) Consignment Sales / C.A.	18,000.00		3.2) Stock Transfers/ Consignment Sales
	2.3) Tax Collected (VAT)	10,179.00		3.3) Exempted Sales
	2.4) Exempted Sales	27,000.00		3.4) Direct Exports
	2.5) Others	Nil		3.5) Deemed Exports (Against H Form)
	2.6) Taxable Turnover (local) (Box 2 less (Box 2.1 to Box 2.5))	1,60,000.00		3.6) Sales in Transit (E-I and E-II)
				3.7) Sales in the course of import (High Sea Sales)
				3.8) CST Collected
				3.9) Taxable (Interstate) (Box No.3 less (Total of Box No.3.1 to 3.8))
4.	Net Tax Payable			
	4.1) Output Tax Payable (Refer Box No. 8.3)			15,461.00
	4.2) B/F of Previous month			Nil
	4.3) Input Tax Credit (Refer Box No.11)			19,388.00
	4.4) Net Tax Payable [Box No.4.1-(Box No. 4.2 + Box No.4.3)]			Nil
	4.5) Tax Deducted at Source (Certificate Enclosed)			1.00
	4.6) Balance Tax Payable (Box No.4.4 - Box No. 4.5)			Nil
	4.7) Refund Yes / No	Rs. 777.00	4.8) Credit Carried Forward Yes / No	Rs. 3,151.00
	4.9) Net Tax refund as per Incentive Notification	Rs. 8,888.00		
Note: if you exercise option 'YES' in both box numbers 4.7 and 4.8 then the option exercised in respect of box no 4.8 alone will be considered				
5. Tax Payment Details				
	Details	Amount	Cash/DD/Cheq /Challan No:	Bank
	5.1) Tax Payable as per Box No.4.6	Nil	DD 343434	HDFC
	5.2) Interest	1,111.00		
	5.3) Others	555.00		
	5.4) Total of Box No.5.1, Box No.5.2 and Box No.5.3	1,666.00		
FOR CTD/BANKS USE ONLY				
	Date of Receipt of Return : _____			
	Recd. Rs. : _____			
	In Words : _____			
	Challan No. : _____ Date : _____			
Signature and Seal of LVO/VSO				
*Note: If the serial numbers of Tax Invoices are of different series then it should be mentioned separately.				

Figure 7.8 Printed Karnataka Form VAT 100 - Page 1

6. Details of Local Sales/ URD Purchases and Output Tax/Purchase Tax Payable			
6.1 Taxable Turnover of sales at rate of 1% Tax	9,000.00	6.8 Output Tax Payable (relating to Box No.6.1)	90.00
6.2 Taxable Turnover of sales at rate of 4% Tax	86,000.00	6.9 Output Tax Payable (relating to Box No.6.2)	1,440.00
6.3 Taxable Turnover of sales at standard rate of Tax 12.5%	18,000.00	6.10 Output Tax Payable (relating to Box No.6.3)	2,250.00
6.4 Taxable Turnover of sales at standard rate of Tax 20%	27,000.00	6.11 Output Tax Payable (relating to Box No.6.4)	5,400.00
6.5 Taxable Turnover of URD purchases (specify rate of tax)	20,000.00	6.12 Purchase Tax Payable (relating to Box No.6.5)	999.00
6.6 Others, if any (Please specify)	Nil	6.13 Output Tax Payable (relating to Box No.6.6)	
6.7 Total (Box No. 6.1 to 6.6)	1,60,000.00	6.14 Total Output Tax Payable (Box No 6.8 to 6.13)	10,179.00
7. Details of Interstate Sales and CST Payable			
7.1 Taxable Turnover of Inter-State Sales at 1%	10,000.00	7.7 Output Tax Payable (relating to Box No.7.1)	100.00
7.2 Taxable Turnover of Inter-State Sales against C Forms at 3% Tax	56,000.00	7.8 Output Tax Payable (relating to Box No.7.2)	1,120.00
7.3 Taxable Turnover of Inter-State Sales without C Forms at 4% Tax	30,000.00	7.9 Output Tax Payable (relating to Box No.7.3)	1,200.00
7.4 Taxable Turnover of Inter-State Sales without C Forms at 12.5% Tax	30,000.00	7.10 Output Tax Payable (relating to Box No.7.4)	3,750.00
7.5 Others, if any (Please Specify)	40,000.00	7.11 Output Tax Payable (relating to Box No.7.5)	8,000.00
7.6 Total (Total of Box Nos. 7.1 to 7.5)	1,66,000.00	7.12 Total Output Tax Payable (Total of Box Nos. 7.7 to 7.11)	14,170.00
8. 8.1 Total Output Tax (Total of Box No. 6.14 and Box No. 7.12)		24,349.00	
8.2 Output Tax deferred to Industries as per Incentive Notifications		8,888.00	
8.3 Net Output Tax Payable (Box No. 8.1 Less Box No. 8.2)		15,461.00	
9. Details of Purchases and Input Tax			
9.1 Net value of purchases at 1% Tax	Nil	9.11 Input Tax (relating to Box No. 9.1)	Nil
9.2 Net value of purchases at 4% Tax	Nil	9.12 Input Tax (relating to Box No. 9.2)	Nil
9.3 Net value of purchases at standard rate of tax at 12.5%	Nil	9.13 Input Tax (relating to Box No. 9.3)	Nil
9.4 Value of URD purchases to the extent used or sold (specify rate of tax)	22,200.00	9.14 Input Tax (relating to Box No. 9.4)	888.00
9.5 Others, if any (please specify)	1,00,000.00	9.15 Input Tax (relating to Box No. 9.5)	20,000.00
9.6 Value of VAT exempted goods	Nil		
9.7 Purchases from Composition Dealer	Nil		
9.8 Value of goods Imported and / or purchased in the course of Inter - State trade including EI and EII Purchase.	Nil		
9.9 Value of goods received by Stock Transfer / Consignment Transfer	Nil		
9.10 Total Value of Purchases (Total of Box Nos. 9.1 to 9.9)	1,22,200.00	9.16 Total Input Tax (Total of Box Nos. 9.11 to 9.15)	20,888.00

Figure 7.9 Printed Karnataka Form VAT 100 - Page 2

Figure 7.10 Printed Karnataka Form VAT 100 - Page 3

13.10	Tax paid Particulars: Rs. _____		Cash/DD/Challan No. _____	Date _____	Bank _____
I/We declare that the particulars furnished above are true and complete in all respects.					
Place : Bangalore		Signature : _____			
Date : 30-Jun-2008		Name and Designation/Seal : Susmit Manager (Accounts)			

Figure 7.11 Printed Karnataka Form VAT 100 - Page 4

Similarly, to generate VAT Annexures follow the path given below and print the annexures

Go to Gateway of Tally > Display > Statutory Reports > VAT Reports > VAT Forms > VAT Annexures

7.2 Service Tax

Tally.ERP 9 tracks bill-wise (bill-by-bill) details and automatically calculates **Service Tax** payable and **Input Service Tax Credit** on each service bill. It also allows you the flexibility to make adjustments later.

Tally.ERP 9 contains statutory masters predefined with Service Tax rates and abatements for each taxable service. With the help of Tally.ERP 9, you can adjust input credit against the service tax payable and account for abatements / expenses and also specify exemption notification details. It also facilitates generation and printing of Service Tax related reports, forms and challans in the prescribed formats (viz., GAR 7 Challans and ST-3 Challans)

7.2.1 Enable Service Tax

To activate **Service Tax** in Tally.ERP 9, follow the steps given below :

Go to Gateway of Tally > F11: Features > F3: Statutory & Taxation

- ❑ Set **Enable Service Tax** to **Yes**
- ❑ Enable **Set/Alter Service Tax details** to **Yes**
- ❑ Press **Enter**, the **Service Tax Details** screen appears,
- ❑ Type all details in **Company Service Tax Details**
- ❑ Save screen

Company Service Tax Details Ctrl + M

Current Period:
Current Date:
Company: **Universal Enterprises**

Statutory & Taxation

Name of:
Univers

Enable Excise ? No
Set/Alter Excise Details ? No
(Note: 'Enable Maintain Multiple Godowns' for Multiple Excise Units)

Enable Tax Deducted at Source (TDS) ? No
Set/Alter TDS Details ? No
Enable Tax Collected at Source (TCS) ? No

Company Service Tax Details

Service Tax Registration No. : **ABCD1234EE** **Division**
Date of Registration : **15-Mar-2008** Code : **8762EE34**
Assessee Code : **12ABDE** Name : **BANGALORE/JAYANAGAR**
Premises Code No. : **PP0091** **Range**
Type of Organisation : **Individual/Proprietary** Code : **456181**
Is Large Tax Payer ? **No** Name : **KARNATAKA**
Large Tax Payer Unit : **Commissionerate**
Code : **35045781**
Name : **Somesh Jain**

F1: Accounts F2: Inventory F3: Statutory

Figure 7.12 Company Service Tax Details Screen

7.2.2 Create Service Tax Ledger Masters

Service affects those services that have been notified by the Government on input and output services, create input and output service tax ledgers.

To create **Service Tax Ledger Masters** in Tally.ERP 9, follow the steps given below :

Go to **Gateway of Tally > Accounts Info. > Create**

- ❑ Type the **Name** of the **Ledger**
- ❑ Select the required **Group**
- ❑ Select the **Type of Duty/Tax** as **Service Tax**
- ❑ Select the required **Service Tax Category** from the list of Service Tax Categories in the **Category Name** field

Ledger Creation		Universal Enterprises		Ctrl + M
Name	: Input Service Tax on Maintenance			Total Op. Bal.
(alias)	:			
Under	: Duties & Taxes (Current Liabilities)	Mailing Details		
Type of Duty/Tax	: Service Tax	Name	:	
Category Name	: Maintenance Or Repair Service	Address	:	
Inventory values are affected	? No	State	:	
		PIN Code	:	
		Tax Information		
		PAN / IT No.	:	
Opening Balance (on 1-Apr-2008) :		Accept ?		
		Yes or No		

Figure 7.13 Service Tax Ledger Creation

- ❑ Save screen



While creating **Services Ledgers** under **Direct/Indirect Incomes** Group, enable the following

- ❑ Set **Is Service Tax Applicable** to **Yes** and select the required **Service Category**
- ❑ Set **Is Abatement Applicable** to **Yes** and specify the **Notification No.** and **Percentage** details (if any)

While creating **Party Ledgers**, enable the following

- ❑ Set **Is Service Tax Applicable** to **Yes**
- ❑ Enable **Set /Alter Service Tax Details** to **Yes** and specify the **Service Tax No.** and **Service Tax Reg. Date** details

7.2.3 Create Service Tax Transactions

To create **Service Tax** transactions in Tally.ERP 9, follow the steps given below :

Go to **Gateway of Tally > Accounting Vouchers > F8: Sales /F9: Purchase**

- ❑ Select the **Party's Name**
- ❑ Select the Service and value of Services rendered
- ❑ Select **Service Tax Ledger**, the rate of service tax and the service tax amount is prefilled automatically

Accounting Voucher Creation		Universal Enterprises	Ctrl + M
Sales	No. 20		31-Mar-2009 Tuesday
Ref. :			
Party's A/c Name : M/s Wintech Computers			
Current Balance :			
Particulars	Rate	per	Amount
Sale Maintenance Service			10,000.00
Output ST on Maintenance	10 %		978.50
	(Cess 2 %, Sec Cess 1 %)		
Narration:			10,978.50
Received Services from Wintech computers			

Figure 7.14 Sales Invoice screen

- ❑ Save screen

7.2.4 Print Service Tax Invoice

To print **Sales Invoice** for Services rendered in Tally.ERP 9, follow the steps given below :

- ❑ Press **Pg Up** from the above screen
- ❑ Press **Alt + P**, the **Voucher Printing** Screen appears
- ❑ Specify required details in **Voucher Printing** screen

- Press **Enter** to **Print**

INVOICE						
Universal Enterprises Plot No. 113 & 114, Industrial Estate, Hongasandra Bangalore E-mail : sales@universalenterprises.com			Invoice No. 20		Dated 31-Mar-2009	
Buyer M/s Wintech Computers I/15 CHPL, DREAM HOME Mysore			Delivery Note DN-009		Mode/Terms of Payment Cheque/DD	
			Supplier's Ref.		Other Reference(s)	
			Buyer's Order No. P000356		Dated 31-Mar-2009	
			Despatch Document No. Doc\124\009		Dated 31-Mar-2009	
			Despatched through Pandit Travels		Destination Bangalore	
			Terms of Delivery Delivery within 15 Days			
Sl No.	Particulars	VAT %	Quantity	Rate	per	Amount
		Nil				
	Sale Maintenance Service <i>(Maintenance Or Repair Service) Assessable Value</i> 9,500.00					10,000.00
	Output ST on Maintenance			10 %		950.00
	Cess			2 %		19.00
	Sec Cess			1 %		9.50
	Total					10,978.50
Amount Chargeable (in words) E. & O.E Rs. Ten Thousand Nine Hundred Seventy Eight and Fifty paise Only						
Remarks: Received Services from Wintech computers Company's VAT TIN : 2912345689 Company's CST No. : CST 343434 Company's Service Tax No. : ABCD1234EE Buyer's VAT TIN/Sales Tax No. : 56784512415						
				Date & Time : 31-Mar-2009 at 15:11 for Universal Enterprises _____ Authorised Signatory		

This is a Computer Generated Invoice

Figure 7.15 Printed Service Tax Invoice

7.2.5 Receipt of Payments

To record receipts for Services rendered, follow the steps given below :

Go to **Gateway of Tally > Accounting Vouchers > F6:Receipt**

- ❑ Select the **Bank Ledger** in the **Account** field
- ❑ Select the **Party** details
- ❑ Select the relevant **Service Tax Category** in the **Service Tax Ledger** field of **Bill-wise Allocations for** screen and press **Enter**

Accounting Voucher Creation Universal Enterprises Ctrl + M

Receipt No. 1 31-Mar-2009
Tuesday

Account : **HDFC Bank**
Cur Bal: 10,000.00 Dr

Particulars	Amount
M/s Wintech Computers Cur Bal: 978.50 Dr Agst Ref 20A	10,000.00
	10,000.00 Cr Output ST on Maintenance

Narration:
Ch. No. :421512 Received from Wintech computers

10,000.00

Accept ?
Yes or No

Figure 7.16 Receipt of Payments for Services Rendered

- ❑ Save screen

7.2.6 Service Tax Abatement facility

Tally.ERP 9 allows you to account for applicable abatements for respective taxable services. You can avail abatement against the output tax payable for a given period. In Tally.ERP 9, the details of abatements are available in the Statutory masters containing the taxable services.

To view **Service Categories**,

Go to **Gateway of Tally > Display > Statutory Info. > Service Categories**

Service Category		Universal Enterprises			
Name : Maintenance Or Repair Service					
Applicable to Country : India					
Code : 00440246					
Accounting Code : 00440245					
Category Code : MRS					
Sub-Clause No. : zzg					
Service Tax Details					
Applicable From	Abatement (%)	Notification No.	Service Tax Rate (%)	Cess Rate (%)	Sec Cess Rate (%)
1-4-2005			10 %	2 %	
18-4-2006			12 %	2 %	
11-5-2007			12 %	2 %	1 %
24-2-2009			10 %	2 %	1 %

Figure 7.17 Service Category Details

7.2.7 Payment of Service Tax

The Service Tax has to be paid to the credit of the Central Government by the 5th of the month immediately following the calendar month in which the payments are received, towards the value of the taxable services. The Service Tax Payments are required to be paid in GAR-7 Challan, Tally.ERP provides the facility to generate GAR-7 with the required information.

To make payments for Service Tax,

Go to **Gateway of Tally > Accounting Vouchers > F5: Payment**

- ❑ Select the **Bank Ledger** in the **Account** field
- ❑ Select the **Output Service Tax** Ledger
- ❑ Set **Provide Details** to **Yes** and specify the **Payment Details**

7.2.8 Print GAR 7 Challan

To generate **GAR 7** Challan for payment of Service Tax,

- ❑ Press **Pg Up** from the above screen
- ❑ Press **Alt + P**, the **Voucher Printing** appears
- ❑ In the **Voucher Printing** screen, ensure **Print GAR - 7 Challan** option is set to **Yes**
- ❑ Press **Enter** to Print

7.2.9 View Service Tax Reports

According to Service Tax Rules, every registered service provider is required to maintain proper Books of Accounts and Records for all input services consumed and output services provided by them during the specified period. In Tally.ERP 9, the following Service Tax reports are available :

- Service Tax Payables
- Input Credit Form
- ST3 Report

To view **Service Tax Reports**, follow the steps given below :

Go to **Gateway of Tally > Display > Statutory Reports > Service Tax Reports**

Service Tax Payable

The **Service Tax Payable** Report delivers information on total value of taxable services rendered and realised during the given period. It provides party-wise and category-wise tax obligation of the assessee for the particular period. You can generate the service tax payable report to know the Service Tax liability before adjustment.

Go to **Gateway of Tally > Display > Statutory Reports > Service Tax Reports > Service Tax Payables**

Service Tax Payable Universal Enterprises Ctrl + M X										
Service Tax Payable as at 31-Mar-2009										
Date	Ref. No.	Partys' Name	Category Name	Bill Value			Realised Value			Total Payable
				Assessa-ble Value	Service Tax	Cess	Assessa-ble Value	Service Tax Payable	Cess Payable	
30-Mar-2009	Sale/19	M/s Wintech Computers	Maintenance Or Repair Service	16,820.00	1,682.00	50.46	16,820.00	1,682.00	50.46	1,732.46
31-Mar-2009	Sale/20	M/s Wintech Computers	Maintenance Or Repair Service	9,500.00	950.00	28.50	8,653.30	865.33	25.96	891.29
Total				26,320.00	2,632.00	78.96	25,473.30	2,547.33	76.42	2,623.75

Figure 7.18 Service Tax Payable Report

To view the **Service Tax Payable** Report in detailed mode, press **Alt+F1**

Input Credit Form

If the assessee has availed credit of Service Tax, he/she is required to furnish a return in proforma in terms of rule 5(4) of the service tax credit rules, along with his half yearly return. If the input credit is in excess of output service tax payable during a particular month or quarter, the surplus is transferred to the next period and is available for set off during that month or quarter, as the case may be.

To view **Input Credit Form**,

Go to **Gateway of Tally > Display > Statutory Reports > Service Tax Reports > Input Credit Form**

Input Credit Form					Universal Enterprises					Ctrl + M	
Input Credit Form					as at 31-Mar-2009						
Date	Ref. No.	Partys' Name/ Tax No.	Party Address	Category Name	Bill Value			Realised Value			Total Credit
					Assessab- le Value	Service Tax	Cess	Assessab- le Value	Service Tax Credit	Cess Credit	
25-Mar-2009	Purc/96	Fast Couriers		Courier Agency	4,000.00	480.00	14.40	4,000.00	480.00	14.40	494.40
27-Mar-2009	Purc/92	Fast Couriers		Courier Agency	1,100.00	132.00	3.96	1,100.00	132.00	3.96	135.96
27-Mar-2009	Purc/93	Telephone Link Ltd.,		Telephone Services	1,250.00	150.00	4.50	1,250.00	150.00	4.50	154.50

Figure 7.19 Service Tax Input Credit Form

Print ST 3 Half Yearly Return

According to Service Tax Rules, an assessee is required to submit half-yearly return in **Form ST-3** within 25 days of the end of the half-year. Tally.ERP 9 facilitates the generation of half-yearly ST-3 Challans in the manner as prescribed under Rule 7 of the Service Tax rules 1994.

To view the **ST 3** half-yearly return

Go to **Gateway of Tally > Display > Statutory Reports > Service Tax Reports > ST3 Report**

- In the **Printing** screen,
 - Specify **April- September 2008** in the **Period For** field
 - Type **Place** and **Date details**

7.3 Tax Deducted at Source (TDS)

Tax Deducted at Source is one of the modes of collecting Income Tax from the taxpayers as per the rates mentioned under IT Act and Rules. The deductor of the Tax (TDS) deducts the tax from the deductee, on payment of specified Incomes and deposits the same to the credit of Central Government within the specified period alongwith the challan in prescribed format.

Tally.ERP 9's TDS feature is designed to handle all your TDS requirements easily and with complete flexibility. It allows you to configure the TDS ledgers, by specifying the nature of payments and type of assessee along with the TDS rates.

With the help of Tally.ERP 9, you can generate and file Quarterly/Monthly Returns, Challans viz., Form16 A and Certificates in prescribed formats. You can also generate e-TDS and file in NSDL compatible formats.

7.3.1 Activate Tax Deducted at Source (TDS)

To activate TDS in Tally.ERP 9, follow the steps given below :

Go to **Gateway of Tally > F11: Features > F3: Statutory & Taxation**

- ☐ Set **Enable Tax Deducted at Source** to **Yes**
- ☐ Enable **Set/Alter TDS details** to **Yes**

Company Operations Alteration Ctrl + M

Current Period:
 Current Date:
 Company: **Universal Enterprises**

Statutory & Taxation

Enable Excise	? No	Enable Tax Deducted at Source (TDS)	? Yes
Set/Alter Excise Details	? No	Set/Alter TDS Details	? Yes
<i>(Note : 'Enable Maintain Multiple Godowns' for Multiple Excise Units)</i>			
Follow Excise rules for Invoicing	? No	Enable Tax Collected at Source (TCS)	? No
Enable Value Added Tax (VAT)	? Yes	Set/Alter TCS Details	? No
Set/Alter VAT Details	? No	Enable Fringe Benefit Tax (FBT)	? No
Enable Service Tax	? Yes	Set/Alter FBT Details	? No
Set/Alter Service Tax Details	? No	Enable Payroll Statutory	? Yes
		Set/Alter Payroll Statutory Details	? No

Tax Information

VAT TIN (Composition) :
 VAT TIN (Regular) : **72568562431**
 Local Sales Tax Number :
 Inter-state Sales Tax Number : **32547852161**
 PAN / Income - Tax No. : **EEENM16586**

Accept ?

F1: Accounts F2: Inventory F3: Statutory F4: Tally.NET

Yes or No

* (c) Connected to Tally.NET

Figure 7.20 TDS Setup Screen

- ❑ The **Company TDS Deductor Details** appears
 - Specify the **TAN Number, IT Circle, Deductee Type** and other details
 - Save screen
- ❑ Specify **PAN/Income Tax No.**
- ❑ Save **F11: Statutory & Taxation** screen

7.3.2 View Deductee Types

To view **Deductee Types** predefined in Tally.ERP 9,

Go to **Gateway of Tally > Display > Statutory Info. > Deductee Types**

- ❑ Select the **Deductee Type** (For e.g., select **Company Resident**). from the **List of Deductee Types**

Deductee Type Display		Universal Enterprises				Ctrl + M			
Name : Company - Resident									
Residential Status : Resident									
Deductee Status : Company									
Active ? Yes									
Module Type : Both									
Deductee TDS Details									
Nature of Payment	Applicable From	Rate	TDS Exemption Limit	Rate	Surcharge Exemption Limit	Rate	Ed Cess Exemption Limit	Rate	Sec Ed Cess Exemption Limit
Any Other Interest on Securities As Per Sec.193									
Commission on Sale of Lottery Tickets	1-4-2004	20 %	2,500.00	10 %		2 %			
	1-4-2007	20 %	2,500.00	10 %	1,00,00,000.00	2 %		1 %	
	1-4-2008	20 %		10 %	1,00,00,000.00	2 %		1 %	
Commission Or Brokerage	1-4-2004	10 %	1,000.00	10 %		2 %			
	1-4-2007	10 %	1,000.00	10 %	1,00,00,000.00	2 %		1 %	
Deemed Dividend U/s 2(22)(E)	1-4-2004	5 %	2,500.00	10 %		2 %			
	1-4-2007	5 %	2,500.00	10 %	1,00,00,000.00	2 %		1 %	
	1-6-2007	10 %	2,500.00	10 %	1,00,00,000.00	2 %		1 %	
	1-4-2007	20 %	2,500.00	10 %	1,00,00,000.00	2 %		1 %	
43 more ...									

Figure 7.21 Deductee Type Details Screen

7.3.3 View TDS Nature of Payments

To view **TDS Nature of Payment** masters predefined in Tally.ERP 9,

Go to **Gateway of Tally > Display > Statutory Info. > TDS Nature of Pymt**

- Select any type from the **list of TDS Nature of Payments** to go to **TDS Nature of Pymt Display**

TDS Nature Of Pymt Display		Universal Enterprises		Ctrl + M	
Name : Payments to Contractors (Other Than Advertisement)					
Full Name : Payment to a contractor (other than an advertising contract)					
Section : 194C					
Payment Code : 94C					
Single Bill Value Limit : 20,000.00					
Section Name : Contractors & Sub-Contractors					

Gateway of Tally

Display Menu

Statutory Info.

Figure 7.22 TDS Nature of Payment Screen

7.3.4 Create TDS Ledgers

To create TDS ledgers in Tally.ERP 9, follow the steps given below :

Go to **Gateway of Tally > Accounts Info. > Create**

- ❑ Type the **Name** of the **Ledger**
- ❑ Select the required **Group**
- ❑ Select the **Type of Duty/Tax** as **TDS**
- ❑ Select the required **Nature of Payment** from the drop down list

Ledger Creation		Universal Enterprises		Ctrl + M
Name : TDS on Contractors (alias) :			Total Op. Bal.	
Under : Duties & Taxes (Current Liabilities)			Mailing Details Name : Address :	
Currency of Ledger : Rs. Type of Duty/Tax : TDS Nature Of Payment : Payments to Contractors (Other Than Advertisement) Inventory values are affected ? No Cost centres are applicable ? No Activate Interest Calculation ? No			State : PIN Code :	
			Tax Information PAN / IT No. :	
Opening Balance (on 1-Apr-2008) :			Accept ? Yes or No	

Figure 7.23 TDS Ledger Creation

- ❑ Enter other details and save the screen



While creating **Expenses Ledgers** under **Direct/Indirect Expenses Group**, enable the following

- ❑ Set **Is TDS Applicable** to **Yes**
- ❑ Select the **Default Nature of Payment** from the **List of TDS Nature of Pymt**

While creating **Party Ledgers**, enable the following

- ❑ Set **Is TDS Deductable** to **Yes**
- ❑ Select the **Deductee Type** from the **List of Deductee Types**
- ❑ Specify the **PAN / IT No. details**

7.3.5 Create TDS Transactions

To create transactions involving TDS, follow the steps given below :

Step 1 : Booking of Expenses and TDS Deduction

Go to **Gateway of Tally > Accounting Vouchers > F7: Journal**

- ❑ Select the **Expenses** Ledger and total amount in the **Debit** side
- ❑ Select the **Party Name** and the amount in the **Credit** side
- ❑ Press **Enter**, the **TDS details** screen appears

TDS Details			Universal Enterprises			Ctrl + M		
Journal	No. 1	Voucher Class : ■ Not Applicable			5-Apr-2008 Saturday			
Particulars			Debit		Credit			
Dr Advertisement Expenses			5,00,000.00					
Cur Bal: 5,00,000.00 Dr								
TDS Details								
Type of Ref	Name	Nature of Payment		TDS Duty Ledger	Assessable Amount	Deduct now	TDS Amount	Payable Amount
New Ref	Jml / 1-1	Payments to Contractors (Other Than Advertisement)		TDS on Contractors	5,00,000.00 Cr	Yes	10,300.00 Cr	4,89,700.00 Cr
	Income Tax	2 %	On 5,00,000.00 Cr	10,000.00 Cr				
	Surcharge	0 %	On 10,000.00 Cr					
	Education Cess	2 %	On 10,000.00 Cr	200.00 Cr				
	Secondary Education Cess	1 %	On 10,000.00 Cr	100.00 Cr				
Total					5,00,000.00 Cr		10,300.00 Cr	4,89,700.00 Cr

Figure 7.24 Booking of Expenses using Journal Voucher

- Press **Enter** to accept the **Nature of Payment**
- Set **Yes/No** to **Deduct TDS Now** in the transaction or later
- Select the **TDS Ledger** in the **TDS Duty Ledger** field
- Press **Enter** to accept the screen
- Select **TDS ledger** and press **Enter** to accept the amount

Accounting Voucher Creation		Universal Enterprises		Ctrl + M	
Journal No. 1		Voucher Class : ■ Not Applicable		5-Apr-2008 Saturday	
Particulars	Debit	Credit			
Dr Advertisement Expenses <i>Cur Bal: 5,00,000.00 Dr</i>	5,00,000.00				
Cr Avanthi Constructions <i>Cur Bal: 4,89,700.00 Cr</i>		4,89,700.00			
New Ref 1 5,00,000.00 Cr					
New Ref 1 10,300.00 Dr					
Cr TDS on Contractors <i>Cur Bal: 10,300.00 Cr</i>		10,300.00			
Narration:			5,00,000.00	5,00,000.00	
			Accept ? Yes or No		

Figure 7.25 TDS Deduction during Booking of Expenses

- Save the screen

Step 2 : Payments to Third Parties after TDS deduction

To account for payment made to party after deduction of TDS

Go to **Gateway of Tally > Accounting Vouchers > F5: Payment**

- Select **Bank Ledger** in the **Account** field
- Select the **Party Name** and specify the **amount**

Accounting Voucher Creation		Universal Enterprises	Ctrl + M
Payment No. 2		5-Apr-2008 Saturday	
Account : HDFC Bank Cur Bal: 2,380.44 Dr			
Particulars		Amount	
Avanathi Constructions Cur Bal: 0.00 Dr Agst Ref 1		4,89,700.00	
4,89,700.00 Dr			
Narration: Ch. No. :326598			
		Accept ? Yes or No	

Figure 7.26 Payments made to Third Parties

- ❑ Save screen

7.3.6 TDS Deduction on Advance Payments

To deduct TDS on advance payments made to third parties, follow the steps given below :

Go to **Gateway of Tally > Accounting Vouchers > F5: Payment (As Voucher)**

- ❑ Select **Party Name** and specify the **amount** in the **Debit** side
- ❑ Select the **TDS ledger** in the **Credit** Side and specify the **Nature of Payment** in the **TDS Details** screen
- ❑ Select **End of List** and press **Enter**
- ❑ Select the **Cash / Bank Ledger** in the **Credit** side
- ❑ Save the screen

7.3.7 Deduction of TDS separately

If the expenses are booked on a earlier date and the TDS is required to be deducted at a later date, follow the steps given below :

Go to **Gateway of Tally > Accounting Vouchers > F7 : Journal**

- Press **Alt+S (TDS Deduction)** and enter the following details
 - Specify the **Till Date**
 - Select the **Party Details**
 - Select **Nature of Payment**



*You can deduct **TDS** on a later date, if while booking expenses (using Journal / Payment Voucher) **Deduct Tax** is set to **No** in the **TDS Details** subscreen.*

7.3.8 Payment of TDS

Go to **Gateway of Tally > Accounting Vouchers > F5: Payment**

- Press **Alt+S (TDS Helper)** and enter the following details
 - Specify the **Deducted Till Date**
 - Select the **Section** under which deducted
 - Select **Nature of Payment**
 - Select the **Deductee Status**
 - Select the **Cash/Bank** Ledger
- Set **Provide Details** to **Yes** and specify the **Payment Details** (Cheque/DD No. and Date etc.)

Accounting Voucher Creation		Universal Enterprises	Ctrl + M
Payment	No. 1		5-Apr-2008 Saturday
Account : HDFC Bank Cur Bal: 4,92,080.44 Dr			
Particulars		Amount	
TDS on Contractors		10,300.00	
Cur Bal: 0.00 Dr			
Agst Ref Jrnl / 1-1	10,300.00		
Income Tax	10,000.00 Dr		
Surcharge			
Education Cess	200.00 Dr		
Secondary Education Cess	100.00 Dr		
Provide Details : Yes			
Narration:			
Ch. No. : 167845			
		10,300.00	
		Accept ?	
		Yes or No	

Figure 7.27 Payment of TDS

7.3.9 Print ITNS 281 Challan

To Print ITNS 281 challan, follow the steps

- Press **Pg Up** from the above screen
- Press **Alt+P**
- In the **Voucher Printing** screen,
 - Set **Print as TDS Challan** to **Yes**
 - Specify the **Filing Date**
 - Press **Enter** to Print

T.D.S. TAX CHALLAN		Single Copy (to be sent to ZAO)												
CHALLAN No./ ITNS 281 Tax Deduction Account No. (T.A.N.) 45784512511	Tax Applicable (Tick one)* TAX DEDUCTED AT SOURCE FROM (0020) COMPANY DEDUCTEES ☐ (0021) NON-COMPANY DEDUCTEES ☒	Assessment Year 2009-10												
Full Name UNIVERSAL ENTERPRISES														
Complete Address with City & State Plot No. 113 & 114,, Industrial Estate, Hongasandra, Bangalore														
Karnataka														
Tel. No. 080 66554433		Ph: 5600 68.												
Type of Payment TDS Payable by Taxpayer (200) ☐ TDS Regular Assessment (Raised by I.T. Deptt.) (400) ☒		Code * 94C FOR USE IN RECEIVING BANK Debit to A/c / Cheque credited on DD MM YY SPACE FOR BANK SEAL Rs. 10,300.00												
DETAILS OF PAYMENTS Income Tax Surcharge Education Cess Interest Penalty Total Amount (In Rs. Only) 10,000.00 300.00 10,300.00														
Total (In words): <table border="1" style="width: 100%; text-align: center; font-size: small;"> <tr> <th>CRORES</th> <th>LACS</th> <th>THOUSANDS</th> <th>HUNDREDS</th> <th>TENS</th> <th>UNITS</th> </tr> <tr> <td>Zero</td> <td>Zero</td> <td>Ten</td> <td>Three</td> <td>Zero</td> <td>Zero</td> </tr> </table>			CRORES	LACS	THOUSANDS	HUNDREDS	TENS	UNITS	Zero	Zero	Ten	Three	Zero	Zero
CRORES	LACS	THOUSANDS	HUNDREDS	TENS	UNITS									
Zero	Zero	Ten	Three	Zero	Zero									
Paid In Cash/ Debit to A/c /Cheque No. 167845		Dated 5-Apr-2008												
Drawn on HDFC Bank - Koramangalam (Name of the Bank and Branch)														
Date: 15-Apr-2008		Signature of person making payment												
Tear Here														
Taxpayers Counterfoil (To be filled up by taxpayer) TAN 45784512511 Received from UNIVERSAL ENTERPRISES (Name) Cash/ Debit to A/c /Cheque No. 167845 For Rs. 10,300 Rs. (In words) Ten Thousand Three Hundred Only. Drawn on HDFC Bank - Koramangalam (Name of the Bank and Branch) Non Company(0021) Deductees on account of Tax Deducted at Source (TDS) from 94C for the Assessment Year 2009-10		SPACE FOR BANK SEAL Rs. 10,300.00												

Figure 7.28 Printed ITNS 281 Challan

7.3.10 View TDS Reports

Tally.ERP 9 provides the following TDS Forms, Challans and Reports.

- TDS Computation
- TDS Challan Reconciliation
- Quarterly eTDS Returns
 - Form 26Q
 - Annexure to 26Q
 - Form 27Q
 - Annexure to 27Q
- Annual eTDS Returns
 - Form 26
 - Annexure to 26
 - Form 27
 - Annexure to 27
- Outstandings
- Exception Reports

To view TDS Reports, follow the steps given below

- Go to **Gateway of Tally > Display > Statutory Reports > TDS Reports**

The **Form 16A** issued to third party stating the deduction of TDS details appears as shown :

Certificate No. : IT-KAR\1256/194C

FORM NO. 16A
[See rule 31(1)(b)]

Certificate of deduction of tax at source under section 203 of the Income-tax Act, 1961

For interest on securities; dividends; interest other than 'interest on securities'; winnings from lottery or crossword puzzle; winnings from horse race; payments to contractors and sub-contractors; insurance commission; payments to non-resident sportsmen / sports associations; payments in respect of deposits under National Savings Scheme; payments on account of repurchase of units by Mutual Fund or Unit Trust of India; commission, remuneration or prize on sale of lottery tickets; commission or brokerage; rent/fees for professional or technical services; royalty and any sum under section 28 (va); income in respect of units; payment of compensation on acquisition of certain immovable property; other sums under section 195; income in respect of units of non-residents referred to in section 196 A; income from units referred to in section 196 B; income from foreign currency bonds or shares of an Indian company referred to in section 196 C; income of Foreign Institutional Investors from securities referred to in section 196 D

Name and address of the person deducting Tax	Acknowledgement Nos. of all Quarterly Statements of TDS under sub-section (3) of section 200 as provided by TIN Facilitation Centre or NSDL web-site	Name and address of the person to whom payment made or in whose account it is credited
Universal Enterprises Plot No. 113 & 114, Industrial Estate, Hongasandra Bangalore	Quarter	Avanthi Constructions 4/1 Shastri Nagar G.E Road
	Apr-Jun	
	Jul-Sep	
	Oct-Dec	
	Jan-Mar	

TAX DEDUCTION A/C NO. OF THE DEDUCTOR	NATURE OF PAYMENT	PAN NO. OF THE PAYEE
45784512511	194C	AQBPP8570B
PAN NO. OF THE DEDUCTOR	Payments to Contractors (Other Than Advertisement)	FOR THE PERIOD
EEENM16586		1-Apr-2008 to 31-Mar-2009

DETAILS OF PAYMENT, TAX DEDUCTIONS AND DEPOSIT OF TAX INTO CENTRAL GOVERNMENT ACCOUNT
(The Deductor is to provide transaction-wise details of tax deducted and deposited)

Sr. No.	Amount paid / credited	Date of payment / credit	Tax Deposited				Cheque / DD No. if any	BSR Code of Bank branch	Date on which tax deposited dd/mm/yy	Transfer Voucher / Challan Identification No.
			TDS Rs.	Surcharge Rs.	Ed Cess	Total Rs.				
1	5,00,000.00	5-Apr-2008	10,000		300	10,300	167845	Hdfc0000-153	5-Apr-2008	1245
	Total		10,000		300	10,300				

Certified that a sum of Rs. (In words) Ten Thousand Three Hundred only has been deducted at source and paid to the credit of the Central Government as per details given above.

Signature of person responsible for deduction of tax

Place : Bangalore
Date : 31-Mar-2009

Full Name : Saikat
Designation : Manager

Figure 7.29 Printed Form 16A

Similarly, you can generate eTDS Returns and TDS related reports.

7.4 Excise (Manufacturer & Dealer)

Tally.ERP 9 provides complete excise solution for manufacturers as well as dealers dealing in excise goods. It facilitates generation of Excise Invoice for traders and manufacturers (covered under the Central Excise Act) as per Rule 11 of Central Excise Rules. It allows you to maintain complete information of purchase and sale of excisable goods and helps in printing the same in the Excise Invoice.

With the help of Tally.ERP 9, you can generate Excise reports and registers in the prescribed formats for Manufacturers and Dealers, as the case may be.

7.4.1 Enable Excise

To activate Excise for Manufacturer/Traders,

Go to **Gateway of Tally > F11: Features > F3: Statutory & Taxation**

- ❑ Set **Enable Excise** to **Yes**
- ❑ Set/Alter **Excise Details** to **Yes** and press **Enter**

Company Operations: Alteration Ctrl + M

Current Period: Current Date:

Company: **Universal Enterprises**

Statutory & Taxation

Enable Excise	? Yes	Enable Tax Deducted at Source (TDS)	? Yes
Set/Alter Excise Details	? Yes	Set/Alter TDS Details	? No
(Note : 'Enable Maintain Multiple Godowns' for Multiple Excise Units)		Enable Tax Collected at Source (TCS)	? No
Follow Excise rules for Invoicing	? No	Set/Alter TCS Details	? No
Enable Value Added Tax (VAT)	? Yes	Enable Fringe Benefit Tax (FBT)	? No
Set/Alter VAT Details	? Yes	Set/Alter FBT Details	? No
Enable Service Tax	? Yes	Enable Payroll Statutory	? Yes
Set/Alter Service Tax Details	? No	Set/Alter Payroll Statutory Details	? No

Tax Information

VAT TIN (Composition) :
 VAT TIN (Regular) : **72568562431**
 Local Sales Tax Number :
 Inter-state Sales Tax Number : **32547852161**
 PAN / Income - Tax No. : **EEENM16586**

Accept ?

F1: Accounts F2: Inventory F3: Statutory F4: Tally.NET

Yes or No

* (c) Connected to Tally.NET

Figure 7.30 Company Excise Duty Details Screen

- ❑ Select **Manufacturer / Dealer** (as the case may be) from the **Registration Types**

Excise Registration Details		Universal Enterprises		Ctrl + M	X
Registration Type	:	Registration Types Dealer Manufacturer			
Address	:	Plot No. 113 & 114,			
PIN Code	:	5600 68.			
Telephone No.	:	080-66554433			
Excise Details (Dealer Unit)					
Unit Mailing Name (Will be used in all Excise Reports)	:	Universal Enterprises			
Excise Registration (ECC) No.	:				
Date of Registration	:				
Other Details					
Range		Division		Commissionerate	
Code	:	Code	:	Code	:
Name	:	Name	:	Name	:
Address	:	Address	:	Address	:

Figure 7.31 Company Excise Duty Details Screen

- Specify all other details

Excise Registration Details		Universal Enterprises		Ctrl + M
Excise Registration Details				
Registration Type	: Dealer			
Address	: Plot No. 113 & 114, Industrial Estate, Hongasandra Bangalore			
PIN Code	: 560068			
Telephone No.	: 080-66554433			
Excise Details (Dealer Unit)				
Unit Mailing Name (Will be used in all Excise Reports)	: Universal Enterprises			
Excise Registration (ECC) No.	: AAPLS5647MXD003			
Date of Registration	: 1-Apr-2000			
Other Details				
Range	Division	Commissionerate		
Code : 09029	Code : 09001	Code : 009		
Name : Koramangala	Name : Division II	Name : Bangalore I		
Address : I-15 4th Floor 5th Phase Behind Jyoti Nivas Bangalore 560066	Address : Division - II 7th Floor, 'A' Wing, Kendriya Sadan Koramangala, Bangalore - 560034	Address : P.B. No. 5400, Central Revenue Building Queens Road, Bangalore - 560001		

Figure 7.32 Company Excise Duty Details Screen

- Save the screen

7.4.2 Create Tariff Classification

To Create Tariff Classification,

Go to **Gateway of Tally > Inventory Info. > Tariff Classifications > Create**

- Type all required details

Figure 7.33 Tariff Classification Screen

- ### 7.4.3 Create Excisable Stock Item

Go to **Gateway of Tally > Inventory Info. > Stock Items > Create**

- Figure 7.34 Excisable Stock Item Creation Screen

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Excise Details for : MP4 Player Tariff Classification : MP4 Player				
Excise Unit Name	Reporting UOM	Conversion Factor	Set/Alter Duty Details	Stock Item Type
Assembly Floor	Nos		Yes	

Figure 7.35 Excise Duty Details Screen

- Select the applicable **Excise duties**, the **Rate** and **Method of calculation** is defaulted automatically

Excise Duty Details			Universal Enterprises		Ctrl + M
Name : MP4 Player (alias) :			Excise Details for : MP4 Player Tariff Classification : MP4 Player		List of Excise Duty Classifications
Excise Unit : Assembly Floor			Conversion Factor :	Set/Alter Duty Details : Yes	End of List AED (GSI) AED (GSI) of CVD AED on HSD AED on HSD of CVD AED (PMT) AED (PMT) of CVD AED (TTA) AED (TTA) of CVD AED (TTW) AED (TTW) of CVD Countervailing Duty (CVD) Education Cess on CVD NCCD NCCD of CVD Secondary Education Cess on CVD SED of CVD Special AED Special AED of CVD Special Excise Duty
Type of Duty	Rate of Duty	Method of Calculation			
Basic Excise Duty	16 %	On Assessable Value			
Education Cess	2 %	On Duty Value			
Secondary Education Cess	1 %	On Duty Value			

Figure 7.36 Excise Duty Details Screen

7.4.4 Create Excise Voucher Type

To Create an Excise Voucher Type for purchase,

Go to **Gateway of Tally > Accounting Info. > Voucher Types > Create**

- ❑ Set **Use for Excise** to **Yes**
- ❑ Specify the **Default Excise Unit**
- ❑ Specify all other required details as shown

General		Printing	Name of Class
Type of Voucher : Purchase	Print after saving Voucher ? No		
Abbr. : Purc			
Method of Voucher Numbering ? Automatic			
Use Advance Configuration ? No			
Use EFFECTIVE Dates for Vouchers ? No			
Make 'Optional' as default ? No			
Use Common Narration ? Yes			
Narrations for each entry ? No			
Use for Excise ? Yes			
Default Excise Unit : Assembly Floor			

List of Excise Units	
Assembly Floor	Dealer
Stores	Dealer
Stores II	Dealer

Figure 7.37 Excise Purchase Voucher Type Creation

- ❑ Save screen

Similarly, create a Excise Sales Voucher Type for recording an excisable sales.

7.4.5 Purchase of Excisable Goods

To account for excise duty paid on purchases of excisable stock items,

Go to **Gateway of Tally > Accounting Vouchers > F9: Excise Purchase**

- ❑ Enter the **Party Name**
- ❑ Specify the **Supplier Details**

Party Details		Universal Enterprises		Ctrl + M
Excise - Purchases No. 1		Date : 5-Apr-2008		5-Apr-2008
Supplier Invoice No. : 559				Saturday
Excise Unit : Assembly Floor				
Receipt Details				
Receipt Note No.(s) : [End of List				
Order Details				
Order No(s) : [End of List				
Supplier's Details				
Supplier : Sterling Business Solutions				
Address : Plot-178				
Yeshwanthpur Industrial Area				
Bangalore				
TIN/Sales Tax No. : 32215487541				
Excise Regn No. : AFGHN12457812652				
Range : Koramangala				
Division : Yeshwanthpur				
Commissionerate : Bangalore GPO				
Manufacturer / Importer Details				
Name :				
Address :				
Excise Regn No. :				
Range :				
Division :				
Commissionerate :				
Invoice No. :				
Invoice Date :				

Figure 7.38 Party Details for Excise Purchase

- Specify the **Excise Details** as shown

Excise Details		Universal Enterprises		Ctrl + M X	
Excise - Purchases No. 1		Date : 5-Apr-2008		5-Apr-2008	
Supplier Invoice No. : 559				Saturday	
Excise Unit : Assembly Floor					
Party's A/c Name : Sterling Business Solutions					
Excise Details for : MP4 Player (Tariff Classification : MP4 Player)					
Supplier Invoice Details					
Supplier Invoice No. : 559					
Supplier Invoice Date : 5-Apr-2008					
RG 23D Entry No. :					
Assessable Value : 3,25,000.00					
Manufacturer / Importer Invoice Details					
Invoice No. :					
Invoice Date :					
RG 23D Entry No. :					
Billed Qty : 100 Nos					
Assessable Value : 3,25,000.00					
Type of Duty	Rate of Duty	Duty Amount	Mfgr / Importer Duty Amount		
Basic Excise Duty	16 %	52,000.00	52,000.00		
Education Cess	2 %	1,040.00	1,040.00		
Secondary Education Cess	1 %	520.00	520.00		
Total		53,560.00	53,560.00		
				Quantity	Rate per Disc. % Amount
				100 Nos	3,250.00 Nos 3,25,000.00
				100 Nos	3,25,000.00

Figure 7.39 Excise Details for Stock Item Sub-screen

- Set **Yes** to **Show Statutory Details** to verify/check the calculation of **Assesable Value**

Figure 7.40 Statutory Details Sub-screen

The **Excise Purchase voucher** appears as shown :

Accounting Voucher Creation		Universal Enterprises		Ctrl + M	
Excise - Purchases No. 1		Date : 5-Apr-2008		5-Apr-2008 Saturday	
Supplier Invoice No. : 559		Excise Unit : Assembly Floor			
Party's A/c Name : Sterling Business Solutions Nature of Purchase : First Stage Dealer Current Balance : 14,062.50 Dr Credit Limit: 9,00,000.00 Dr					
Name of Item	Quantity	Rate	per	Disc. %	Amount
MP4 Player	100 Nos	3,250.00	Nos		3,25,000.00
Input VAT @ 4%			4 %		13,000.00
Show Statutory Details ? Yes Narration:					
100 Nos					Accept ? Yes or No

Figure 7.41 Purchase Creation Screen for Excisable Goods

7.4.6 Sale of Excisable Goods

To account for excise duty chargeable on sales of excisable stock items,

Go to **Gateway of Tally > Accounting Vouchers > F8: Excise Sales**

- ❑ Specify the required details as explained in the previous section
- ❑ Save screen
- ❑ Press **Alt+P** to **Print Excise Invoice** under Rule 11.

7.4.7 View Excise Reports

With the help of Tally.ERP 9, you can generate Excise reports and registers in the prescribed formats for Manufacturers as well as dealers dealing with Excisable goods. Tally.ERP 9 provides the following reports for Excise Dealers :

- ❑ Quarterly returns (Form 2)
- ❑ Excise Stock Register (RG 23D)
- ❑ Excise Purchase Bill Register
- ❑ Sales and Purchase Extract

To view Dealer Excise Reports,

Go to **Gateway of Tally > Display > Statutory Reports > Dealer Excise Reports**

Excise Stock Register

Every Registered Dealer has to maintain a Excise Stock Register to record the daily receipt and issue of excisable goods ready for inspection by the officers of the department. The Excise Stock Register in Tally.ERP 9 gives the purchase and sales information. It has two sections, which are, the Receipt section for Purchases and Issues section for the Sales/Debit Note/Credit Note details.

Go to **Gateway of Tally > Display > Statutory Reports > Excise Reports > Dealer > Excise Stock Register**

Excise Stock Register Universal Enterprises Ctrl + M									
Unit Name : Assembly Floor 1-Apr-2008 to 5-Apr-2008									
Stock Item : MP4 Player									
Units : Nos Excise Tariff Classification : MP4 Player									
Receipt									
Sl. No.	Invoice No. / Date	Name and Address of the Supplier	Nature of Purchase	Quantity	Rate	Assessable Value	Duty per Unit	Total Duty	Cess per Unit
1	559 5-Apr-2008	Sterling Business Solutions Plot-178, Yeshwanthpur Industrial Area, Bangalore	First Stage Dealer	100	3,250.00	3,25,000.00	520.00	52,000.00	15.60
2	215487 5-Apr-2008	Computer Point 123/4 Hosur Main Road, Industrial Area, Bangalore	Manufacturer	200	3,100.00	6,20,000.00	496.00	99,200.00	14.88
Total				300		9,45,000.00		1,51,200.00	

Figure 7.42 Excise Stock Register Report

- Use **arrows** to scroll to right side of the report

Excise Stock Register						Universal Enterprises				Ctrl + M
Unit Name : Assembly Floor						1-Apr-2008 to 5-Apr-2008				
Stock Item : MP4 Player										
Units : Nos						Excise Tariff Classification : MP4 Player				
Sl. No.	Invoice No. / Date	Duty per Unit	Total Duty	Cess per Unit	Total Cess	Duty Details	Issue	Issued Quantity	Total Duty	Total Cess
		← ... 5 more								
1	559 5-Apr-2008	520.00	52,000.00	15.60	1,560.00	Duty Passed On Duty Not Passed On				
						Total Balance Duty		100	52,000.00	1,560.00
2	215487 5-Apr-2008	496.00	99,200.00	14.88	2,976.00	Duty Passed On Duty Not Passed On				
						Total Balance Duty		200	99,200.00	2,976.00
			1,51,200.00		4,536.00					

Figure 7.43 Excise Stock Register Report

Form RG 23D

The Form RG 23D report provides the details of Excise purchases and the corresponding Sales transactions.

FORM RG 23D Universal Enterprises Ctrl + M X										
Unit Name : Assembly Floor		1-Apr-2008 to 30-Apr-2008								
Item Name : MP4 Player		Excise Tariff Classification: MP4 Player								
Invoice No. / Date	RG 23D No.	Name and Address of Manufacturer / Importer including Central Excise Regn. No. / Range / Division / Commissionerate	Quantity	Rate	Assessable Value	Basic Excise Duty	Education Cess	Secondary Education Cess	Excise Duty per Unit	Total Excise Duty
215487 5-Apr-2008 / Excise - Purchases	M11245	Computer Point 123/4 Hosur Main Road, Industrial Area, Bangalore Balance Duty	200 Nos	3,100.00	6,20,000.00	99,200.00	1,984.00	992.00	510.88	1,02,176.00
			200 Nos			99,200.00	1,984.00	992.00		1,02,176.00
559 5-Apr-2008 / Excise - Purchases	M12451	Sterling Business Solutions Plot-178, Yeshwanthpur Industrial Area, Bangalore Balance Duty	100 Nos	3,250.00	3,25,000.00	52,000.00	1,040.00	520.00	535.60	53,560.00
			100 Nos			52,000.00	1,040.00	520.00		53,560.00

Figure 7.44 RG 23 D Report Screen

Similarly, you can generate other Excise Reports for a Excise Dealer viz.,

- ❑ Excise Purchase Bill Register
- ❑ Sales and Purchase Extract
- ❑ Form 2

Tally.ERP 9's simple yet powerful Excise feature enables you to record transactions related to Excise with ease. The Excise for manufacturer functionality in Tally.ERP 9 is more advanced and works similar to Excise for dealers functionality. Tally.ERP 9 provides the following reports for Excise Manufacturers :

- ❑ Excise Computation
- ❑ PLA Register
- ❑ Daily Stock Register
- ❑ Form ER1
- ❑ CENVAT Credit Availed report

7.5 Fringe Benefit Tax

The Fringe Benefit Tax is levied on employer in respect of fringe benefits provided/deemed to be provided by him to his employees during any financial year commencing on or after 1.4.2005. The Fringe Benefit Tax is payable at the rate at the 30% of the assesable value of fringe benefits. In Tally.ERP 9, Fringe Benefits classifications are prdefined with the assessable value and the rate of FBT for each nature of Fringe benefits.

7.5.1 Enable Fringe Benefits Tax

To enable **Fringe Benefits Tax** in Tally.ERP 9, follow the steps given below :

Go to **Gateway of Tally > F11: Features > Statutory & Taxation**

- ❑ Set **Enable Fringe Benefit Tax (FBT)** to **Yes**
- ❑ Enable **Set/Alter FBT Details** to **Yes**

Company Operations Alteration Ctrl + M

Current Period:
 Current Date:
 Company: **Universal Enterprises**

Statutory & Taxation

Enable Excise	? Yes	Enable Tax Deducted at Source (TDS)	? Yes
Set/Alter Excise Details	? No	Set/Alter TDS Details	? No
(Note : 'Enable Maintain Multiple Godowns' for Multiple Excise Units)		Enable Tax Collected at Source (TCS)	? No
Follow Excise rules for Invoicing	? No	Set/Alter TCS Details	? No
Enable Value Added Tax (VAT)	? Yes	Enable Fringe Benefit Tax (FBT)	? Yes
Set/Alter VAT Details	? No	Set/Alter FBT Details	? Yes
Enable Service Tax	? Yes	Enable Payroll Statutory	? Yes
Set/Alter Service Tax Details	? No	Set/Alter Payroll Statutory Details	? No

Tax Information

VAT TIN (Composition) :
 VAT TIN (Regular) : **72568562431**
 Local Sales Tax Number :
 Inter-state Sales Tax Number : **32547852161**
 PAN / Income - Tax No. : **EEENM16586**

F1: Accounts F2: Inventory F3: Statutory F4: Tally.NET

* (c) Connected to Tally.NET

Figure 7.45 F11: Statutory & Taxation Features

- ❑ Type details in **Company FBT Assessee Details**

FBT Assessee Details Ctrl + M

Current Period: 1 Current Date:

Company: Universal Enterprises

Statutory & Taxation

Enable Excise	? Yes	Enable Tax Deducted at Source (TDS)	? Yes
Set/Alter Excise Details	? No	Set/Alter TDS Details	? No
(Note : 'Enable Maintain Multiple Godowns' for Multiple Excise Units)		Enable Tax Collected at Source (TCS)	? No
Follow Excise rules for Invoicing	? No	Set/Alter TCS Details	? No
Enable Value Added Tax (VAT)	? Yes	Enable Fringe Benefit Tax (FBT)	? Yes
Set/Alter VAT Details	? No	Set/Alter FBT Details	? Yes
Enable Service Tax	? Yes	Enable Remittance Certificate	? No
Set/Alter Service Tax Details	? No		

Company FBT Assessee Details

PAN / Income - Tax Number : EEENM16586

Assessee Type : Firms/ Domestic Companies

Is Surcharge Applicable : ? Yes

Assessee Category : Others

List of Assessee Category

- Carriage of Passengers or Goods by Aircraft
- Carriage of Passengers or Goods by Motor Car
- Carriage of Passengers Or Goods by Ship
- Construction Business
- Hotel
- In the business of Carriage Passengers
- Manufacture/Production of Computer Software
- Manufacture/Production of Pharmaceuticals
- Others**

F1: Accounts

* (c) Connected to Tally.NET

Figure 7.46 Company FBT Assessee Details sub form screen

- Save screen

7.5.2 View FBT Assessee Type Masters

The FBT Assessee details provides the rates of tax, surcharges and Cess that are to be deducted and remitted to the Government.

To view the **FBT Assessee Type** details,

Go to **Gateway of Tally > Display > Statutory Info. > FBT Assessee Type**

Master Report Display					Universal Enterprises		Ctrl + M	x
Name : Firms/ Domestic Companies								
FBT Assessee Details								
Applicable From	Rate of FBT	Surcharge	Addl Surcharge (Cess)	Addl Education (Cess)				
1-4-2005	30 %	10 %	2 %					
1-4-2007	30 %	10 %	2 %	1 %				

Figure 7.47 FBT - Assessee Type Masters

7.5.3 View FBT Category Masters

The FBT Category details provides the details of eligible percentage of the expenditure that is to be considered while computing the FB Tax.

Master Report Display

Universal Enterprises

Ctrl + M

Name : Entertainment

Section : 115WB(2)(A)

FBT Category

Assessee Category	Applicable From	Eligible Percentage
Carriage of Passengers or Goods by Aircraft	1-Apr-2005	20 %
Carriage of Passengers or Goods by Motor Car	1-Apr-2005	20 %
Construction Business	1-Apr-2005	20 %
Hotel	1-Apr-2005	20 %
In the business of Carriage Passengers	1-Apr-2005	20 %
Manufacture/Production of Computer Software	1-Apr-2005	20 %
		6 more

Gate way of Tally

Display Menu

Statutory Info.

VAT Classifications

Excise Duty Classifications

Service Categories

TDS Nature of Pymts

Deductee Types

FBT Assessee Type

FBT Category

Figure 7.48 FBT - Category Master Report Display

7.5.4 Create FBT Masters

To create FBT Tax Ledgers, follow the steps given below :

Go to **Gateway of Tally > Accounts Info. > Ledger > Create**

- ❑ Type the **Name** of the Ledger
- ❑ Select the required **Group**
- ❑ Select **FBT** in the **Type of Duty/Tax**

Ledger Creation		Universal Enterprise
Name	: Fringe Benefit Tax - Entertainment	Total Op. Bal.
(alias)	:	
Under		: Duties & Taxes (Current Liabilities)
Type of Duty/Tax	:	FBT
Opening Balance (on 1-Apr-2008) :		Accept ? Yes or No

Figure 7.49 FBT Tax Ledger

- ❑ Save screen



While creating **Expenses Ledgers** under **Direct/Indirect Expenses Group**, enable the following

- ❑ Set **Is FBT Applicable** to Yes
 - i. Select the required **FBT Category**
 - ii. Specify **Exemption Amount in Vouchers** to Yes, if required

7.5.5 Create FBT Transactions

To account expenses that attract FBT using accounting vouchers, follow the steps given below :

Go to **Gateway of Tally > Accounting Vouchers > F5: Payment**

- Specify the following details

Accounting Voucher Creation		Universal Enterprises	Ctrl + M
Payment	No. 382		31-Mar-2009 Tuesday
Account : HDFC Bank Cur Bal: 1,22,380.44 Dr			
Particulars	Amount		
Entertainment Expenses Cur Bal: 20,000.00 Dr	20,000.00		
Name on Cheque : Hotel Tridon Cross cheque using ? A/c Payee Narration: Ch. No. :322011 Dinner expenses incurred by CFO for entertaining guests.			
			Accept ? Yes or No

Figure 7.50 Payment of Expenses subject to FBT

- Save screen.

7.5.6 Payment of FBT

To remit fringe benefit tax deducted to the Government, follow the steps given below :

Go to **Gateway of Tally > Accounting Vouchers > F5: Payment**

- Press **Alt+F: FBT Helper**
- In **FBT Filters**,
 - Specify details for **Type of Payment**
 - Select **FBT Ledger**
 - Specify details in **From Date & To Date**

FBT Filters		Universal Enterprises	Ctrl + M
Payment	No. 384		31-Mar-2009 Tuesday
Account : Cur Bal.			
Particulars			Amount
FBT Filters Type Of Payment : Tax On Regular Assessment (400) FBT Ledger : Fringe Benefit Tax - Entertainment From Date : 1-3-2009 To Date : 31-3-2009 Challan Details Bank Challan No. : 99772 Challan Date : 31-3-2009 Cheque/DD No : 322019 Bank Name : HDFC Bank BSR Code : 0000053			
Narration:			

Figure 7.51 FBT Filters Screen

- Press **Enter** to save the screen

Accounting Voucher Creation		Universal Enterprises	Ctrl + M
Payment	No. 383		31-Mar-2009 Tuesday
Account : HDFC Bank Cur Bal: 80,873.44 Dr			
Particulars			Amount
Fringe Benefit Tax - Entertainment			1,507.00
Cur Bal: 1,507.00 Dr			
Name on Cheque : Hotel Tridon Cross cheque using ? A/c Payee Narration: Ch. No. :322019 Entertainment expenses incurred by CEO for March 2009.			
			Accept ? Yes or No

Figure 7.52 Payment of FB Tax Screen

- Save the screen

7.5.7 Print ITNS 283 Challan

To **Print ITNS 283** challan, follow the steps

- Press **Pg Up** from the above screen
- Press **Alt+P**
- In the **Voucher Printing** screen, ensure **Print as FBT Challan** is set to **Yes**
- Press **Enter** to Print

7.5.8 View Fringe Benefit Tax Reports

To view **Fringe Benefit Tax Reports**, follow the steps given below

Go to **Gateway of Tally > Display > Statutory Reports > FBT Reports > FBT Computation**

The report generated is as follows;

[illegible]

Figure 7.53 FBT Computation Report

- Press **Enter** and you can view all ledgers of FBT Category.

Ledgers of FBT Category

Universal Enterprises

Ctrl + M

FBT Category

: Entertainment - 115WB(2)(A)

1-Mar-2009 to 31-Mar-2009

Name of the Ledger	Fringe Benefit Details					Tax Details				
	Expenditure Amount	Exempt Amount	Amount Recovered	Nett Expenditure	Value of Fringe Benefit	FBT	Surcharge	Education Cess	Secondary Education Cess	Total Tax
Entertainment Expenses	20,000.00			20,000.00	4,000.00	1,200.00	120.00	26.40	13.20	1,359.60

Figure 7.54 Ledgers of FBT Category Report

To view **Fringe Benefit Tax Return in Form 8**,

Go to Gateway of Tally > Display > Statutory Reports > FBT Reports > FBT Returns

The FBT Returns in prescribed Form 8 appears with annexure.

7.6 Tax Collected at Source (TCS)

TCS is the Tax Collected at Source by you (collector) from a Buyer/lessee (collectee/payee). This tax to be collected at source is applicable to goods, as specified under Section 206C of the Income Tax Act, 1961. If the purchase value of goods is X, the amount payable by the buyer is X+Y, where Y is the value of Tax at Source. The seller deposits the tax amount Y at any designated branch of banks authorised to receive such payments.

As a seller, lessor or licensor, you are responsible for the collection of tax from the buyer, lessee or licensee. The tax is collected for sale of goods or on transactions which involve receipt of amounts from buyers in the form of cash or cheque, draft or any other mode.

The certificate of collection of Tax at Source has to be submitted in Form No. 27D by persons collecting tax at source within a week from the last day of the month in which the tax was collected.

7.6.1 Enable Tax Collected at Source (TCS)

To activate **Tax Collected at Source** in Tally.ERP 9, follow the steps given below :

Go to **Gateway of Tally > F11: Features > F3: Statutory & Taxation**

- ❑ Set **Enable Tax Collected at Source (TCS)** to **Yes**
- ❑ Enable **Set/Alter TCS Details** to **Yes** and press **Enter**

Company Operations Alteration Ctrl + M

Current Period: _____ Current Date: _____

Company: **Universal Enterprises**

Statutory & Taxation

Enable Excise	? Yes	Enable Tax Deducted at Source (TDS)	? Yes
Set/Alter Excise Details	? No	Set/Alter TDS Details	? No
(Note : 'Enable Maintain Multiple Godowns' for Multiple Excise Units)		Enable Tax Collected at Source (TCS)	? Yes
		Set/Alter TCS Details	? Yes
Follow Excise rules for Invoicing	? No	Enable Fringe Benefit Tax (FBT)	? Yes
Enable Value Added Tax (VAT)	? Yes	Set/Alter FBT Details	? No
Set/Alter VAT Details	? No	Enable Payroll Statutory	? Yes
Enable Service Tax	? Yes	Set/Alter Payroll Statutory Details	? No
Set/Alter Service Tax Details	? No		

Tax Information

VAT TIN (Composition) : _____

VAT TIN (Regular) : **72568562431**

Local Sales Tax Number : _____

Inter-state Sales Tax Number : **32547852161**

PAN / Income - Tax No. : **EEENM16586**

F1: Accounts F2: Inventory F3: Statutory F4: Tally.NET

Figure 7.55 TCS Activation- Company Features Alteration Screen

- ❑ In the **Company Deductor/Collector Details** screen, specify the required details

TDS/TCS Details Ctrl + M

Current Period: 1 Current Date:

Company: Universal Enterprises

Statutory & Taxation

Enable Excise	? Yes	Enable Tax Deducted at Source (TDS)	? Yes
Set/Alter Excise Details	? No	Set/Alter TDS Details	? No
(Note: 'Enable Maintain Multiple Godowns' for Multiple Excise Units)		Enable Tax Collected at Source (TCS)	? Yes
		Set/Alter TCS Details	? Yes
Follow Excise rules for Invoicing	? No	Enable Fringe Benefit Tax (FBT)	? Yes
Enable Value Added Tax (VAT)			? No
Set/Alter VAT Details			? Yes
Enable Service Tax			? No
Set/Alter Service Tax Details			

Company Deductor/Collector Details

Tax Assessment Number : AGDFHJ12C

Income Tax Circle/Ward (TDS/TCS) : Bang/Jayanagar

Deductor/Collector Type : Others

Name of person responsible : Ramesh

Designation : Chief Financial Officer

(Note: All the above details will be used in Challan, Forms & Returns)

PAN / Income - Tax No. : EEENM16586

F1: Accounts F2: Inventory F3: Statutory F4: Tally.NET

Figure 7.56 Company Deductor/Collector Details subform screen

- Save the screen

7.6.2 View TDS Nature of Goods

To view **TCS Nature of Goods** masters, follow the steps given below :

Go to **Gateway of Tally > Display > Statutory Info. > TCS Nature of Goods**

- Select **TCS Nature of Goods** from the **List of TCS Types** to display

TCS Nature Of Goods Display			Universal Enterprises		Ctrl + M
Name : Scrap			2009		
Section : 206C			of Last Entry		
Payment Code : 6CE			1-Mar-2009		
Tax Rate Details					
Collectee Type	Applicable From	Rate			
Body of Individuals	14-2004	1 %			
Association of Persons	14-2004	1 %			
Company - Non Resident	14-2004	1 %			
Company - Resident	14-2004	1 %			
Co-Operative Society	14-2004	1 %			
Individual/HUF - Non Resident	14-2004	1 %			
Individual/HUF - Resident	14-2004	1 %			
Local Authority	14-2004	1 %			
Partnership Firm	14-2004	1 %			

Gateway of Tally
Display Menu

Statutory Info.

VAT Classifications

Excise Duty Classifications

Service Categories

TDS Nature of Pymts
Deductee Types

TCS Nature of Goods
Collectee Types

FBT Assessee Type
FBT Category

Quit

Figure 7.57 TCS Nature of Goods Master

The details in the screen comprise of the fields Name, Section and Payment Code and a table, where you can view details such as Collectee Type, Applicable from, Exemption Limit and Rate. Here you are viewing the details in the alteration mode.

7.6.3 View TCS Collectee Types

To view TCS Collectee Types,

Go to **Gateway of Tally > Display > Statutory Info. > Collectee Types**

- Select from the **List of Collectee Types** to display the **Collectee Type**

Collectee Type Display		Universal Enterprises			Ctrl + M
Name : Company - Resident					Gateway of Tally Display Menu Statutory Info. VAT Classifications EXcise Duty Classifications SService Categories TDS Nature of Pymts Deductee Types TCS Nature of Goods Collectee Types FBT Assessee Type FBT Category Quit
Residential Status : Resident					
Collectee Status : Company					
Active ? Yes					
Module Type : Both					
Collectee TCS Details					
Applicable From	Surcharge Exemption Limit	Surcharge	Addl Surcharge (Cess)	Addl Education (Cess)	
1-4-2004		10 %	2 %	0 %	
1-4-2007	1,00,00,000.00	10 %	2 %	1 %	

Figure 7.58 TCS Collectee Types

The details of this screen comprises of the fields, Name, Residential and Collection Status. There is a table, where you view details such as, Applicable From, Surcharge exemption Limit, Surcharge %, Additional Surcharge (Cess) and Additional Education (Cess).

7.6.4 Create TCS Masters

To create TCS tax ledgers, follow the steps given below :

Go to **Gateway of Tally > Accounts Info. > Ledger > Create**

- ❑ Type the **Name** of the Ledger
- ❑ Select the required **Group**
- ❑ Select **TCS** in the **Type of Duty/Tax**
- ❑ Select the required **TCS Type of Goods** in the **Nature of Goods/Contract/License/Lease** field

Ledger Creation		Universal Enterprises	Ctrl + M
Name : TCS - Scrap Materials Sale (alias) :		List of TCS Types	
		Alcoholic Liquor for Human Consumption Any Other Forest Produce (Not Being Tendu Leaves) Contractors/Licensee/Lease Relating to Mine/Quarry Contractors/Licensee/Lease Relating to Parking Lots Contractors/Licensee/Lease Relating to Toll Plaza	
Under : Duties & Taxes (Current Liabilities)		Scrap	
Currency of Ledger : Rs.	Name	Tendu Leaves	
Type of Duty/Tax : TCS	Address	Timber Obtained by Any Mode Other Than Forest Lease	
Nature Of Goods/Contract/License/Lease : Scrap	State	Timber Obtained Under Forest Lease	
Inventory values are affected ? No	PIN Code		
Cost centres are applicable ? No	PAN / IT No		
Activate Interest Calculation ? No			
Opening Balance (on 1-Apr-2008) :			

Figure 7.59 TCS Tax Ledger creation

- ❑ Save screen

Similarly create ledger accounts for the sale of items that attract TCS.

7.6.5 Create TCS Stock Item

To Create TCS Stock Items, follow the steps given below

Go to **Gateway of Tally > Inventory Info. > Stock Items > Create**

- ❑ Specify the **Name** of the Stock Item
- ❑ Select the required **TCS Nature of Goods**

Stock Item Creation		Universal Enterprises		Ctrl + M
Name : Electronic Scrap (alias) :				
TCS Nature Of Goods : Scrap				
Description : Scrap generated during manufacturing a component				
Under : Components Units : Nos Alternate Units : [Not Applicable		<u>Tax Information</u> Tariff Classification : [Not Applicable Rate of VAT (%) : 4		<u>Behaviour</u> Costing Method : Avg. Cost Market Valuation Method : Avg. Price Ignore Diff. due to Physical Counting ? No Ignore Negative Balances ? No Treat all Sales as New Manufacture ? No Treat all Purchases as Consumed ? No Treat all Rejections inward as Scrap ? No
Maintain in Batches ? No Set Components (BoM) ? No Set Standard Rates ? No				
Opening Balance :		Quantity	Rate per	Value
				Accept ? Yes or No

Figure 7.60 TCS Stock Item Creation

- Save screen

7.6.6 Create Sales involving TCS

To create Sales Invoice for sale of TCS goods, follow the steps given,

Go to **Gateway of Tally > Accounting Vouchers > F8: Sales**

- Select the **Party Name**
- Enter the **Stock Item, Quantity and Rate** details
- Select the **TCS Ledger** and press **Enter**

TCS Computations

Universal Enterprises

Ctrl + M

Sales

No. 117

Voucher Class : I Not Applicable

31-Mar-2009

Ref. : ElectScrapMar09

Tuesday

Party's A/c Name : Bangalore Scrap Merchants

Price Level : I Not Applicable

Current Balance :

Name of Item	Quantity	Rate	per	Disc. %	Amount
Electronic Scrap	3 Nos	20,000.00	Nos		60,000.00
TCS - Scrap Materials Sale		1.03	%		618.00

TCS Details

TCS Party Ledger

:

Bangalore Scrap Merchants

Gross Amount

:

60,000.00

Income Tax

:

@

1 %

600.00

Surcharge

:

@

0 %

Cess

:

@

2 %

12.00

Addl Ed Cess

:

@

1 %

6.00

Total TCS

:

618.00

TCS - Bill Wise Detail for : TCS - Scrap Materials Sale

Type of Ref	Name	Due Date, or Credit Days	Amount	Dr/ Cr
New Ref	Sale/117	7-Apr-2009	618.00	Cr

3 Nos

60,618.00

Figure 7.61 TCS - Computation of Tax Screen

- Press **Enter** to accept the **TCS Details** subscreen

Accounting Voucher Creation		Universal Enterprises		Ctrl + M
Sales	No. 117	Voucher Class : Elect Not Applicable		31-Mar-2009 Tuesday
Ref. : ElectScrap.Mar09				
Party's A/c Name : Bangalore Scrap Merchants		Price Level : Elect Not Applicable		
Current Balance :				
Name of Item	Quantity	Rate	per Disc. %	Amount
Electronic Scrap	3 Nos	20,000.00	Nos	60,000.00
TCS - Scrap Materials Sale		1.03 %		618.00
Output VAT @ 4%		4 %		2,400.00
Show Statutory Details ? Yes				
Narration:				
Sale of electronic scrap and collection of tax at source				
				3 Nos 63,018.00

Figure 7.62 TCS Sales Voucher Screen

- Save screen

7.6.7 View TCS Reports

Tally.ERP 9 provides the following **TCS Forms and Reports**,

- Form 27D
- Form 27E (eTCS Forms)
- Form 27EQ (eTCS Forms)
- Form 27B

To view Tax Collected at Source Reports,

Go to **Gateway of Tally > Display > Statutory Reports > TCS Reports > Print Form 27B**

Form No. 27B

Form for furnishing information with the statement of collection of tax at source filed on computer media for the period
(From --/--/-- to --/--/-- (dd/mm/yyyy))#

1 (a) Tax Collection Account No. (c) Financial Year
(b) Permanent Account No. (d) Assessment Year
(f) Previous receipt number
(In Case return / statement has been filed earlier)

2 Particulars of the collector

(a) Name	Universal Enterprises
(b) Type of Collector*	Others
(b) Branch / Division (if any)	
(c) Address	
Flat No.	Plot No. 113 & 114,
Name of the premises / building	Industrial Estate, Hongasandra
Road / Street / Lane	Bangalore
Area / Location	
Town / City / District	
State	Karnataka
Pin code	5600 68.
Telephone	080-66554433
E-mail	sales@universalerprises.com

3 Name of the person responsible for collection of tax

(a) Name	Ramesh
(b) Address	
Flat No.	Plot No. 113 & 114,
Name of the premises / building	Tech Park-II
Road / Street / Lane	Industrial Estate
Area / Location	Hongasandra
Town / City / District	Bangalore
State	Karnataka
Pin code	560068
Telephone	080-66554433
E-mail	sales@universalerprises.com

4 Control totals

Sr.No.	No. of party records	Amount paid Rs.	Tax Collected	Tax deposited (Total challan amount) Rs.
Total	21	1,63,55,000.00	3,86,218.00	3,86,218.00

5 Total Number of Annexures enclosed

6 Other Information

VERIFICATION

I, Ramesh, hereby certify that all the particulars furnished above are correct and complete.

Place: Bangalore Signature of person responsible for collecting tax at source _____
Date: 31-Mar-2009 Name and designation of person responsible for collecting tax at source Ramesh, Chief Financial Officer

Figure 7.63 Printed Form 27B Report

Similarly, you can generate other TCS Reports in Tally.ERP 9.

7.7 Central Sales Tax

CST is a tax levied on inter-state sales of goods by dealers by the Central Government. CST is applicable only if you sell goods to dealers in other states but not levied on sales made intra state or on import/export sales. The Inter-state sale occurs when sale or purchase constitutes movement of goods from one state to another. Accordingly, when you send consignments to your agents or transfer goods to your branch/ other offices, this is not a considered as sale under the CST Act.

CST is payable in the state from where you sell the goods and commence its movement. The tax you pay is collected and retained by the state where the transaction originated. The CST collection and administration is performed by the authorities of your state's Sales Tax Dept. Thus, the State Government Sales Tax officer who assesses and collects VAT (state) also collects and assesses and CST.

The CST feature is enabled automatically once the VAT feature is enabled in Tally.ERP 9.

7.7.1 Create CST Ledgers

To create tax ledgers for CST, follow the steps given below :

Go to **Gateway of Tally > Accounts Info. > Ledger > Create**

- ❑ Type the **Name** of the **Ledger**
- ❑ Select the **Group** as **Purchase Accounts**
- ❑ Set **Is VAT Applicable** to **Yes** and select the **VAT Classification**

Ledger Creation		Universal Enterprise
Name : CST on Purchases		Total Op. Bal.
(alias) :		
Under :	Tax on Purchases (Purchase Accounts)	
Inventory values are affected	? Yes	
Percentage of Calculation (eg 5)	? 0 %	
Rounding Method	: [Not Applicable	
<u>Statutory Information</u>		
Is Service Tax Applicable	? No	
Used In VAT Returns	? Yes	
Is TDS Applicable	? No	
Opening Balance (on 1-Apr-2008) :		Accept ?
		Yes or No

Figure 7.64 CST Ledger Creation

- ❑ Save screen



Create the appropriate **Purchase** and **Sales** ledger accounts with the required **CST Classification** for accounting CST purchase and sales transactions.

Create Stock Items for CST Sales

Go to **Gateway of Tally > Inventory Info. > Stock Items > Create**

- ❑ Specify name and other details.
- ❑ Save screen

7.7.2 Create CST Sales Transactions

To Create accounting entry for CST,

Go to **Gateway of Tally > Accounting Vouchers > F8: Sales**

- ❑ Specify the required information
- ❑ Save screen

Figure 7.65 CST - Inter State Sales Creation Screen

To view CST Reports, follow the steps given below :

Forms Receivable Report - Groupwise

Forms Receivable			Universal Enterprises				Ctrl + M		
Group Name : Sundry Debtors			1-Apr-2008 to 31-Mar-2009						
Date	Particulars	Vch Type	Vch No.	Assessable Value	CST Amount	Invoice Form Amount Type	Form Number	Form Date	
2-4-2008	Computer Junction	Sales	1	51,420.00 Dr		51,420.00 Dr C Form			
10-4-2008	Universal Systems	Sales	6	2,31,300.00 Dr		2,31,300.00 Dr C Form			
25-4-2008	Silverplus Computers	Sales	11	4,61,100.00 Dr	4,61,100.00 Dr Default				
5-5-2008	Computer Junction	Sales	15	1,59,500.00 Dr		1,59,500.00 Dr C Form			
25-5-2008	Worldwide Computers	Sales	19	6,52,500.00 Dr		6,52,500.00 Dr C Form			
25-6-2008	Computer World	Sales	29	5,22,500.00 Dr		5,22,500.00 Dr C Form			
2-7-2008	Computer Junction	Sales	32	1,04,000.00 Dr		1,04,000.00 Dr C Form			
2-7-2008	Batiwala & Co.	Sales	35	18,720.00 Dr		18,720.00 Dr C Form			
25-7-2008	Computer World	Sales	40	2,62,500.00 Dr		2,62,500.00 Dr C Form			
10-8-2008	Silverplus Computers	Sales	46	2,52,100.00 Dr		2,52,100.00 Dr C Form			
25-8-2008	Universal Systems	Sales	49	3,92,500.00 Dr		3,92,500.00 Dr C Form			
1-9-2008	M.M.Lal	Sales	52	8,970.00 Dr		8,970.00 Dr C Form			
25-9-2008	Worldwide Computers	Sales	59	4,60,100.00 Dr		4,60,100.00 Dr C Form			
25-10-2008	Computer World	Sales	68	2,31,300.00 Dr		2,31,300.00 Dr C Form			
25-10-2008	Universal Systems	Sales	69	4,60,100.00 Dr		4,60,100.00 Dr C Form			
10-11-2008	Worldwide Computers	Sales	73	3,45,700.00 Dr		3,45,700.00 Dr C Form			
26-11-2008	Silverplus Computers	Sales	79	5,22,500.00 Dr	5,22,500.00 Dr Default				
10-12-2008	Silverplus Computers	Sales	87	2,62,500.00 Dr	2,62,500.00 Dr Default				
25-12-2008	Worldwide Computers	Sales	92	4,60,100.00 Dr		4,60,100.00 Dr C Form			
10-1-2009	Computer World	Sales	96	4,60,100.00 Dr		4,60,100.00 Dr C Form			
11-2-2009	Worldwide Computers	Sales	105	5,74,500.00 Dr		5,74,500.00 Dr C Form			
25-2-2009	Silverplus Computers	Sales	107	5,22,500.00 Dr	5,22,500.00 Dr Default				
25-2-2009	Universal Systems	Sales	108	2,31,300.00 Dr		2,31,300.00 Dr C Form			
10-3-2009	Worldwide Computers	Sales	111	4,60,100.00 Dr		4,60,100.00 Dr C Form			
25-3-2009	Silverplus Computers	Sales	115	5,22,500.00 Dr	5,22,500.00 Dr Default				

Figure 7.66 CST - Forms Receivable Report - Group

Forms Receivable - Ledgerwise Report

Forms Receivable		Universal Enterprises					Ctrl + M		
Ledger Name: All India Computer Institute		1-Apr-2008 to 31-Mar-2009							
Date	Particulars	Vch Type	Vch No.	Assessable Value	CST Amount	Invoice Amount	Form Type	Form Number	Form Date
12-3-2009	Interstate Sales	Sales	112	41,000.00 Dr	820.00 Dr	41,820.00 Dr	C Form	912562	12-Mar-2009
				Total	41,000.00 Dr	820.00 Dr	41,820.00 Dr		

Figure 7.67 CST - Forms Receivable Report- Ledger

Similarly, you can generate reports under **Forms Issuable** Report.

Lesson 8: Payroll Compliance in Tally.ERP 9

Payroll refers to a series of accounting transactions involved in the process of paying employees for services rendered after taking into account all statutory and non-statutory deductions. The efficient payroll system in Tally facilitates error-free, accurate and timely employee payments while ensuring that the employment is well within the valid work permit.

Payroll in Tally.ERP 9 handles all the functional, accounting and statutory requirements of the payroll department. It provides you with the flexibility to define earning & deduction heads and supports the computation and deduction of ESI, EPF, Gratuity, etc. It supports user defined production units like attendance, production, time based remuneration, and other methods of calculating payroll. Comprehensive reports based on cost centers and employee wise cost can be generated.

8.1 Enable Payroll

To activate payroll feature,

Go to **Gateway of Tally >F11: Features > Press F1: Accounting Features**

- ❑ Set **Maintain Payroll** to **Yes**
- ❑ Set **More than ONE Payroll / Cost Category** to **Yes**
- ❑ Save screen

Company Operations Alteration Ctrl + M

Current Period: Current Date:

Company: **Universal Enterprises**

Accounting Features

General		Invoicing	
Integrate Accounts and Inventory	? Yes	Allow Invoicing	? Yes
Income/Expense Statement instead of P & L	? No	Enter Purchases in Invoice Format	? Yes
Allow Multi-Currency	? Yes	Use Debit/Credit Notes	? Yes
		Use Invoice mode for Credit Notes	? Yes
		Use Invoice mode for Debit Notes	? Yes
Outstandings Management		Budgets & Scenario Management	
Maintain Bill-wise Details (for Non-Trading A/cs also)	? Yes	Maintain Budgets and Controls	? Yes
Activate Interest Calculation (use advanced parameters)	? Yes	Use Reversing Journals & Optional Vouchers	? Yes
Cost/Profit Centres Management		Other Features	
Maintain Payroll	? Yes	Enable Cheque Printing	? No
Maintain Cost Centres	? Yes	Set/Alter Cheque Printing Configuration	? No
Use Cost Centre for Job Costing	? Yes	Allow Zero valued entries	? Yes
More than ONE Payroll / Cost Category	? Yes		
Use Pre-defined Cost Centre Allocations during Entry	? No		

Accept ?

F1: Accounts F2: Inventory F3: Statutory F4: Tally.NET

Yes or No

* (c) Connected to Tally.NET

Figure 8.1 F11: Statutory & Taxation screen

To activate Payroll Statutory Features

Go to **Gateway of Tally > F11: Features > press F3: Statutory & Taxation**

- ❑ Set **Enable Payroll Statutory** to **Yes**
- ❑ Set **Set/Alter Payroll Statutory Details** to **Yes**
- ❑ Save screen

Company Operations Alteration
Ctrl + M

Current Period
Current Date

Company: Universal Enterprises

Statutory & Taxation

Enable Excise	? No	Enable Tax Deducted at Source (TDS)	? Yes
Set/Alter Excise Details	? No	Set/Alter TDS Details	? No
(Note : 'Enable Maintain Multiple Godowns' for Multiple Excise Units)		Enable Tax Collected at Source (TCS)	? No
Follow Excise rules for Invoicing	? No	Set/Alter TCS Details	? No
Enable Value Added Tax (VAT)	? Yes	Enable Fringe Benefit Tax (FBT)	? No
Set/Alter VAT Details	? No	Set/Alter FBT Details	? No
Enable Service Tax	? No	Enable Payroll Statutory	? Yes
Set/Alter Service Tax Details	? No	Set/Alter Payroll Statutory Details	? Yes

Tax Information

VAT TIN (Composition) :
VAT TIN (Regular) :
Local Sales Tax Number :
Inter-state Sales Tax Number :
PAN / Income - Tax No. :

F1: Accounts
F2: Inventory
F3: Statutory
F4: Tally.NET

* (c) Connected to Tally.NET

Figure 8.2 F11: Statutory & Taxation Features screen

8.2 Create Payroll Masters

To create payroll masters:

Go to **Gateway of Tally > Payroll Info.**

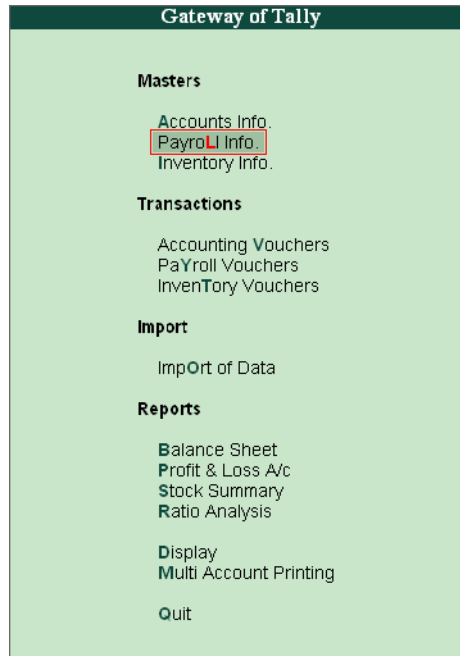


Figure 8.3 Payroll Feature menu in Gateway of Tally

The **Payroll Info.** Screen is displayed. You can create masters for Employee Groups, Employees, Units(Work), Attendance/Production Type, Pay Heads, Salary Details and Voucher Types.

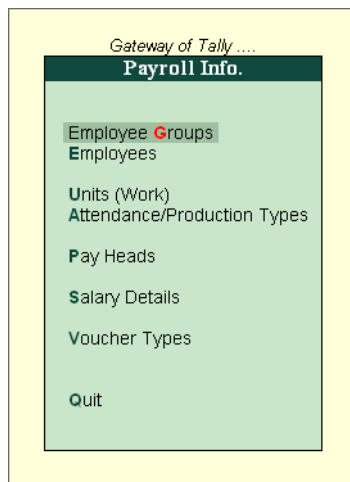


Figure 8.4 Payroll Info. Screen

To Configure Payroll:

Go to **Gateway of Tally > F12:Configuration > Payroll Configuration**

- ❑ Set **Show Statutory Details** to **Yes**
- ❑ Set **Show Passport & Visa Details** to **Yes**
- ❑ Set **Show Contract Details** to **Yes**
- ❑ Set **Show Deactivated Employees** to **No**
- ❑ Set **Information in Payment Advice** to **Yes**

Payroll Configuration	
Show Statutory Details	? Yes
Show Passport & Visa Details	? Yes
Show Contract Details	? Yes
Show Deactivated Employees	? No
Information in Payment Advice	: Please make the payroll transfer from above account number to the below mentioned account numbers towards employee salaries.

Figure 8.5 F12: Payroll Configuration screen

8.2.1 Create PayHeads

To Create Pay Heads

Go to **Gateway of Tally > Payroll Info. > Pay Heads > Create**

- ❑ Specify the **Name** of Pay Head.
- ❑ Specify the related details under **Pay Head Info**.
- ❑ Save screen.

Figure 8.6 Pay Head Creation Screen

8.2.2 Create Employee Group

Go to **Gateway of Tally > Payroll Info. > Employee Groups > Create**

- | Employee Group Creation | | Universal |
|-------------------------|------------------------------------|---|
| Category | : Primary Cost Category | |
| Name | : Executive | |
| (alias) | : | |
| Under | : ☐ Primary | <div>Accept?</div> <div>Yes or No</div> |

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8.2.3 Create Employee Master

To Create an Employee Master:

Go to **Gateway of Tally > Payroll Info. > Employees > Create**

- ❑ Select **Category** and type **Name** of Employee.
- ❑ Specify all related details - like **Under**, **Date of Joining**, etc.
- ❑ Save screen.

Employee Creation		Universal Enterprises		Ctrl + M	
Category	: Primary Cost Category				
Name	: Mahendra.T				
(alias)	:				
Under	: Executive (If Primary)				
Date of Joining	: 30-May-2006				
General Info		Payment Details	Passport & Visa Details		
Employee Number	: 30567	Bank Name	: HDFC Bank	Passport Number	: KA/BN/PAS130/105
Designation	: Sales Executive	Branch	: M.G Road	Country of Issue	: India
Function	: Sales Promotion	Bank A/c Number	: 10025457423512	Passport Expiry Date	: 31-Dec-2014
Location	: Bangalore	Statutory Details		Visa Number	:
Gender	: Male	Income Tax Number (PAN)	: AQMP85741	Visa Expiry Date	:
Date of Birth	: 12-Oct-1983	PF Account Number	: KN\BN\18\185\199	Contract Details	
Blood Group	: AB Positive	ESI Number	: ES\BN\35420\310	Work Permit Number	:
Father / Mother Name	: Ramanathan				
Spouse Name	: Rima				
Address	: 450, J.P Nagar 4th Main 3rd Phase Bangalore - 560078				
Contact Numbers	: 9341532201				
E-Mail ID	: mahi@universal.com				
		Accept ? Yes or No			

Figure 8.8 Employee Creation Screen

8.2.4 Create Salary Details

To Create Salary Details,

Go to **Gateway of Tally > Payroll Info. > Salary Details > Create**

- ❑ Select **Employee** from Name of **Employee/Group**
- ❑ Specify all related details - like **Under** and **Salary Details**.
- ❑ Save screen

Salary Details Creation		Universal Enterprises			Ctrl + M	
Name : Mahendra.T (30567)						
Under : Executive (If Primary)						
Salary Details						
Effective From	Pay Head	Rate	Per	Pay Head Type	Calculation Type	Computed On
30-May-2006	Basic Pay	10,000.00	Months	Earnings for Employees	On Attendance	Basic Pay
	House Rent Allowance			Earnings for Employees	As Computed Value	
	Conveyance	800.00	Months	Earnings for Employees	Flat Rate	
	Overtime Pay	55.00	Hrs	Earnings for Employees	On Production	
	Variable Pay			Earnings for Employees	As User Defined Value	
	Gratuity Expenses (Provisional)			Gratuity		
	Employee's PF Contribution @ 12%			Employees' Statutory Deductions	As Computed Value	Basic Pay
	Employee's ESI Contribution @ 1.75%			Employees' Statutory Deductions	As Computed Value	(Basic Pay + House Rent Allowance + Conveyance + Overtime Pay)
	Professional Tax			Employees' Statutory Deductions	As Computed Value	On Current Earnings Total
						Accept ? Yes or No

Figure 8.9 Salaries Details Creation Screen

8.3 Record Attendance Voucher

To record Attendance through Attendance Vouchers:

Go to **Gateway of Tally > Payroll Vouchers > Ctrl+F5**

- ❑ Press **Alt+A** (Attendance Auto Fill) to prefill employee payroll details
- ❑ In **Employee Filters** screen,
 - Type the date values in **From** and **To** fields.
 - Select the appropriate **cost category** from **List of Categories**.
 - Select the **Employee/group** from **List of Group/Employees**.
 - Select the **Attendance/Production Type** from **List of Attendance/ Production Types**.
 - Specify the **Voucher Date** as applicable.

Attendance Voucher Creation		Universal Enterprises		Ctrl + M	
Attendance No. 5				30-Jun-2008 Monday	
Employee Name	Attendance/Production Type		Value	Unit	
Ajay	Present	Cur Bal: 295 Days	25	Days	
Mahesh	Present	Cur Bal: 286 Days	20	Days	
Rahul	Present	Cur Bal: 284 Days	25	Days	
Suresh	Present	Cur Bal: 240 Days	14	Days	
Vijay Kumar	Present	Cur Bal: 274 Days	26	Days	
Narration: Attendance for June 08					
					Accept ? Yes or No

Figure 8.10 Attendance Voucher Creation Screen

Payment of Salaries

To record Salary Payment through Payroll Vouchers:

Go to **Gateway of Tally > Payroll Vouchers > press Alt+A**

- In **Employee Filters** screen,
 - Type the date values in **From** and **To** fields.
 - Select the appropriate cost category from **List of Categories**.
 - Select the employee/group from **List of Group/Employees**.
 - Select the bank account for **Payroll ledger**.
- Press **Enter** to return to payroll voucher screen. Under **Particulars** the values against the Pay Heads and Amount appear automatically. This happens for Calculation Type being **Flat Rate** and **As Computed Value**.
- Type values for **Pay Heads** whose **Calculation Type** is **User Defined Value**.
- Save screen.

Payroll Voucher Creation		Universal Enterprises		Ctrl + M	
Payroll No. 34				31-Mar-2009 Tuesday	
Account : Salary Payable Cur Bal: 49,810.00 Cr					
Particulars				Amount	
Primary Cost Category				1,03,355.00 Dr	
Ajay				14,220.00 Dr	
Basic Pay	10,000.00	Dr	Cur Bal: 1,13,462.00	Dr	
House Rent Allowance	2,000.00	Dr	Cur Bal: 22,691.00	Dr	
Conveyance	2,000.00	Dr	Cur Bal: 24,000.00	Dr	
Overtime Pay	2,200.00	Dr	Cur Bal: 11,400.00	Dr	
Variable Pay	1,000.00	Dr	Cur Bal: 6,500.00	Dr	
Employee's PF Contribution @ 12%	780.00	Cr	Cur Bal: 0.00	Dr	
Professional Tax	200.00	Cr	Cur Bal: 30.00	Cr	
Staff Salary Advance	2,000.00	Cr	Cur Bal: 0.00	Dr	
Mahesh				60,597.00 Dr	
Basic Pay	43,269.00	Dr	Cur Bal: 4,94,998.00	Dr	
House Rent Allowance	17,308.00	Dr	Cur Bal: 1,98,001.00	Dr	
Conveyance	1,000.00	Dr	Cur Bal: 12,000.00	Dr	
Employee's PF Contribution @ 12%	780.00	Cr	Cur Bal: 1,920.00	Dr	
Professional Tax	200.00	Cr	Cur Bal: 0.00	Dr	
Rahul				11,075.00 Dr	
Basic Pay	5,000.00	Dr	Cur Bal: 54,617.00	Dr	
House Rent Allowance	2,000.00	Dr	Cur Bal: 21,845.00	Dr	
Conveyance	800.00	Dr	Cur Bal: 9,600.00	Dr	
Overtime Pay	2,200.00	Dr	Cur Bal: 6,100.00	Dr	
Variable Pay	2,000.00	Dr	Cur Bal: 7,000.00	Dr	
				16 more ... ↓	
Narration:				1,03,355.00 Dr	
Pay Period : 1-Mar-2009 to 31-Mar-2009					

Figure 8.11 Payroll Voucher Creation Screen

8.4 View Payroll Reports

To view Payroll Reports:

Go to **Gateway of Tally > Display > Payroll Reports**

You can generate the following reports in Tally.ERP 9 viz., Statements of Payroll, Attendance Sheet, Attendance Register, Gratuity Report etc.

To view Payslip

Go to **Gateway of Tally > Display > Payroll Reports > Statements of Payroll > Payslip**

- Select the required **Employee** and press **Enter**

Universal Enterprises
 Plot No. 113 & 114,
 Industrial Estate, Hongasandra
 Bangalore

Payslip
 for 31-Mar-2009

Ajay

Employee Number : 001	Income Tax Number (PAN): VKIO5487P
Function : Sales	PF Account Number: KN/BN/1818/564
Designation : Area Sales Manager	ESI Number :
Location : Bangalore	Passport Details : KN/PAS231/004
Bank Details : 001423137862, HDFC Bank, Koramangala	Visa Expiry Date : 11-Oct-2010

Attendance Details	Current Period	YTD
Overtime	22- 0 Hrs	135- 0 Hrs
Present	26 Days	295 Days

Earnings	Current Period	YTD	Deductions	Current Period	YTD
Basic Pay	10,000.00	1,13,462.00	Employee's PF Contribution @ 12%	780.00	9,360.00
House Rent Allowance	2,000.00	22,691.00	Employee's ESI Contribution @ 1.75%		
Conveyance	2,000.00	24,000.00	Professional Tax	200.00	2,050.00
Overtime Pay	2,200.00	11,400.00	Staff Salary Advance	2,000.00	10,000.00
Variable Pay	1,000.00	6,500.00			
Bonus	10,000.00	10,000.00			
Total Earnings	27,200.00	1,88,053.00	Total Deductions	2,980.00	21,410.00
			Net Amount	24,220.00	1,66,643.00

Amount (in words) : for Universal Enterprises
 Rs. Twenty Four Thousand Two Hundred Twenty Only

Authorised Signatory

Figure 8.12 Payslip

To view Pay Sheet

Go to **Gateway of Tally > Display > Payroll Reports > Statements of Payroll > Pay Sheet**

Universal Enterprises
 Plot No. 113 & 114,
 Industrial Estate, Hongasandra
 Bangalore

Pay Sheet
 1-Mar-2009 to 31-Mar-2009

Page 1 (A)

Particulars	Basic	Bonus	Conveyan- ce	HRA	Overtime Pay	Variable Pay	Total Earnings
Primary Cost Category	70,885.00	50,000.00	5,200.00	26,355.00	4,400.00	3,000.00	1,59,840.00
Accounts	5,000.00	10,000.00	800.00	2,000.00	2,200.00	2,000.00	22,000.00
Rahul	5,000.00	10,000.00	800.00	2,000.00	2,200.00	2,000.00	22,000.00
Administration	12,616.00	10,000.00	1,400.00	5,047.00			29,063.00
Suresh	4,154.00	5,000.00	600.00	1,662.00			11,416.00
Vijay Kumar	8,462.00	5,000.00	800.00	3,385.00			17,647.00
Sales	53,269.00	30,000.00	3,000.00	19,308.00	2,200.00	1,000.00	1,08,777.00
Ajay	10,000.00	10,000.00	2,000.00	2,000.00	2,200.00	1,000.00	27,200.00
Mahesh	43,269.00	20,000.00	1,000.00	17,308.00			81,577.00
Grand Total	70,885.00	50,000.00	5,200.00	26,355.00	4,400.00	3,000.00	1,59,840.00

Figure 8.13 Pay Sheet

Universal Enterprises Plot No. 113 & 114, Industrial Estate, Hongasandra Bangalore Pay Sheet 1-Mar-2009 to 31-Mar-2009						
Page 1 (B)						
Particulars	ESI@1.75 %	EPF@12%	Profession Tax	Staff Salary Advance	Total Deductions	Net Amount
Primary Cost Category	287.00	3,438.00	950.00	2,000.00	6,675.00	1,53,165.00
Accounts	175.00	600.00	200.00		975.00	21,025.00
Rahul	175.00	600.00	200.00		975.00	21,025.00
Administration	112.00	1,278.00	350.00		1,740.00	27,323.00
Suresh	112.00	498.00	150.00		760.00	10,656.00
Vijay Kumar		780.00	200.00		980.00	16,667.00
Sales		1,560.00	400.00	2,000.00	3,960.00	1,04,817.00
Ajay		780.00	200.00	2,000.00	2,980.00	24,220.00
Mahesh		780.00	200.00		980.00	80,597.00
Grand Total	287.00	3,438.00	950.00	2,000.00	6,675.00	1,53,165.00

Figure 8.14 Pay Sheet

To view Payroll Statement

Go to **Gateway of Tally > Display > Payroll Reports > Statements of Payroll > Payroll Statement**

Universal Enterprises Plot No. 113 & 114, Industrial Estate, Hongasandra Bangalore Payroll Statement For All Employees 1-Mar-2009 to 31-Mar-2009	
Page 1	
Particulars	Basic
Primary Cost Category	70,885.00
Accounts	5,000.00
Rahul	5,000.00
Administration	12,616.00
Suresh	4,154.00
Vijay Kumar	8,462.00
Sales	53,269.00
Ajay	10,000.00
Mahesh	43,269.00
Grand Total	70,885.00

Figure 8.15 Payroll Statement

To view Payment Advice

Go to **Gateway of Tally > Display > Payroll Reports > Statements of Payroll > Payment Advice**

Universal Enterprises
Plot No. 113 & 114,
Industrial Estate, Hongasandra
Bangalore

Payment Advice

31-Mar-2009

The Manager
HDFC Bank

Dear Sir,

Payment Advice from Universal Enterprises A/C # for period 1-Mar-2009 to 31-Mar-2009

Please make the payroll transfer from above account number to the below mentioned account numbers towards employee salaries:

Sl. No.	Name of the Employee	Account No.	Amount
1.	Ajay	001423137862	14,220.00
2.	Mahesh	001453276895	60,597.00
3.	Rahul	001245766542	11,075.00
4.	Suresh	004523727221	5,746.00
5.	Vijay Kumar	001254624565	11,717.00
	Total		1,03,355.00

Yours Sincerely
for Universal Enterprises

Authorised Signatory

Figure 8.16 Payment Advice

To view Payroll Register

Go to **Gateway of Tally > Display > Payroll Reports > Statements of Payroll > Payroll Register**

Universal Enterprises Plot No. 113 & 114, Industrial Estate, Hongasandra Bangalore Payroll Register 1-Jan-2009 to 31-Mar-2009					
Page 1					
Date	Particulars	Vch Type	Vch No.	Debit Amount	Credit Amount
31-1-2009	Employer EPS @ 8.33% Employer EPF @ 3.67% PF Payable <i>Pay Period : 1-Jan-2009 to 31-Jan-2009</i>	Payroll	28	2,415.00 1,065.00	3,480.00
31-1-2009	Basic Pay House Rent Allowance Conveyance Overtime Pay Employee's PF Contribution @ 12% Professional Tax Employee's ESI Contribution @ 1.75% Salary Payable <i>Pay Period : 1-Jan-2009 to 31-Jan-2009</i>	Payroll	29	74,500.00 27,800.00 5,200.00 3,300.00	3,480.00 670.00 258.00 1,06,392.00
31-1-2009	Employer ESI @ 4.75% ESI Payable <i>Pay Period : 1-Jan-2009 to 31-Jan-2009</i>	Payroll	30	699.00	699.00
28-2-2009	Basic Pay House Rent Allowance Conveyance Overtime Pay Variable Pay Employee's PF Contribution @ 12% Professional Tax Staff Salary Advance Employee's ESI Contribution @ 1.75% Salary Payable <i>Pay Period : 1-Jan-2009 to 31-Jan-2009</i>	Payroll	31	74,115.00 27,646.00 5,200.00 420.00 1,000.00	3,480.00 620.00 3,000.00 258.00 1,01,023.00
28-2-2009	Employer EPS @ 8.33% Employer EPF @ 3.67% PF Payable <i>Pay Period : 1-Jan-2009 to 31-Jan-2009</i>	Payroll	32	3,000.00 480.00	3,480.00
28-2-2009	Employer ESI @ 4.75% ESI Payable <i>Pay Period : 1-Jan-2009 to 31-Jan-2009</i>	Payroll	33	699.00	699.00
31-3-2009	Basic Pay House Rent Allowance Conveyance Overtime Pay Variable Pay Employee's PF Contribution @ 12% Professional Tax Staff Salary Advance Employee's ESI Contribution @ 1.75% Salary Payable <i>Pay Period : 1-Mar-2009 to 31-Mar-2009</i>	Payroll	34	70,885.00 26,355.00 5,200.00 4,400.00 3,000.00	3,438.00 760.00 2,000.00 287.00 1,03,355.00
continued ...					

Figure 8.17 Payroll Register

To view Attendance Sheet

Go to **Gateway of Tally > Display > Payroll Reports > Attendance Sheet**

Universal Enterprises Plot No. 113 & 114, Industrial Estate, Hongasandra Bangalore Attendance Sheet 1-Apr-2008 to 31-Mar-2009			
Page 1			
Particulars	Absent	Overtime	Present
Branch Office			
Head Office			
Primary Cost Category		339 Hrs 30 Mins	1460 Days
Accounts		61 Hrs	284 Days
Rahul		61 Hrs	284 Days
Administration		106 Hrs	514 Days
Suresh		62 Hrs	240 Days
Vijay Kumar		44 Hrs	274 Days
Sales		172 Hrs 30 Mins	662 Days
Ajay		135 Hrs	295 Days
Mahesh		26 Hrs 30 Mins	288 Days
Transport Unit			

Figure 8.18 Attendance Sheet

To view Gratuity Report

Go to **Gateway of Tally > Display > Payroll Reports > Gratuity Report**

Universal Enterprises Plot No. 113 & 114, Industrial Estate, Hongasandra Bangalore Gratuity Summary For All Employees As on : 31-Mar-2009					
Page 1					
Particulars	Date of Birth	Date of Joining	Date of Deactivation	Gratuity Eligible Salary	Gratuity Amount
Primary Cost Category				74,500.00	
Accounts				5,000.00	
Rahul		15-4-2007		5,000.00	
Administration				14,500.00	
Suresh	20-5-1975	10-6-2007		4,500.00	
Vijay Kumar	24-5-1958	1-5-2007		10,000.00	
Sales				55,000.00	
Ajay		1-4-2007		10,000.00	
Mahesh		1-4-2007		45,000.00	
Grand Total					

Figure 8.19 Gratuity Summary

To view Employeewise Passport Expiry Report

Go to **Gateway of Tally > Display > Payroll Reports > Expat Reports > Passport Expiry >** press **Ctrl + F7** and select the relevant cost category and Employee Group

Universal Enterprises Plot No. 113 & 114, Industrial Estate, Hongasandra Bangalore Passport Expiry Report For All Employees Under Group: Sales				
Page 1				
Particulars	Passport Number	Country of Issue	Date of Joining	Passport Expiry Date
Primary Cost Category				
Sales				
Ajay	KN/PAS231/004	India	1-4-2007	6-1-2015
Mahesh	KA/PAS233/005	India	1-4-2007	22-1-2013

Figure 8.20 Employeewise Passport Expiry Report

To view Visa Expiry Report

Go to **Gateway of Tally > Display > Payroll Reports > Expat Reports > Visa Expiry**

Universal Enterprises Plot No. 113 & 114, Industrial Estate, Hongasandra Bangalore Visa Expiry Report For All Employees			
Page 1			
Particulars	Visa Number	Date of Joining	Visa Expiry Date
Branch Office			
Head Office			
Primary Cost Category			
Sales			
Ajay		1-4-2007	11-10-2010
Mahesh		1-4-2007	22-1-2009
Transport Unit			

Figure 8.21 Visa Expiry Report

To view Contract Expiry Report

Go to **Gateway of Tally > Display > Payroll Reports > Expat Reports > Contract Expiry**

Universal Enterprises Plot No. 113 & 114, Industrial Estate, Hongasandra Bangalore Contract Expiry Report For All Employees				
Page 1				
Particulars	Work Permit Number	Contract Start Date	Date of Joining	Contract Expiry Date
Branch Office				
Head Office				
Primary Cost Category				
Administration				
Suresh		1-6-2008	10-6-2007	1-12-2008
Transport Unit				

Figure 8.22 Contract Expiry Report

To view PF Computation Report

Go to **Gateway of Tally > Display > Payroll Reports > Statutory Reports > Computation > Press Alt+F1**

Universal Enterprises Plot No. 113 & 114, Industrial Estate, Hongasandra Bangalore Payroll Statutory Computation 1-Mar-2009 to 31-Mar-2009						
Page 1						
Particulars	Gross Amount	Percentage	A/c No.	Amount	Payable	Paid
Provident Fund						
Employees' Statutory Deductions						
Employee's PF Contribution @ 12%	28,654.00	12%	A/c No.1	3,438.00 Cr	3,438.00	3,438.00
Employer's Statutory Contributions					3,438.00	3,438.00
Employer EPF @ 3.67%	32,500.00	3.67%	A/c No.1	1,052.00 Dr		
Employer EPS @ 8.33%	32,500.00	8.33%	A/c No.10	2,386.00 Dr		
Employer's Other Charges					328.06	328.06
EDLI Admin Charges @ 0.01%	32,500.00	0.01%	A/c No.22	2.87 Cr		
EDLI Contribution @ 0.5%	32,500.00	0.50%	A/c No.21	10.00 Cr		
PF Admin Charges @ 1.10%	32,500.00	1.10%	A/c No.2	315.19 Cr		
Professional Tax						
Employees' Statutory Deductions					950.00	950.00
Professional Tax	2,10,903.00			950.00 Cr		
Grand Total					8,154.06	8,154.06

Figure 8.23 PF Computation Report

To view Form 12A

Go to **Gateway of Tally > Display > Payroll Reports > Statutory Reports > Provident Fund > Form 12A**

(Only for Un-exempted Establishments)

EMPLOYEES' PROVIDENT FUNDS AND MISC. PROVISIONS ACT, 1952 EMPLOYEES' PENSION SCHEME(PARA 20 (4))
FORM 12 - A (R)

(To be filled by the EPFO)

Group Code : **KNBN/12547/00129**

Establishment status :

Name and Address of the Establishment : **Universal Enterprises**
Plot No. 113 & 114,
Industrial Estate, Hongasandra
Bangalore

Code No. : **KNBN/1245/009**

Currency period from : **1-Apr-2008 to 31-Mar-2009**

Statement of Contribution for the month of : **Mar-2009**

	Wages on which Contributions are payable	Amount of Contribution Recovered from the Employees'	Payable by the Employer	Amount of contribution remitted Employee's Share	Employer's Share	Amount of Administrative charges due	Amount of Administrative charges remitted	Date Of Remittance (enclose triplicate copies of Challan)
E.P.F. A/c No. 01	3,23,656.00	38,840.00	11,306.00	35,360.00	11,306.00	3,560.22	3,241.22	30-Apr-2008
Pension Fund A/c No. 10	3,23,656.00	NIL	27,534.00	NIL	27,534.00	NIL	NIL	30-Apr-2008
E.D.L.I A/c No. 21	3,23,656.00	NIL	114.00	NIL	104.00	32.36	29.46	30-Apr-2008

Total No. of Employees : **7** Name & Address of the Bank in which the amount is remitted : **Koramangalam, Bangalore**

(a) Contract : **2**

(b) Rest : **0**

(c) PF Subscribers : **5**

Details of Subscribers	E.P.F.	Pension Fund	E.D.L.I.
No. of Subscribers as per last month (vide Form 12A)	5	5	5
No. of New Subscribers (vide Form 5)			
No. of Subscribers left service (vide Form 10)			
Nett Total Number of Subscribers	5	5	5

Signature of the Employer with Official (Seal)

Figure 8.24 Printed Form 12A

To view PF Monthly Statement

Go to **Gateway of Tally > Display > Payroll Reports > Statutory Reports > Provident Fund > Monthly Statement**

EMPLOYEE PROVIDENT FUND SCHEME - Monthly Statement										
Name & Address of the Factory or Establishment : Universal Enterprises Plot No. 113 & 114, Industrial Estate, Hongasandra Bangalore										
Statement for the Period : 1-Aug-2008 to 31-Aug-2008										
Emp No	PF Number	Employee Name	Work-ed Days	Earned Wages	Employee's Contribution			Employer's Contribution		
					PF 12%	VPF	Total	EPS 8.33%	EPF 3.67%	Total
001	KNBNT1818564	Ajay	24	6,500.00	780.00		780.00	541.00	239.00	780.00
002	KNBNT18184283	Mahesh	26	6,500.00	780.00		780.00	541.00	239.00	780.00
003	KNBNT1920203	Rahul	25	4,808.00	577.00		577.00	401.00	176.00	577.00
008	KNBNT1810534	Suresh	26	4,500.00	540.00		540.00	375.00	165.00	540.00
004	KNBNT18184583	Vijay Kumar	25	6,500.00	780.00		780.00	541.00	239.00	780.00
		Total		28,808.00	3,457.00		3,457.00	2,399.00	1,058.00	3,457.00

Figure 8.25 PF Monthly Statement

To view ESI Computation Report

Go to **Gateway of Tally > Display > Payroll Reports > Statutory Reports > Computation > F12:Configure > Activate Show Employee State Insurance Details to Yes**

Universal Enterprises

Plot No. 113 & 114,
Industrial Estate, Hongasandra
Bangalore

Payroll Statutory Computation

1-Apr-2008 to 31-Mar-2009

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Particulars	Gross Amount	Statutory Details			Liability	
		Percentage	A/c No.	Amount	Payable	Paid
<u>Employee State Insurance</u>						
Employees' Statutory Deductions						
Employee's ESI Contribution @ 1.75%	1,51,885.00	1.75%		2,662.00 Cr	2,662.00	2,404.00
Employer's Statutory Contributions						
Employer ESI @ 4.75%	1,56,316.00	4.75%		7,428.00 Dr	7,428.00	6,519.00
Grand Total					10,090.00	8,923.00

Figure 8.26 ESI Computation Report

To view ESI Monthly Statement

Go to **Gateway of Tally > Display > Payroll Reports > Statutory Reports > Employee State Insurance > Monthly Statement**

EMPLOYEES' STATE INSURANCE - Monthly Statement									
Name & Address of the Factory or Establishment : Universal Enterprises Plot No. 113 & 114, Industrial Estate, Hongasandra Bangalore									
Statement for the Period : 1-Apr-2008 to 31-Mar-2009									
Sl. No	Employee No	Employee Name	ESI No	Worked Days	Earned Wages	Fixed Wages	Employees' Contribution	Employer's Contribution	Total
1	003	Rahul	ESI12312345	284	92,162.00	99,700.00	1,538.00	4,379.00	5,917.00
2	008	Suresh	ESI345224	240	64,154.00	69,000.00	1,124.00	3,049.00	4,173.00
				Total	1,56,316.00	1,68,700.00	2,662.00	7,428.00	10,090.00

Figure 8.27 ESI Monthly Statement

To view ESI Form 3

Go to **Gateway of Tally > Display > Payroll Reports > Statutory Reports > Employee State Insurance > Form 3**

Original	EMPLOYEES' STATE INSURANCE CORPORATION RETURN OF DECLARATION FORM [Regulation - 14]	FORM - 3		
Name & Address of the Factory or Establishment : Universal Enterprises Plot No. 113 & 114, Industrial Estate, Hongasandra Bangalore				
Employer's Code No : KNESI23859491				
I send herewith the Declaration Forms in respect of the employees mentioned below: I hereby declare that every person employed as an employee within the meaning of Section 2(9) of the Employees' State Insurance Act, 1948 as on 31-Mar-2009 in this factory or establishment and is in receipt of the remuneration not exceeding Rs.10,000/- (excluding remuneration for overtime work) per month, has been included in this list, excluding only those in respect of whom declaration forms have been sent to the Corporation in the past.				
Sl No.	Name of Employee	Distinguishing Number with the employer if any	Father's or Husband's Name	Insurance No. allotted by the corporation (to be entered at the branch office)
1	2	3	4	5
1	Suresh	008	Mr. Kannan	KN/ESI/345/2224
2	Rahul	003		ESI12312345
Place : Bangalore Dated : 31-Mar-2009			Signature : Designation : Manager	

Figure 8.28 Printed ESI Form 3

To view Professional Tax Computation Report

Go to **Gateway of Tally > Display > Payroll Reports > Statutory Reports > Professional Tax > Computation Report**

PROFESSIONAL TAX PAYABLE BY EMPLOYER							
Return of Tax payable for the period : 1-Apr-2008 to 31-Mar-2009							
Name of the Employer : Universal Enterprises							
Address : Plot No.113 & 114, Industrial Estate, Hongasandra Bangalore							
Registration Certificate No. : KA/PT/12445308							
Number of employees during the month in respect of whom the tax is payable as under :							
SN- o.	Employees whose monthly salaries / wages / both are				Number of Employees	Rate of tax per month Rs.	Amount of Tax Deducted Rs.
1	Rs	0	to	3,000.00		0.00	
2	Rs	3,000.00	to	5,000.00		30.00	
3	Rs	5,000.00	to	8,000.00		60.00	
4	Rs	8,000.00	to	10,000.00		100.00	
5	Rs	10,000.00	to	15,000.00		150.00	
6	Rs	15,000.00	and above		5	200.00	8,020.00
TOTAL					5.00		8,020.00
Amount Paid : 8,020.00							
Amount in Words : Rs. Eight Thousand Twenty Only							
I certify that all employees who are liable to pay the tax in my employment during the period of return have been covered by the forgoing particulars. I also certify that the necessary revision in the amount of tax deductible from the salary or wages of the employees on account of variation in the salary or wages earned by them has been made wherever necessary. I, Shri Susmit solemnly declare that above statements are true to the best of my knowledge and belief.							
Place : Bangalore Date : 31-Mar-2009 Signature of Employer							

Figure 8.29 Printed PT Computation Report

To view Professional Tax Statement

Go to **Gateway of Tally > Display > Payroll Reports > Statutory Reports > Professional Tax > Statement**

PROFESSIONAL TAX - Monthly Statement (Professional Tax)					
Name & Address of the Factory or Establishment : Universal Enterprises Plot No. 113 & 114, Industrial Estate, Hongasandra Bangalore					
Statement for the Period : 1-Apr-2008 to 31-Mar-2009					
Sl.No	Employee No.	Employee Name	Worked Days	Gross Wages	Value
1	001	Ajay	295	1,90,153.00	2,050.00
2	002	Mahesh	286	7,32,299.00	2,400.00
3	003	Rahul	284	1,31,162.00	1,030.00
4	008	Suresh	240	87,070.00	740.00
5	004	Vijay Kumar	274	1,84,905.00	1,800.00
		Total		13,25,589.00	8,020.00

Figure 8.30 Printed Professional Tax Monthly Report